

Ratio Digest — Every Judgment, Categorised

The holding (ratio decidendi) of each decision in the 263-case corpus, sorted into 14 thematic categories

340 ratios · a multi-issue judgment contributes one ratio to each category it decides. Ordered chronologically within each category.

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| A. Statutory Architecture, Vires & Interpretation (7) | H. Billing, Recovery, Limitation & Disconnection (53) |
| B. The Duty to Supply & Access to a Connection (19) | I. Unauthorised Use of Electricity (s.126) (45) |
| C. Arrears & Transferee Liability (25) | J. Theft (s.135) & Chapter VIII of the Code (40) |
| D. Insolvency Interface (IBC & winding-up) (7) | K. Fora, Jurisdiction & Appeals (41) |
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A. Statutory Architecture, Vires & Interpretation

7 RATIOS · 7 JUDGMENTS

SCJ-246 M/s L.M.L. Ltd. v. State of U.P. & Ors.

UP Relief Undertakings 1966 §4

ratio 2 of 2

All HC 2009

2009 SCC OnLine All 1157 : (2009) 6 All LJ 537 : (2009) 77 ALR (SUM 57) 26 : 2010 AIHC 480

ISSUE

Does a 'Relief Undertaking' notification under ss.3-4 of the 1966 Act satisfy Clause 4.49's condition of a stay of recovery 'by any Court/Forum/Tribunal/Commission' where there is no such stay order?

RATIO

Yes. Under s.4 of the 1966 Act the liabilities of a notified relief undertaking accruing before the relevant date stand suspended while the notification is in force, and all proceedings for their enforcement are stayed. As the petitioner was a notified relief undertaking when it applied (31.3.2006), the recovery of arrears is to be treated as stayed, satisfying the 'stay' condition of Clause 4.49; the respondents' contention that Clause 4.49 was inapplicable for want of a court/forum stay was rejected. The declaration binds all instrumentalities of the State, including the licensee.

ON THE FACTS Relief-undertaking notification of 24.6.2004 under s.3(1) of the 1966 Act, extended to 23.6.2007, in force when the load-reduction application was made; subsequent BIFR/1985-Act proceedings post-dated the application and were not relied on.

DISPOSITION Writ petition allowed; the reduction of contracted load from 8 MVA to 1.25 MVA held to have stood approved on 19.4.2006, effective from 1.5.2006

SCJ-255 M/s. Suvidha Engineers India Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd. &

All HC 2009

Ors.

Electricity Act 2003 §50

ratio 2 of 2

2009 SCC OnLine All 1773 : (2010) 1 All LJ 35

ISSUE

Is the Supply Code (and hence Clause 4.49) confined to the subjects enumerated in Section 50, so that fiscal/protective provisions fall outside it?

RATIO

No. The Supply Code specified under Section 50 is a compilation of regulations traceable to Section 181(2)(p)-(x) and the general power in Section 181(1); the headings, marginal notes and Statement of Objects confirm this. 'Supply' in Section 86(1) is read liberally to include ancillary measures for protecting/preserving revenue, and the power to legislate on a substantive topic subsumes ancillary matters. The Code is therefore not confined to Section 50's enumerated subjects, and Clause 4.49 is within the Commission's regulation-making power.

ON THE FACTS Vires challenge premised on Section 50 being exhaustive and the Section 181(2) heads standing on a higher pedestal; rejected.

DISPOSITION Both writ petitions dismissed; the challenge to the vires of Clause 4.49 refused, with liberty to represent on the quantum of the bank guarantee

SCJ-015 Dakshinanchal Vidyut Vitran Nigam Ltd. & Others v. M/s Prakancha Metal Works Pvt.

All HC 2012

Ltd. Electricity Act 2003 §174

ratio 2 of 2

AIR 2012 Allahabad 176

ISSUE

Overriding effect of the Act does not oust Lok Adalat / Consumer Protection remedies for damages

RATIO

Section 174 gives the Act overriding effect only for matters provided under it; Section 50 does not empower the Supply Code to ascertain damages for a licensee's wrongful acts, and the Consumer Grievance Redressal Forum (Para 7.10, Clauses 7.7.1-7.7.5) covers only supply-related matters, not tortious damages for illegal disconnection. The Consumer Protection Act, 1986 is preserved (ss.173/174), and the Legal Services Authorities Act, 1987 (Lok Adalat) is a special Act for such damages; the Lok Adalat therefore had jurisdiction, to which the petitioners had in any event submitted.

DISPOSITION Writ petition dismissed (Lok Adalat compensation for illegal disconnection upheld; inquiry into ante-dating directed)

SCJ-207 Executive Engineer, Distribution Division & Anr. v. Pacific

All HC 2017

Promoter Electricity Act 2003 §153

ratio 2 of 2

2017 SCC OnLine All 3167

ISSUE

Theft (s.135) is triable by Special Courts; civil liability via s.126 assessment

RATIO

Theft of electricity under s.135 is a criminal offence triable by Special Courts constituted under s.153, the procedure being in s.154 read with Clauses 8.1-8.5 of the Code; civil liability for unauthorised use is separately imposed through a s.126 assessment (Chapter 6 of the Code). The Act is a complete Code covering both aspects, leaving no room for a civil suit on the assessment.

DISPOSITION Petition allowed; civil suit dismissed as barred by s.145; plaint rejected

SCJ-147 Kerala State Electricity Board & Ors. v. Thomas Joseph Alias Thomas M.J. & Ors. (with connected appeals)

SC 2022

Electricity Act 2003 §50

ratio 2 of 2

(2022) 8 SCC 723

ISSUE

Can the Kerala State Electricity Regulatory Commission, exercising its delegated rule-making power under s.50 read with s.181(2)(x) of the Electricity Act, 2003 to frame an Electricity Supply Code, validly enact Regulation 153(15) exempting 'unauthorised additional load in the same premises and under same tariff' from Section 126's 'unauthorised use of electricity' assessment regime?

RATIO

No, Regulation 153(15) is ultra vires and declared invalid. Applying the settled doctrine that delegated legislation cannot travel beyond, or be inconsistent with, its parent enabling Act (Sukhdev Singh v. Bhagatram Sardar Singh Raghuvanshi; General Officer Commanding-in-Chief v. Dr. Subhash Chandra Yadav; State of Karnataka v. H. Ganesh Kamath; Kunj Behari Lal Butail v. State of H.P.; St. Johns Teachers Training Institute v. Regional Director, NCTE; State of T.N. v. P. Krishnamurthy; Global Energy Ltd. v. CERC; Pratap Chandra Mehta v. State Bar Council of M.P.; Dr. Mahachandra Prasad Singh v. Chairman, Bihar Legislative Council; McEldowney v. Forde), the Court held that s.50 empowers a Supply Code to address recovery of charges, billing intervals, disconnection/restoration, and tampering-prevention — following its own earlier ruling in U.P. Power Corporation Ltd. v. Anis Ahmad that the Supply Code 'need not provide provisions relating to, [and does] not relate to, assessment of charges for unauthorised use of electricity under Section 126.' Since s.126/127 constitute a complete, self-contained code (Seetaram Rice Mill), a Supply Code Regulation carving out an exemption from that code's liability — however well-intentioned to protect domestic-type consumers from disproportionate billing — travels beyond the delegated rule-making power and directly frustrates the object of s.126 (restricting unauthorised consumption to protect the supply system), rendering it inconsistent with the parent Act and therefore void.

ON THE FACTS Regulation 153(15), Kerala Electricity Supply Code, 2014 (as later amended in 2016 to add 'except in the case of consumers billed on the basis of connected load') was the sole basis on which the Kerala High Court had carved out its para 31(vi) exception; the Kerala State Electricity Regulatory Commission (respondent no. 3) defended the Regulation's validity, distinguishing Seetaram Rice Mill as arising under Orissa's differently-worded regulations and arguing the Kerala Code's contract-demand-based billing scheme (Regulations 99, 101, 153(4)-(14)) already adequately addressed revenue-loss and infrastructure concerns through separate mechanisms (150% demand-charge surcharge, mandatory disconnection where infrastructure cannot accommodate the excess).

DISPOSITION Civil appeals allowed; Kerala High Court's declaration in para 31(vi) set aside; Regulation 153(15) of the Kerala Electricity Supply Code, 2014 declared invalid as ultra vires Section 126 of the Electricity Act, 2003

SCJ-222 Daya Nand Sharma v. State of U.P. & Others

Electricity Act 2003 §176

ratio 1 of 2

All HC 2022

2022 SCC OnLine All 598

ISSUE

(Interim) Could the contempt court direct immediate installation of a tenant's connection over the owner's objection, beyond the writ court's order?

RATIO

Prima facie, no. The writ court had directed a connection on an indemnity bond (Clause 4.4) ignoring the landlord's objection, but did not decide the tenant's occupation nor direct supply despite the owner's resistance. Where an owner objects to supply over his premises, the licensee must obtain the DM's/Commissioner's permission under the proviso to Rule 3(b) of the Works of Licensees Rules, 2006 (s.176(2)(e) r/w s.67(2)). The contempt court's direction to install within 72 hours and bar the owner's objection travelled beyond the writ order and was stayed, along with the contempt proceedings.

ON THE FACTS Tenant granted a connection on indemnity bond by the writ court; owner (claiming possession) resisted installation; contempt filed; no DM permission shown for works over the objecting owner's premises.

DISPOSITION Interim order — contempt-court direction and contempt proceedings stayed

SCJ-100 Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Private Limited &

SC 2023

Ors. Electricity Act 2003 §173

2023 INSC 625

ISSUE

(a) Do ss.173/174 of the Electricity Act, 2003 (and the Clause 4.3/6.15 Supply Code recovery mechanism) survive/override the IBC once a corporate debtor-consumer enters liquidation, permitting the licensee to independently attach and auction the debtor's property for electricity dues? (b) Do a licensee's electricity dues rank as 'government dues' under s.53(1)(e)/(f) IBC by virtue of government shareholding in the licensee? (c) Are electricity dues automatically a 'secured interest' under the IBC?

RATIO

(a) No — s.238 of the IBC, being the later special enactment expressly covering corporate insolvency/liquidation, overrides ss.173/174 of the Electricity Act, 2003 despite the latter's non-obstante clauses; once liquidation commences, the licensee cannot independently attach or auction the corporate debtor's property outside the IBC's collective process, and the District Collector's attachment/auction notice for electricity dues was accordingly set aside, with the property released to the liquidator per the NCLT/NCLAT's order. (b) No — dues payable to a distribution licensee, even one with government shareholding, do not fall within s.53(1)(f)'s 'government dues' description, since such licensees are distinct juristic entities carrying on a liberalised activity open to private participation, and are not 'the State Government' merely by virtue of shareholding or historical function. (c) Not automatically — but on the facts here, given the supply agreement's clause making outstanding dues 'a charge on the assets of the company' and the concurrent, unchallenged NCLT/NCLAT findings that PVVNL was a secured creditor, PVVNL's claim proceeds within the s.53 waterfall as a secured creditor's claim (not outside/above the IBC process), to be verified and processed by the liquidator within 10 weeks. *State Tax Officer v. Rainbow Papers*, which treated a statutory first-charge as automatically conferring secured-creditor priority, was confined to its facts — it neither considered the s.53 waterfall nor arose in a liquidation (as opposed to resolution-plan) context, and cannot be extended to elevate electricity/quasi-government dues above Parliament's deliberately structured priority.

ON THE FACTS PVVNL supplied electricity to the corporate debtor (Raman Ispat) under a 2010 agreement whose Clause 5 stated outstanding dues would be 'a charge on the assets of the company'; PVVNL attached the debtor's properties (2016) for unpaid dues of ~Rs. 4.32 crore; the debtor entered CIRP (unsuccessful) and then liquidation; the liquidator sought release of the attached property from the District Collector/Tehsildar to enable sale and distribution under the IBC; NCLT and NCLAT (2018-2019) directed release, holding PVVNL an operational/secured creditor subject to the IBC process rather than an independent enforcement right under ss.173/174.

DISPOSITION Appeal dismissed, subject to a direction that the liquidator decide PVVNL's claim within 10 weeks

B. The Duty to Supply & Access to a Connection

19 RATIOS · 19 JUDGMENTS

SCJ-016 Devendra Sharma v. State of U.P. & Others

Supply Code 2005 §4.4

All HC 2011

ISSUE

Can a licensee invoke Clause 4.4 to disconnect an existing, validly sanctioned connection because of a landlord-tenant dispute or an allegedly incorrect tenancy declaration?

RATIO

No. Clause 4.4 applies to new-connection applications, not to disconnecting an existing connection. A landlord-tenant dispute is not a ground to cut a valid connection on which bills are paid; a connection may be disconnected only on grounds authorised by the Act/Code (theft, unauthorised use, non-payment). The disconnection here was illegal, arbitrary and malafide, and offended Article 21.

ON THE FACTS The tenant's connection (bills regularly paid) was disconnected on the landlady's complaint that she had terminated the tenancy and filed an eviction suit, without any inspection, theft/unauthorised-use allegation or non-payment.

DISPOSITION Writ petition allowed (reconnection ordered; Rs. 10,000 costs)

SCJ-030 Harihar Cold Storage v. P.V.V.N.L. & Another

Supply Code 2005 §4.37

ratio 1 of 2

All HC 2011

ISSUE

Can minimum-guarantee charges be levied under Clause 4.37 for a period when supply was disconnected because of the licensee's own failure to repair the transformer?

RATIO

No. Clause 4.37 permits minimum-charge billing on a temporary disconnection only where the disconnection is on account of the consumer's default; here the disconnection was due to a burnt transformer the licensee failed to repair for about five months (breaching Clause 7.07's 24-hour restoration / 15-day replacement norms), so no minimum-guarantee charges lie. Where no fixed minimum sum is committed, minimum-guarantee charges require the licensee to ensure the minimum guaranteed supply.

ON THE FACTS Supply remained disconnected 7.1.2006-28.5.2006 due to a burnt transformer; the consumer's bills had in fact been paid in cash (the dishonoured-cheque premise was not denied).

DISPOSITION Writ petition disposed of (minimum-guarantee charges held not recoverable; rural-rate billing directed; set-off refused)

SCJ-115 Seema Mansoor v. U.P. Power Corporation Ltd. & 3 Others

Supply Code 2005 §4.4

All HC 2014

ISSUE

Can a distribution licensee refuse a new electricity connection to a tenant/occupier solely because the landlord/owner of the premises has refused to give a no-objection/consent?

RATIO

No. Section 43 of the Electricity Act, 2003 obliges the licensee to supply electricity to any owner OR occupier (a term the Supply Code, Clause 2.2(oo), defines to include an authorised person in occupation, i.e. a tenant) making a proper application. While Clause 4.4(a)(i) of the Code lists owner's consent (Annexure 4.3) among required documents, the Code simultaneously provides Annexure 4.2 — an indemnity bond specifically designed for the situation where 'the intending consumer is not the owner' and 'is not able to obtain the consent' of the owner — as an alternative route, indemnifying the licensee against loss/claims from the owner, recoverable under the Revenue Recovery Act if needed. Reading the Code holistically, a tenant cannot be denied connection merely for lack of landlord consent; to hold otherwise would let an unscrupulous landlord (here, one in an ongoing rent dispute who had already gotten the existing connection disconnected to pressure the tenant to vacate) defeat Rent Control Act protections by simply withholding consent — an interpretation contrary to both the statutory scheme and public policy. Two prior Division Bench rulings to the contrary (Ravi Shankar Giri; the Iftikhar Ahsan/Tanveer Azam line) were held not to lay down correct law, having overlooked ss.42/43 of the Act and Clause 4.4(a)(i)/Annexure 4.2 of the Code. Mandamus issued directing the licensee to consider and grant connection to the petitioner-tenant, subject to a proper application, indemnity bond, and fulfilment of other requirements.

ON THE FACTS The petitioner, a tenant embroiled in a rent dispute (depositing rent under s.30, U.P. Act No. 13 of 1972 due to the landlord's refusal to accept it), had her electricity supply disconnected by the landlord seeking to pressure her to vacate; her subsequent new-connection application was returned for want of the landlord's no-objection.

DISPOSITION Writ petition allowed; mandamus issued directing consideration and grant of connection

SCJ-210 Radhe Shyam Singh v. State of U.P. & 2 Ors.

Electricity Act 2003 §43

All HC 2014

2014 SCC OnLine All 8036

ISSUE

Can a licensee refuse a new connection to a tenant in occupation because the landlord objects/withholds consent?

RATIO

No. Section 43 casts a duty to supply to the owner or occupier of premises; the landlord's refusal of consent (here to pressure the tenant to vacate) is no ground to refuse the tenant a new connection. A mandamus was issued to install the connection in the tenant's name, subject to his completing the Code formalities.

ON THE FACTS Tenant in occupation; the landlord had disconnected the existing connection and objected to a fresh one to force the tenant out.

DISPOSITION Writ petition disposed of; mandamus to provide the tenant a new connection

SCJ-220 Mohammad Rashid & Another v. State of U.P. & 3 Others

Supply Code 2005

All HC 2014

2014 SCC OnLine All 11387

ISSUE

How is a complaint that an excess transformer caused over-loading and voltage drop to be dealt with?

RATIO

The licensee is obliged under the Act and the Code to maintain the requisite supply and not create an imbalance. The complaint requiring a technical audit, the competent authority must assess it and report to the Managing Director, who is to examine it under the Act/Code and pass orders within three months after notice to the affected party.

ON THE FACTS Excess transformer allegedly installed to benefit one individual, causing over-loading, low voltage and a dysfunctional tubewell for the complainants.

DISPOSITION Writ petition disposed of; technical audit of the over-loading complaint directed

SCJ-236 Iftakhar Ahsan v. State of U.P. and others

Supply Code 2005 §4.4

All HC 2014

2014 SCC OnLine All 81

ISSUE

Can a mandamus issue directing a new connection to an occupier/tenant without the owner's consent, relying on a pre-2005-Code precedent and a temporary injunction against the landlord?

RATIO

No. Clause 4.4(a)(vi) of the 2005 Code makes the owner's consent mandatory for a new supply connection to an occupier. A pre-2005 precedent (Rajesh Kumar Gupta) decided under the then-existing provisions does not aid the petitioner, and the Code provision was neither challenged nor its consent requirement satisfied; the landlord was also not impleaded. Accordingly no mandamus could issue, and the petition was consigned to records with liberty to approach the appropriate authority or seek remedy in the pending suit.

ON THE FACTS Occupier/tenant applicant; temporary injunction against the landlord in a civil dispute; reliance on Rajesh Kumar Gupta (2005); landlord not impleaded; Clause 4.4(a)(vi) unchallenged.

DISPOSITION Mandamus refused; writ petition consigned to records

SCJ-190 Dr. Mamta Tripathi v. State of U.P. & 6 Ors.

Supply Code 2005 §4.4

All HC 2015

2015 SCC OnLine All 1878

ISSUE

Can a tenant/occupier obtain an electricity connection in her own name without the landlord/owner's consent, where there is an owner-occupier dispute?

RATIO

Yes. Clause 4.4, which aids the s.43 statutory duty to supply, provides that where an occupier cannot produce the owner's consent — especially in an owner-occupier dispute — a connection may be granted on furnishing an Indemnity Bond (Annexure 4.2). Absence of the landlord's consent is therefore no bar; the authority must process the tenant's application on that basis, subject to her fulfilling the other legal requirements.

ON THE FACTS Tenant since 2012 receiving supply through the landlord's connection; supply disconnected; her fresh application met only with a demand for the rent agreement and landlord's consent, which she could not furnish due to a dispute.

DISPOSITION Writ petition disposed of; application for connection to be processed on an indemnity bond

SCJ-249 Dakshinanchal Vidyut Vitran Nigam Ltd. v. Permanent Lok Adalat and

All HC 2016

Another Supply Code 2005 §4.4

2016 SCC OnLine All 1179

ISSUE

Can a Permanent Lok Adalat direct grant of a connection to a non-owner occupier who furnishes only an indemnity bond, without proof of occupancy, and does it have jurisdiction at all?

RATIO

The Permanent Lok Adalat has jurisdiction over such a public-utility grievance (in addition to, not in derogation of, the Act's fora), but it cannot direct action contrary to law. Section 43 obliges the licensee to supply an owner or occupier; under Clause 4.4 a non-owner occupier may apply on an indemnity bond (Annexure 4.2) instead of the owner's consent (Annexure 4.3), but must produce proof of occupancy (valid power of attorney / latest rent receipt / registered lease deed). As the applicant was not the owner (property in his father's name, civil suit pending) and furnished no proof of occupancy, the award directing a connection on a mere indemnity bond was contrary to Clause 4.4 and was quashed, with liberty to apply afresh in compliance with the Code.

ON THE FACTS Applicant sought a 5 KW LMV-6 connection; property stood in his father's name with a pending civil suit (Sunil Kumar v. Jung Bahadur); no proof of occupancy furnished; Lok Adalat's two-member award directed connection on an indemnity bond (the Chairman having disowned the claim).

DISPOSITION Writ petition allowed; the Permanent Lok Adalat's award directing a connection on an indemnity bond quashed, with liberty to apply afresh in compliance with the Code

SCJ-171 Vandana Srivastava v. Purvanchal Vidyut Vitran Nigam Ltd.

Supply Code 2005 §4.4

All HC 2017

2017 SCC OnLine All 3976

ISSUE

Can a claimed tenant obtain a mandamus for a new connection while suppressing a trial court's finding that she failed to establish tenancy even prima facie?

RATIO

No. Although the distribution licensee was not a party to the suit and no connection relief was sought there, the trial court's finding on the petitioner's status as tenant is relevant to the writ grievance, at least for interim relief. Suppression of that material fact means the petitioner did not approach the Court with clean hands, and the writ court will not interfere; the petition is dismissed.

ON THE FACTS Connection sought on an indemnity bond for a shop; premises subject to a pending civil suit; temporary-injunction application rejected on 6.3.2017 with a finding of no prima facie tenancy, filed 20 days before the writ and not disclosed in it.

DISPOSITION Writ petition dismissed for suppression of material facts

SCJ-027 Gaurav Sharma v. State of U.P. & 4 Others

Supply Code 2005 §4.4

All HC 2018

ISSUE

Can a licensee refuse a connection to a genuine occupier (a son in separate possession) because the owner (his father) refuses consent amid a family dispute?

RATIO

No. Section 43(1) confers on an occupier a statutory right to supply; Clause 4.4 read with Annexure 4.2 lets a genuine occupier unable to obtain the owner's NOC furnish an indemnity bond and obtain a connection. The object of the bond is only to exclude a trespasser/house-grabber; a family dispute or want of the owner's consent is no ground to refuse. Refusal quashed and remitted for reconsideration.

ON THE FACTS The petitioner, a son in separate possession of one of his father's houses (paying house tax), was refused a connection because the father declined to give an NOC amid a family dispute.

DISPOSITION Writ petition allowed (refusal quashed; connection to be reconsidered)

SCJ-033 Husna Bano v. State of U.P. & 9 Others

Supply Code 2005 §4.4

All HC 2019

ISSUE

Can a tenant be denied a fresh connection for want of the landlord's NOC where she has furnished an indemnity bond and proof of possession (Ration Card/Aadhaar)?

RATIO

No. Annexure 4.2 (Clause 4.4) enables an occupier who cannot obtain the owner's NOC to obtain a connection on an indemnity bond; possession can be shown by a Ration Card and Aadhaar (cash rent often leaving no receipt). The bond is not a document of title, and a connection does not bar an eviction suit; the landlord's refusal of NOC is no ground to deny supply. Refusal set aside and remitted for reconsideration.

ON THE FACTS After the landlady's death, her heirs (in a succession dispute) got the old connection cancelled and refused an NOC; the tenant furnished an indemnity bond (Annexure 4.2) plus Ration Card and Aadhaar.

DISPOSITION Writ petition allowed (refusal set aside; application to be reconsidered on the indemnity bond + ID proof)

SCJ-020 Divya Sahani v. State of U.P. & Another

Supply Code 2005 §4.4

All HC 2021

AIR ONLINE 2021 ALL 373

ISSUE

Can a connection be disconnected or refused merely because the premises are the subject of a pending civil suit?

RATIO

No. Clause 4.4 does not prohibit a connection because of a pending property dispute; Clause 4.4(a)(i) only requires that a court-order copy be furnished where ownership is in litigation. A connection is not proof of title (Note-3, Annexure 4.1). Disconnection solely for the pendency of a suit is de hors the law and violates Article 21; mandamus issued to grant the connection.

ON THE FACTS A connection granted on 24.8.2020 was disconnected on 31.8.2020 solely because the property was the subject of a civil suit (objection by a relative); there were no outstanding dues on the premises.

DISPOSITION Writ petition allowed (mandamus to grant connection)

SCJ-006 Anand Kumar v. State of U.P. & 2 Others

Supply Code 2005 §4.4

ratio 2 of 2

All HC 2023

ISSUE

Tenant's connection on an indemnity bond absent owner's consent

RATIO

Following Seema Mansoor, an occupier (including a tenant) has a statutory right to supply under Sections 42-43 read with Clause 4.4; where the owner's consent is unavailable, the tenant may file an indemnity bond (Annexure 4.2) to obtain the connection.

DISPOSITION Writ petition disposed of (direction to process the tenant's connection application)

SCJ-037 K.C. Ninan v. Kerala State Electricity Board & Ors.

Electricity Act 2003 §43

ratio 2 of 3

SC 2023

(2023) SCC OnLine SC 603; Civil Appeal Nos. 2109-2110 of 2004 (batch)

ISSUE

Duty to supply is not absolute; consumer-premises synergy; reconnection = same premises

RATIO

The duty to supply under s.43 is not absolute and is subject to the charges and compliances stipulated by the utility as part of the application for supply; it is owed to the owner or occupier of particular premises, and one becomes a 'consumer' only with respect to those premises for which electricity is sought and provided. An application for the same premises for which supply was earlier provided is a 'reconnection'; different premises make it a fresh connection even if the consumer is the same.

DISPOSITION Reference answered by ten conclusions (para 328); recovery of principal arrears from transferees/auction-purchasers upheld where a statutory Condition of Supply/Code so provides; interest accrued from the date of the purchasers' supply applications waived under Article 142

SCJ-212 Deepak Jain v. State of U.P. & Others

Supply Code 2005 §4.4

All HC 2023

2023 SCC OnLine All 890

ISSUE

Can a tenant be refused a connection for want of the landlord's consent?

RATIO

No. A lessee/tenant/occupier cannot be refused a connection merely for want of the landlord's consent; under Clause 4.4 read with Annexures 4.2 and 4.3, the application is considered either on a consent letter of the owner or, in its absence, on an Indemnity Bond furnished by the tenant. The competent authority must decide the tenant's application within four weeks after hearing the stakeholders.

ON THE FACTS Tenant of a first-floor portion; application allotted a service number and inspection done, but connection not provided.

DISPOSITION Writ petition disposed of; connection application to be decided in four weeks

SCJ-085 Mohd. Ashfaq Khan @ Ashfaq Khan v. State of U.P. thru. Addl. Chief Secy., Energy Deptt., Lucknow & 3 Others

Supply Code 2005 §4.4

All HC 2025

2025:AHC-LKO:10428-DB

ISSUE

Can an occupant, whose electricity connection was disconnected upon a transferee-owner's application for permanent disconnection, obtain restoration/a fresh connection in his own name pending a possession dispute?

RATIO

The petitioner was directed to apply for an electricity connection with an indemnity bond and proof of possession under Clause 4.4; the licensee may inspect to verify possession (hearing the transferee-owner in the process), and if there is no legal impediment and possession is proved, the connection shall be granted — without prejudice to either party's rights to pursue separate proceedings regarding possession/title.

ON THE FACTS The petitioner, claiming to be a tenant/occupant, had his electricity connection disconnected on 7.2.2025 pursuant to a permanent-disconnection application filed by the opposite party no. 4, a subsequent transferee-owner of the premises whose predecessor held the original connection.

DISPOSITION Writ petition disposed of; petitioner directed to apply for a fresh connection with indemnity bond/proof of possession under Clause 4.4, to be decided within one week after inspection

SCJ-105 Priya Prem v. Uttar Pradesh Power Corporation Ltd. & 4 Others

Supply Code 2005 §4.4

All HC 2025

2025:AHC:62434-DB

ISSUE

Should a writ court directly decide a new-connection/penalty grievance under s.43 EA2003 and Clauses 4.4/7.7.2 of the Supply Code, or should the consumer be relegated to the Consumer Grievance Redressal Forum?

RATIO

The petitioner was directed to file a representation before the Consumer Grievance Redressal Forum (presided over by the Sub Divisional Officer, Electricity Urban Distribution, Sub Division-IX Raptinagar, Gorakhpur) within two weeks; the Forum was directed to decide the representation within four weeks of receipt, by a reasoned order after affording the petitioner a hearing.

ON THE FACTS The petitioner sought a mandamus directing issuance of a new electricity connection (application dated 15.4.2024 pending), payment of a s.43(3) delay penalty, and constitution of a district-level Consumer Grievance Redressal Forum under the 2022 CGRF Regulations.

DISPOSITION Writ petition disposed of; petitioner directed to approach the Consumer Grievance Redressal Forum

SCJ-199 Teena Sehgal v. State of U.P. & 2 Others

Supply Code 2005 §4.4

All HC 2026

2026 SCC OnLine All 5440

ISSUE

Can an occupier of part of a premises get a new connection despite an owner-occupier dispute and outstanding dues on the whole premises?

RATIO

Yes, on conditions. The petitioner residing on the ground floor (undisputed) is entitled to a connection, but not without paying the dues attributable to that portion. The Court fixed the ground-floor liability at Rs. 1,20,000 (50% in two weeks, balance in four instalments), required an Indemnity Bond (Annexure 4.2) for her ground-floor residence and payment of regular bills, and directed the authority to provide the new connection on the 50% payment and completion of formalities.

ON THE FACTS Owner-occupier (mother-in-law/daughter-in-law) dispute with a pending civil suit; mother-in-law on the first floor shifted to solar; about Rs. 2.41 lakh pending for the entire premises.

DISPOSITION Writ petition disposed of; connection to be given on part-payment of dues and an indemnity bond

SCJ-259 Devanshu Bose v. Electricity Ombudsman, Lucknow and 4 Others

Supply Code 2005 §4.9

All HC 2026

2026 SCC OnLine All 9193

ISSUE

On what basis may charges for consumption on common facilities be demanded from individual residents (interim consideration)?

RATIO

Interim only. The Court observed that Clause 4.9 Part A(j) mandates the developer/Residents' Welfare Association to apply for the connection in respect of common facilities, and directed the supply company to disclose by affidavit the relevant application and the basis on which it can demand and recover common-facility charges from individual residents; the matter was adjourned. No final view was expressed.

ON THE FACTS Gated colony; difference between bulk supply and aggregate prepaid-meter consumption sought from residents as common-services charges, alleged to be recovery of theft; affidavit disclosure directed.

DISPOSITION Interim/procedural order; affidavit disclosure directed and matter adjourned (listed 14.5.2026)

C. Arrears & Transferee Liability

25 RATIOS · 24 JUDGMENTS

SCJ-099 Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. v. M/s DVS Steels & Alloys Pvt. Ltd. &**SC** 2008**Ors.** Supply Code 2005 §4.3(g)

(2009) 1 SCC 210

ISSUE

(a) Can a distributor recover a predecessor-consumer's electricity dues from a purchaser of (part of) the premises by suit or revenue recovery? (b) Can the distributor instead condition the grant of a fresh connection to the purchaser on pro-rata clearance of those dues? (c) Is a purchaser who voluntarily paid such pro-rata dues (before any injunction) entitled to a refund once a Commission later directs the distributor not to demand such payments from future applicants?

RATIO

(a) No — electricity dues do not constitute a charge on the premises; a transferee with no privity of contract cannot be sued or subjected to revenue recovery for a predecessor's dues, absent a contract to the contrary. (b) Yes — this legal position affords no practical protection to a purchaser seeking a fresh connection: the distributor may validly stipulate, as a condition for supply, that a predecessor's arrears (or, for a legally sub-divided property, the pro-rata share under Clause 4.3(g)/(h)) be cleared first; such a condition is not unreasonable or arbitrary and legitimately protects the distributor against consumers evading dues by selling and relocating. (c) No — the purchaser here voluntarily paid the pro-rata dues as a condition for connection before any Commission order or injunction; a subsequent Commission direction restraining the distributor from *demanding* such payments from future applicants (issued because the predecessor furnished a bank guarantee for its disputed liability) did not itself direct refund of amounts already paid, and the purchaser — having paid pursuant to its own undertaking to obtain connection — is estopped from reclaiming it except on the agreed terms (i.e., refundable only if the predecessor's liability is ultimately negated or the predecessor actually clears the dues).

ON THE FACTS The third respondent (original consumer) disputed a supplementary bill of Rs. 105.78 lakh (HV1-vs-HV2 tariff dispute) in pending litigation; it later sub-divided its plot into 129 smaller plots and sold one to the first respondent, who was granted a fresh connection conditioned on paying Rs. 8,63,451 (pro-rata dues), which it paid under an undertaking to refund if the underlying dispute were resolved in the original consumer's favour. The Regulatory Commission later directed the distributor to accept a bank guarantee from the original consumer and release future connections to other plot-purchasers without further pro-rata demands; the first respondent then sought a refund of its already-paid amount, which the High Court granted but the Supreme Court reversed.

DISPOSITION Appeal allowed; High Court order set aside, writ petition of the purchaser-consumer dismissed

SCJ-225 Raman Ispat (Pvt.) Ltd. & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. &**All HC** 2009**Ors.** Supply Code 2005 §4.3(f)

ratio 1 of 2

2009 SCC OnLine All 1064

ISSUE

May a distributor require the purchaser of premises to clear the previous consumer's arrears as a condition of a fresh connection or enhancement of load to the same premises?

RATIO

Yes. Following PVVNL v. DUS Steels, though past dues are not a charge on the premises and cannot be recovered from a transferee as such, the distributor may, when the purchaser seeks a fresh connection or enhanced load to the same premises, stipulate clearing of the arrears as a condition of supply; such a stipulation is not unreasonable or arbitrary. The amended Clause 4.3(f)(i) reinforces this by making the seller and purchaser jointly and severally liable for the outstanding dues and making those dues a first charge on the company's assets, entered in the agreement with the new applicant.

ON THE FACTS Petitioner sought enhancement of Raman Ispat's contracted load; the licensee required clearance of M/s Sai Steels' arrears on the same industrial plot as a condition; amended Clause 4.3(f)(i) was not challenged.

DISPOSITION All three connected writ petitions dismissed with costs

SCJ-225 Raman Ispat (Pvt.) Ltd. & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. &

All HC 2009

Ors. Supply Code 2005 §4.3(f)

ratio 2 of 2

2009 SCC OnLine All 1064

ISSUE

Can the corporate veil be lifted to hold the applicant liable for the defaulting entity's dues where a common controlling person has used a web of acquisitions and name-changes to escape recovery?

RATIO

Yes. The department was justified in lifting the veil and finding R.P. Singh to be the person behind M/s Sai Steels (the defaulter), M/s Singh Alloys and the petitioner M/s Raman Ispat, so that the dues of Sai Steels could be recovered from him and made a condition precedent to enhancement of Raman Ispat's load. The petitioners failed to prove the absence of relationship between the entities, withheld material facts to obtain an interim order, and did not come with clean hands; all three petitions were dismissed with costs.

ON THE FACTS Common directors/partners; adjoining industrial plots; property routed through a PICUP auction (s.29, State Financial Corporations Act, 1951) and successive sale deeds back into the petitioner-company controlled by the same person; deed of dissolution and change of partners never produced.

DISPOSITION All three connected writ petitions dismissed with costs

SCJ-031 Haryana State Electricity Board v. M/s Hanuman Rice Mills, Dhanauri &

SC 2010

Ors. Arrears (general)

ratio 1 of 2

AIR 2010 SC 3835; (2010) 9 SCC 145

ISSUE

Can the arrears of a previous owner's electricity dues be recovered from an auction-purchaser seeking a fresh connection?

RATIO

(i) Electricity arrears do not constitute a charge over the property, so in general law a transferee cannot be made liable for the previous owner/occupier's dues. (ii) But where statutory rules, or statutory terms and conditions of supply, authorise the supplier to demand the previous owner's arrears from a purchaser seeking re-/fresh connection, the supplier may recover them. Here the Board pleaded no such enabling provision (introduced in Haryana only in 2001), so the demand against the auction-purchaser failed.

ON THE FACTS The first respondent bought a rice-mill at a Financial-Corporation auction in 1990 (supply already disconnected), obtained a fresh connection in its own name in 1991, and was served a demand for the previous owner's arrears only in 1995; no statutory rule/condition authorising such a demand was pleaded.

DISPOSITION Appeal dismissed (auction-purchaser not liable for the previous owner's arrears)

SCJ-063 M/S Rayana Paper Board Industries Ltd. v. U.P. Power Corporation Ltd. &

All HC 2010

Ors. Supply Code 2005 §4.3

ISSUE

Where an industrial land parcel is transferred by sale deed and the transferor's electricity dues remain unpaid, can the licensee issue a recovery citation (coercive recovery as arrears of land revenue) directly against the purchaser-transferee, who never held the electricity connection or consumed the electricity, relying on Clause 4.3(ii)-(iii) of the Supply Code?

RATIO

No. Clause 4.3(ii) obliges the vendor to clear outstanding dues before sale (or disclose them in the sale deed), and Clause 4.3(iii) allows the purchaser to seek a no-dues certificate, with the licensee bound to disclose pending dues or issue the certificate within 30 working days; the Code does not, however, contain any penal/recovery provision empowering the licensee to coercively recover the vendor's dues from the vendee. In the absence of a provision enabling such recovery, the licensee's right is confined to withdrawing/declining the electricity connection to the premises (i.e. refusing a fresh connection until dues are cleared, consistent with *Dakshin Haryana Bijli Vitran Nigam Ltd. v. Paramount Polymers Pvt. Ltd.*) — it cannot issue a coercive recovery citation against the purchaser for dues never incurred by the purchaser. The impugned recovery citation was quashed, with liberty to recover from the original owner (who, moreover, already had a pending dispute before the Electricity Ombudsman over the same dues).

ON THE FACTS The transferor sold a portion of its industrial land to the petitioner by registered sale deed (14.9.2006); the licensee, without any electricity connection in the petitioner's name, issued a recovery citation for Rs. 25,36,000 against the petitioner for dues incurred by the transferor, whose dispute over those very charges was pending before the Electricity Ombudsman.

DISPOSITION Writ petition allowed; recovery citation against the purchaser quashed (liberty to proceed against the original owner)

SCJ-125 Smt. Pawan Jha @ Priya Jha v. State of U.P. And Others

Supply Code 2005 §4.3

All HC 2011

ISSUE

Can the licensee insist that a subsequent allottee of an ADA-allotted EWS flat clear the erstwhile occupier's unpaid electricity dues (Rs. 45,625) as a precondition to obtaining a fresh connection, notwithstanding that the allottee had no role in incurring those dues and her allotment arose through a statutory development authority rather than a private sale?

RATIO

Yes, applying the DVS Steels Ltd. v. U.P. Power Corporation Ltd. (SCJ-099) and Hanuman Rice Mills doctrine that arrears follow the premises/connection and not merely the person of the departed consumer, an ADA-allotment context is not meaningfully distinguishable from a private purchase for this purpose; the licensee may insist on clearance of dues as a precondition to a fresh connection. However, exercising equitable jurisdiction, the Court moulded relief: the petitioner was permitted to deposit the outstanding amount in three equal monthly installments, with the licensee directed to release the electricity connection within 72 hours of the first installment being deposited, and the petitioner was given liberty to pursue recovery of any amounts paid from the erstwhile owner/occupier through appropriate independent proceedings.

ON THE FACTS The petitioner was allotted an EWS flat by the Allahabad Development Authority; the erstwhile occupier had left unpaid electricity dues of Rs. 45,625 on the premises' connection; the licensee refused a fresh connection to the petitioner absent clearance of those dues.

DISPOSITION Writ petition disposed of; recovery from petitioner upheld subject to moulded relief (installments and time-bound connection), with liberty to proceed against the erstwhile occupier separately

SCJ-127 Special Officer, Commerce, North Eastern Electricity Company of Orissa (NESCO) & Anr. v. M/s Raghunath Paper Mills Private Limited & Anr.

SC 2012

Arrears (general)

(2013) 2 SCC 373

ISSUE

Is a company that purchased a liquidated unit's assets/premises through an Official Liquidator's auction sale, on an 'as is where is, whatever there is' basis, and that applied for a fresh electricity connection (not transfer of the erstwhile company's connection), liable to clear the erstwhile company's outstanding electricity arrears as a precondition to obtaining supply, under Sub-clause 10(b) of Regulation 13 of the Orissa Supply Code?

RATIO

No. Sub-clause 10(b) of Regulation 13 governs transfer of an existing service connection from one consumer's name to another's, not an application for a fresh connection. The auction-purchaser here applied for a fresh connection to its own unit after purchasing the premises from the Official Liquidator, and did not seek transfer of the erstwhile company's connection; the arrears were levied against the erstwhile company, not as a charge on the premises. Synthesising *Isha Marbles v. Bihar SEB* (1995) 2 SCC 648 (electricity dues create no charge on the property and a third-party purchaser lacking privity cannot be compelled to clear them), *Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.* (2009) 1 SCC 210 (para 10: a distributor may nonetheless lawfully stipulate, as a condition of a fresh connection, that arrears be cleared, if its statutory rules/regulations or terms of supply so permit), *Ahmedabad Electricity Co. Ltd. v. Gujarat Inns Pvt. Ltd.* (2004) 3 SCC 587 (auction-purchasers not liable for previous owners' arrears on a fresh connection absent a specific statutory provision), and *Haryana State Electricity Board v. Hanuman Rice Mills, Dhanauri* (2010) 9 SCC 145 (summarising the position: no charge on property in general law, but the supplier may recover arrears from a purchaser seeking reconnection/fresh connection where statutory rules or supply terms expressly authorise it) — the Court held that, since no such specific authorising provision applied here (Sub-clause 10(b) being confined to transfers), the demand of Rs. 79,02,262 in arrears as a precondition to the fresh connection was unsustainable, affirming the High Court's quashing of the demand order.

ON THE FACTS Respondent no. 1 purchased the Factory Unit of M/s Konark Paper & Industries Ltd. (in liquidation) via an Official Liquidator auction, on an 'as is where is, whatever there is' basis, taking possession on 28.03.2008; it applied for a fresh 100 KW/33 KV connection (executing a fresh construction-power agreement dated 27.03.2009 and depositing security), but NESCO refused supply absent clearance of Rs. 79,02,262 in arrears outstanding against the premises from the erstwhile company.

DISPOSITION Civil appeal dismissed; High Court's quashing of the arrears-demand order affirmed

SCJ-129 Sri Piyush Kumar v. State of U.P. Thru' Secretary Lucknow And

All HC 2012

Others Supply Code 2005 §4.3(f)

AIR 2012 Allahabad 97

ISSUE

Can a recovery citation for a company's outstanding electricity dues be enforced personally against a director who signed the original supply agreement as the company's agent (with no personal guarantee or undertaking), where the demand notice and citation both predate the notification of the U.P. Electricity Supply Code, 2005?

RATIO

No. A company, being an artificial person, acts only through agents; a director signing an agreement 'on behalf of the Company' under s.46 of the Companies Act, 1956 incurs no personal liability unless the Articles/Board resolution otherwise permit, or the director acts beyond his powers, misrepresents, or gives a personal guarantee/undertaking — none of which was shown here. Following this Court's own precedents (*Adesh Kumar Jain v. UPSEB; M/s Meekin Transmission Ltd.*), the 'consumer' under the pre-2003 Electric Supply (Consumers) Regulations, 1984 and under s.2(15) of the Electricity Act, 2003 is the company, not its directors personally. The U.P. Electricity Supply Code, 2005 — whose Clause 4.3(f)(iv) first makes outstanding dues a first charge on company assets and whose Clause 4.3(f)(v) permits recovery from directors — was notified after the dues were ascertained and the recovery citation issued, and so had no application; even prospectively, recovery from directors is permissible only after the company's assets prove insufficient to satisfy the dues, and the counter affidavit contained no averment that the licensee had first proceeded against the company's assets. The recovery citation against the petitioner-director was accordingly quashed, without prejudice to recovery proceedings against the company itself.

ON THE FACTS Petitioner, a director of U.P. Lime Chem. Ltd. (a public limited company), signed the original 1990 electricity-supply agreement (335 KVA) as the company's director/agent, without giving any personal guarantee or undertaking; a s.3 U.P. Government Electricity Undertaking (Recovery of Dues) Act, 1958 notice (30.6.2001) and a subsequent recovery citation (8.5.2003) sought Rs. 15,41,685 in company dues directly from the petitioner personally, without any break-up or averment that the company's own assets had first been proceeded against.

DISPOSITION Writ petition partly allowed; recovery citation against the petitioner-director quashed; licensee left free to proceed against the company

SCJ-007 Anubhav Jaiswal v. State of U.P. & 4 Others Supply Code 2005 §4.3(g)

All HC 2014

ISSUE

Can a purchaser of part of a sub-divided premises be required to clear the entire premises' electricity dues before a new connection, or only his pro-rata share?

RATIO

Only his pro-rata share. Though outstanding dues are the first charge on the premises (Clause 4.3(f)(iv)), on a legal sub-division they are apportioned pro-rata (Clause 4.3(g)) and a connection to the sub-divided portion is given on payment of that portion's share alone (Clause 4.3(h)); the licensee cannot demand the whole. The matter is remanded for fresh pro-rata determination after notice to the original owner.

ON THE FACTS The premises passed through four successive owners; the petitioner is the fourth purchaser of a part. As he had not furnished full information, the original refusal was not itself faulted, but a Clause 4.3 determination was directed.

DISPOSITION Writ petition disposed of (remand for pro-rata determination after notice to the prior owner)

SCJ-012 Chandra Prakash Gupta v. State of U.P. & 3 Others Supply Code 2005 §4.1

All HC 2014

ISSUE

Does the pre-Code rule exempting an auction-purchaser from a previous owner's dues survive the introduction of Clause 4.1 of the 2005 Code?

RATIO

No. *Ahmedabad Electricity Co. v. Gujarat Inns* turned on the absence of a statutory provision; Clause 4.1 of the 2005 Code (promulgated after that 2004 decision) now supplies one, requiring a No-Dues Certificate before a fresh connection on premises where ownership has changed and arrears exist. A SARFAESI auction-purchaser is bound by it and may obtain a connection only on furnishing a No-Dues Certificate.

ON THE FACTS The petitioner was an auction-purchaser under the SARFAESI Act from the State Bank of India, seeking a fresh domestic connection and claiming no liability for the erstwhile owner's dues.

DISPOSITION Writ petition disposed of (auction-purchaser may apply on furnishing a No-Dues Certificate)

SCJ-174 Meva Ram v. State of U.P. & 2 Others

Supply Code 2005 §4.44

All HC 2014

2014 SCC OnLine All 11279

ISSUE

On what conditions, and by whom, can an electricity connection be transferred/mutated to a new holder under the Code?

RATIO

Mutation/transfer of a connection under Clause 4.44 requires the clearance of all dues and is to be done by the competent authority, the Executive Engineer of the Division, on completion of the requisite formalities. Here, by consent, the connection is to be transferred to the co-holder's son who undertook all liabilities, the Executive Engineer realising the entire dues before transfer and then forthwith restoring supply.

ON THE FACTS Connection originally in the names of Ram Das (deceased) and Meva Ram; the petitioner disclaimed interest and consented to transfer to the nephew (Ganga Dayal), who undertook all liabilities; consent order, so no contested ratio.

DISPOSITION Writ petition disposed of by consent; connection to be transferred on clearing all dues

SCJ-196 Ganga Dayal v. State of U.P. & 2 Others

Supply Code 2005 §4.44

All HC 2014

2014 SCC OnLine All 6593

ISSUE

On what conditions, and by whom, may a connection be transferred/mutated into a new holder's name?

RATIO

Mutation/transfer of a connection under Clause 4.44 can be done only on clearance of all arrears and completion of the requisite formalities, the competent authority being the Executive Engineer of the Division. On the applicant's prescribed-form application (arrears said to be cleared under a one-time settlement), the competent authority must consider the prayer under Clause 4.44 in accordance with law within three weeks.

ON THE FACTS Tubewell connection originally in the names of Ram Das (deceased) and Meva Ram; Meva Ram surrendered his rights by affidavit; arrears said to be cleared under a one-time settlement.

DISPOSITION Writ petition disposed of; application for transfer/mutation to be considered under Clause 4.44

SCJ-223 Virendra Kumar Mittal v. U.P. Power Corporation Ltd. & 2 Others

Supply Code 2005 §4.3

All HC 2014

2014 SCC OnLine All 6594

ISSUE

Can a licensee refuse a new connection under Clause 4.3 for an unpaid theft-assessment amount whose liability is still being adjudicated?

RATIO

No. The right to supply on deposit of the estimate is independent of the theft-assessment liability, which is still to be fixed by the Special Judge (E.C. Act). The licensee cannot treat the undetermined theft assessment as an 'outstanding due' under Clause 4.3 to refuse the connection; instead the amount is secured by the consumer furnishing security (other than cash or bank guarantee), whereupon the new connection is to be provided. Whether it is an 'outstanding due' under Clause 4.3 abides the Special Judge's decision.

ON THE FACTS Theft assessment of 28.12.2010 pending before the Special Judge at the licensee's instance; CGRF had directed the new connection; licensee demanded the theft amount along with the new-connection estimate.

DISPOSITION Writ petition disposed of; new connection to be given on securing the disputed theft-assessment amount

SCJ-194 Dhyanendra Singh v. State of U.P. & 5 Others

Supply Code 2005

All HC 2016

2016 SCC OnLine All 1570

ISSUE

Should the writ court restore a connection where it is seriously alleged, in pending criminal proceedings, to have been obtained on forged documents?

RATIO

No. Given the serious allegation that the connection was obtained on forged/fraudulent documents, and the matter being sub judice, the Court found no illegality in the authority's order refusing restoration and declined to interfere under Article 226. The petitioner was left at liberty to apply afresh for a connection under the Code, to be considered in accordance with law.

ON THE FACTS Tubewell connection; a co-sharer complained it was obtained on a forged affidavit and lodged an FIR; criminal proceedings pending (stayed in a criminal revision); authority rejected restoration on the forgery ground.

DISPOSITION Writ petition disposed of; restoration refused; liberty to apply afresh

SCJ-229 Smt. Soni Dwivedi v. Madhyanchal Vidyut Vitran Nigam Ltd. thru. its Chairman &

All HC 2016

Ors. Supply Code 2005 §4.1

2016 SCC OnLine All 1675

ISSUE

Can a new connection to a purchaser of premises be refused for arrears standing against the erstwhile owner of those premises?

RATIO

Yes. Though Clause 4.1 obliges the licensee to supply on application, its provisos provide that where ownership of premises has changed and arrears subsist, a new connection is released to the new owner only on a No-Dues Certificate under Clause 4.3(f), and shall not be released to a new applicant on the same premises while arrears remain. The 2005 Code governs the field and makes clearing the previous dues a condition precedent to a new connection; the purchaser's liability to the department is not absolved by a sale-deed clause casting the dues on the seller (which she may enforce against the seller). The refusal was upheld and the writ dismissed.

ON THE FACTS Purchaser bought the house 'free from all encumbrances' with a sale-deed clause fixing dues on the seller; connection application refused for the erstwhile owner/occupier's dues; new connection (not a mere transfer) sought.

DISPOSITION Writ petition dismissed

SCJ-036 Jitendra Kumar Gupta & Anr. v. State of U.P. & Ors.

Supply Code 2005 §4.3(f)

All HC 2017

ISSUE

Can a subsequent purchaser be required to clear dues that include a theft assessment against the previous occupant, before a fresh connection?

RATIO

Yes. 'Outstanding dues' under Clause 4.3(f) means all dues pending on the premises, including a post-theft assessment, and attach to the premises; the purchaser must obtain a No-Dues Certificate. The theft being a personal criminal liability of the previous occupant does not exclude the assessed civil amount. But recovery from the purchaser is subject to adjustment against any amount recovered from the original defaulter (no double recovery); here, a practical direction to deposit 50% to obtain the connection.

ON THE FACTS The petitioners bought a premises against which a theft assessment (~Rs. 2.8 lakh) stood against the former tenant; the sale deed itself recited that there was no valid connection.

DISPOSITION Writ petition disposed of (subsequent purchaser liable for premises dues, subject to adjustment; 50% deposit for connection)

SCJ-124 Smt. Beena Dubey v. M.D. Kanpur Electricity Supply Co. Ltd. & 4

All HC 2017

Others Supply Code 2005 §4.3(f)(vi)

ISSUE

Can electricity dues, accrued on a connection held in a departed tenant's name, be recovered from the landlord-owner of the premises, where the landlord never directly gave the Electricity Department any consent or undertaking of liability, but the tenancy agreement itself contemplated the tenant obtaining the connection and bearing the charges?

RATIO

Yes. Clause 4.4(a)(vi) requires the owner's consent for a new connection; here such consent, while not directly endorsed to the Electricity Department, is evidenced by Clause 5 of the tenancy agreement between the landlord and tenant contemplating the tenant obtaining the connection in his own name and bearing its charges — the landlord accordingly did not object to (and effectively agreed to) the connection. Separately and independently, Clause 4.3(f)(vi) makes the landlord's liability co-extensive with the tenant's for clearing all electricity arrears/dues before the tenant vacates the premises — a liability arising from the Supply Code itself, not from any direct undertaking to the Department. Since the tenant had already vacated without clearing dues, recovery from the landlord was lawful and the recovery proceedings were not quashed, though the landlord retains recourse against the tenant (civil suit, s.138 Negotiable Instruments Act prosecution over a dishonoured cheque, or the licensee's own separate action against the tenant) and may seek installment or other relief available under the Code.

ON THE FACTS The petitioner, landlord of the premises, let it to respondent no. 5, who obtained an electricity connection in his own name per Clause 5 of their tenancy agreement (making the tenant responsible for the connection and its charges); the tenant vacated leaving dues unpaid (including a dishonoured cheque tendered towards the dues), and recovery proceedings (22.8.2017) were initiated against the landlord.

DISPOSITION Writ petition disposed of; recovery proceedings against the landlord-petitioner upheld, with liberty to seek redressal/pursue the tenant

SCJ-245 Mukesh Kumar and 3 Others v. State of U.P. and 4 Others

Supply Code 2005 §4.3(f)

All HC 2017

2017 SCC OnLine All 6

ISSUE

Can the licensee recover a company's dues from its directors under Clause 4.3(f)(v) while the enforceability and vires of that clause are sub judice?

RATIO

On the agreed arrangement, recovery is to proceed first against the company's assets; only if the dues remain unrecovered even after their sale may the Corporation proceed against the directors, and that step abides the outcome of the pending writ petitions (Writ-C Nos. 39095 of 2015 and 8370 of 2016). The petitioners' contentions, including the challenge to the vires of Clause 4.3(f)(v) and the s.2(15) definition of 'consumer', were expressly kept open; the Court did not decide them.

ON THE FACTS Recovery notice against directors of M/s Kumar Casting Pvt. Ltd. under Clause 4.3(f)(v); similar challenges pending in Writ-C Nos. 39095 of 2015 and 8370 of 2016; directors consented to recovery from the company's assets first.

DISPOSITION Writ petition disposed of on a consent arrangement; recovery to proceed first against the company's assets, and against directors only after and subject to the outcome of pending writs; the vires challenge to Clause 4.3(f)(v) kept open

SCJ-248 Kalawati Rana v. U.P. Power Corporation Ltd. Thru its M.D./Chairman and

All HC 2017

Another

Supply Code 2005 §4.1

2017 SCC OnLine All 4594 : (2017) 3 All LJ 267

ISSUE

Can a purchaser of premises be refused a new connection for arrears standing against the erstwhile owner of those premises?

RATIO

Yes. The third proviso to Clause 4.1 provides that where arrears exist on premises whose ownership has changed, a new connection is released to the new owner only on submission of a No-Dues Certificate under Clause 4.3(f). Consistently with PVVNL v. DVS Steels and Haryana SEB v. Hanuman Rice Mills (as applied by the coordinate bench in Pawan Jha), the distributor may stipulate clearing the premises' arrears as a condition of a fresh connection, and an inter-party sale-deed clause fixing the dues on the seller does not bind the licensee. The refusal was upheld, with liberty to deposit the erstwhile owner's dues and obtain a No-Dues Certificate.

ON THE FACTS Purchaser under a registered sale deed (13.12.2012) with a clause casting electricity dues on the sellers; new connection refused for the sellers' outstanding dues on the same house.

DISPOSITION Writ petition disposed of; refusal of the new connection upheld, with liberty to obtain a No-Dues Certificate on depositing the erstwhile owner's dues

SCJ-098 Palika Towns LLP v. State of U.P. & 2 Others

Arrears (general)

All HC 2022

ISSUE

Is an auction purchaser of a leasehold plot (via IBC liquidation) liable for the corporate debtor-lessee's pre-existing arrears of lease rent and interest, notwithstanding a 'no encumbrances'/as is where is' sale certificate and GNIDA's non-registration of its claim in the IBC proceedings?

RATIO

Yes. Surveying the electricity-dues transferee-liability line (Haryana SEB v. Hanuman Rice Mills; Paschimanchal Vidyut Vitran Nigam v. DVS Steels & Alloys; Telangana State Southern Power Distribution Co.), the Court summarized the settled position: such dues do not themselves constitute a charge over the property, so a transferee is not automatically liable absent a specific statutory/regulatory stipulation authorising recovery from a purchaser, or an auction notice expressly flagging the dues as the purchaser's liability. Applying this by analogy, the Court found the lease deed here contained an express first-charge clause (Clause 3(b), Chapter IV) covering unpaid lease rent/interest/other dues, which displaced the general Transfer of Property Act s.55(1)(g) rule (applicable only 'in absence of a contract to the contrary'); the purchaser had also signed the Transfer Memorandum and accepted the Sale Certificate incorporating the lease covenants, and could not now approbate and reprobate by accepting the beneficial parts of those instruments while disclaiming the burden. GNIDA's failure to register its claim in the IBC liquidation proceedings did not extinguish its right to demand the arrears as a condition of transfer/recognition of the purchaser as lessee. Refund of the amount paid under protest was accordingly refused.

ON THE FACTS Petitioner purchased a GNIDA industrial leasehold plot via an IBC liquidation e-auction of the corporate debtor lessee (Moser Baer India); GNIDA (which had not registered a claim in the IBC proceedings) demanded ~Rs. 5.8 crore in arrears of lease rent/interest as a condition for issuing the Transfer Memorandum; the petitioner paid under protest and sought a refund with 18% interest.

DISPOSITION Writ petition dismissed; refund of lease-rent arrears/interest deposited under protest refused

SCJ-006 Anand Kumar v. State of U.P. & 2 Others

Supply Code 2005 §4.1

ratio 1 of 2

All HC 2023

ISSUE

Can a licensee refuse a new connection to a tenant of a shop because of electricity dues outstanding against other portions of the same building?

RATIO

No. The arrears-bar in the third proviso to Clause 4.1 applies only to dues on the same 'premises' (Clause 2(ss)); the shop is a distinct premises and the tenant is an 'occupier' (Clause 2(oo)) entitled to apply. Clause 4.3(h) forbids refusal on the ground of dues on other portions; the licensee must instead pursue the defaulters under Clause 4.3(f)(v).

ON THE FACTS No dues were specific to the shop occupied by the petitioner; the alleged dues were against other persons/portions of the building.

DISPOSITION Writ petition disposed of (direction to process the tenant's connection application)

SCJ-037 K.C. Ninan v. Kerala State Electricity Board & Ors.

Arrears (general)

ratio 1 of 3

SC 2023

(2023) SCC OnLine SC 603; Civil Appeal Nos. 2109-2110 of 2004 (batch)

ISSUE

Can a new/subsequent owner (including an auction-purchaser) be required to clear the previous owner's electricity arrears as a condition of supply, and can the Supply Code create such a statutory charge?

RATIO

Yes. A condition of supply requiring the new owner to clear the previous owner's arrears has a statutory character (s.49, 1948 Act); the State Commission's regulatory power under s.50, and the rule-making power under s.181 read with s.50, are wide enough to stipulate recovery of a previous owner's arrears from a new/subsequent owner and to create a statutory charge on the premises even where the plenary statute does not provide for one. Such Supply Code recoupment has a reasonable nexus with the objects of the 2003 Act. The power to recover by suit is independent of the disconnection power under s.56; and 'as is where is' puts an auction-purchaser on notice of electricity dues. Outstanding interest from the date of the supply application was waived under Article 142.

ON THE FACTS A batch of appeals concerning auction-purchasers/new owners of premises (sold 'as is where is' under SARFAESI/recovery process) with unpaid electricity dues of previous owners, whom the utilities refused to supply until the arrears were cleared; the question of a charge on the premises was referred to a three-Judge Bench in view of *Isha Marbles*.

DISPOSITION Reference answered by ten conclusions (para 328); recovery of principal arrears from transferees/auction-purchasers upheld where a statutory Condition of Supply/Code so provides; interest accrued from the date of the purchasers' supply applications waived under Article 142

SCJ-090 Narendra Singh Panwar v. Pashchimanchal Vidyut Vitran Nigam Ltd. & 2

All HC 2023

Others

Supply Code 2005 §4.3(f)(v)

ISSUE

Does the approval of a resolution plan under s.31 IBC (and subsequent liquidation) discharging the Corporate Debtor (the defaulter consumer-company) of its electricity dues also discharge a Director who furnished a personal undertaking/guarantee for those dues, given the s.14 IBC moratorium and s.238 IBC's overriding effect?

RATIO

No. The s.14 IBC moratorium, on its plain text, applies only to the Corporate Debtor and its own assets/proceedings — it has no application to a personal guarantor (*State Bank of India v. V. Ramakrishnan*). Approval of a resolution plan under s.31 IBC does not ipso facto discharge a personal guarantor's independent, co-extensive liability under s.128 of the Contract Act (*Lalit Kumar Jain v. Union of India*); the release of the principal debtor by an involuntary process such as insolvency/liquidation does not absolve the guarantor. Since one of the Company's Directors had furnished a notarized undertaking/affidavit with the application for supply, undertaking to be liable for the Company's dues, and Clauses 4.3(f)(v)/6.15 of the Supply Code empower recovery against Directors as arrears of land revenue under the 1958 Dues Recovery Act, the demand notice against the Directors jointly was not vitiated merely by the Corporate Debtor's insolvency/liquidation. The vires challenge to Clause 4.3(f)(v) was not entertained for want of foundation in the pleadings. Writ petition dismissed.

ON THE FACTS M/s Trimurti Concast Pvt. Ltd. (the consumer company) went into CIRP; NCLT Allahabad approved a resolution plan (22.3.2022) recognising the licensee (PVVNL) as an Operational Creditor for a partial claim; the licensee nonetheless issued a joint demand notice dated 30.6.2022 against both Directors under ss.3/5 of the 1958 Dues Recovery Act for the company's outstanding electricity dues (~Rs. 9 crore), of which the petitioner (one of two Directors) challenged the notice; the other, signatory Director had filed a notarized undertaking of personal liability with the original supply application.

DISPOSITION Writ petition dismissed; recovery notice against the Director not quashed

SCJ-005 Amir Ahmad v. State of U.P. & 4 Others

Supply Code 2005 §4.3(f)

All HC 2025

2025:AHC:164765-DB

ISSUE

Is an auction-purchaser under SARFAESI, holding a sale certificate declaring the property free from encumbrances, liable to clear the previous owner's electricity arrears before obtaining a new connection?

RATIO

Yes. Clause 4.3(f)(i) & (viii) place the duty to ascertain and clear outstanding dues on both seller and purchaser and permit the application to be processed only on clearance. The auction-purchaser, buying 'as-is-where-is', is fixed with 'buyer beware' and cannot escape the statutory charge by relying on the encumbrance-free recital or the vendor's non-consumption.

ON THE FACTS SARFAESI sale certificate dated 24.4.2024 recited the property free from all encumbrances; the supply company refused a connection for arrear dues attached to the premises.

DISPOSITION Writ petition disposed of (auction-purchaser must clear dues under Clause 4.3(f))

SCJ-054 M/S Dharti Agro Industries Pvt. Ltd. v. The Managing Director, Pashchimanchal Vidyut

All HC 2025

Vitran Nigam Ltd. & 2 Others

Arrears (general)

2025:AHC:166904-DB

ISSUE

Can an electricity licensee, having already participated in an IBC liquidation and submitted its claim for the corporate debtor's outstanding electricity dues, refuse a fresh connection to the auction-purchaser of the premises (bought 'as is where is' from the Liquidator) unless the dues are paid, relying on the first-charge/arrears-recovery provisions of the Electricity Act and Supply Code (as applied in K.C. Ninan)?

RATIO

No. Section 238 of the IBC — a subsequent, non-obstante special enactment — overrides Sections 173-174 of the Electricity Act, 2003 and Clause 4.3(f)(iv) of the Supply Code (first charge on assets), following Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat (P) Ltd. and Southern Power Distribution Co. of Telangana v. Gopal Agarwal. Once the licensee has participated in the liquidation and lodged its claim, it cannot also insist on payment of the arrears as a precondition for a fresh connection to the auction-purchaser; its dues are recoverable only through the IBC Section 53 waterfall mechanism via the Liquidator, not by withholding supply. K.C. Ninan's holding that a Supply Code condition can make arrears run with the premises is confined to its own facts (no IBC liquidation in issue) and does not apply once the IBC framework and the licensee's own participation in it are engaged. The impugned demand/refusal order was set aside and the licensee directed to install the connection, retaining liberty to recover its dues only from the Liquidator.

ON THE FACTS The petitioner purchased the corporate debtor's (M/s Chaudhary Ingots Pvt. Ltd.) immovable assets 'as is where is, whatever there is' in an NCLT-directed online liquidation auction (2022), paid the full price, and obtained a sale certificate/possession letter/sale deed; the licensee refused a fresh connection unless Rs. 4,92,69,142 in the corporate debtor's outstanding electricity dues (secured, per the connection agreement, by a Clause 4.3(f)(iv) first charge) was paid, while having already lodged its claim with the Liquidator for the same dues.

DISPOSITION Writ petition allowed; demand order set aside; licensee directed to install the connection and recover its dues only from the Liquidator

D. Insolvency Interface (IBC & winding-up)

7 RATIOS · 4 JUDGMENTS

SCJ-152 U.P. State Cement Corporation Ltd. (In Liquidation), In re

Companies Act 1956 §457

ratio 2 of

All HC 2007

3

2007 SCC OnLine All 2528

ISSUE

Court-ordered post-winding-up electricity supply as a liquidation expense

RATIO

Electricity supplied to the workmen's residential colonies after the winding-up order, under the Court's directions to prevent hardship and to preserve the assets for a smooth sale, was 'absolutely essential for effective liquidation' and is a liquidation expense to be borne by the Official Liquidator, along with security, valuation and claims-committee costs. It is not a secured debt ranking pari passu with workmen and secured creditors, and the proviso to Section 529(2) is not attracted (the supplier is not a secured creditor realising its own security).

DISPOSITION Objections/appeals to the Official Liquidator's report partly allowed; electricity dues re-fixed

SCJ-152 U.P. State Cement Corporation Ltd. (In Liquidation), In re

Companies Act 1956 §529A

ratio 3

All HC 2007

of 3

2007 SCC OnLine All 2528

ISSUE

Priority ceiling on an electricity supplier's dues in liquidation

RATIO

Section 529-A makes workmen's dues and secured creditors' debts rank pari passu and overrides preferential claims under Section 530 and all other claims; a writ of mandamus or an Article 142 direction to continue supply cannot override these substantive statutory provisions. An electricity supplier therefore obtains no preference over workmen and secured creditors except to the extent its post-winding-up, court-ordered dues qualify as liquidation expenses.

DISPOSITION Objections/appeals to the Official Liquidator's report partly allowed; electricity dues re-fixed

SCJ-158 Ashok Kumar & Ors. v. State of U.P. & Ors.

Companies Act 1956 §617

ratio 4 of 4

All HC 2008

2008 SCC OnLine All 696

ISSUE

DVVNL is a 'Government company' (subsidiary of UPPCL)

RATIO

Reading s.4(1) with s.617 of the Companies Act, 1956, DVVNL is a subsidiary of UPPCL (admittedly a Government company) and is therefore itself a 'Government company' under s.617; this bears on its status as a deemed licensee and instrumentality.

DISPOSITION Writ petitions partly allowed; s.126 assessment notices and s.3 (1958 Act) demand notices quashed

SCJ-157 South East U.P. Power Transmission Company Ltd. v. Prescribed Authority & Ors. (with Tata Steel Ltd. v. State of U.P.)

IBC 2016 §31

ratio 1 of 2

All HC 2026

2026 SCC OnLine All 3329

ISSUE

Can a DISCOM enforce electricity dues for a period prior to approval of the resolution plan, where the dues were not claimed during CIRP and not part of the approved plan?

RATIO

No. On approval under s.31, the resolution plan binds all stakeholders including statutory authorities and extinguishes all claims not filed during CIRP or not forming part of the plan; such claims cannot be resurrected under the guise of statutory recovery. The authorities admittedly filed no claim during CIRP and the dues were not in the plan, so the impugned pre-CIRP demands cannot be enforced. Continuity of the corporate name does not make the reborn entity liable for pre-CIRP unclaimed dues, and CIRP publication is sufficient notice to all stakeholders.

ON THE FACTS Both petitioners' resolution plans were approved by NCLT and attained finality; the impugned demand notices related to pre-CIRP periods.

DISPOSITION Writ petitions allowed; pre-CIRP electricity demand notices quashed

SCJ-157 South East U.P. Power Transmission Company Ltd. v. Prescribed Authority & Ors. (with Tata Steel Ltd. v. State of U.P.)

IBC 2016 §238

ratio 2 of 2

All HC 2026

2026 SCC OnLine All 3329

ISSUE

Do the Electricity Act's own overriding clauses (ss.173/174) protect electricity dues from the IBC?

RATIO

No. Although s.174 gives the Electricity Act overriding effect (subject to the s.173 carve-outs), that clause is itself subject to s.238 IBC, a later and unambiguous non-obstante provision that prevails over all other laws in case of inconsistency. In insolvency, the IBC prevails notwithstanding ss.173 and 174 of the Electricity Act; the contention that electricity dues, being statutory, cannot be extinguished is unacceptable.

DISPOSITION Writ petitions allowed; pre-CIRP electricity demand notices quashed

SCJ-160 Reliance Projects and Property Management Services Ltd. v. State of U.P. &

All HC 2026

Others IBC 2016 §31 ratio 1 of 2

2026 SCC OnLine All 3330

ISSUE

For what period do a resolved corporate debtor's dues to statutory authorities stand extinguished, and from what date does its liability begin?

RATIO

All claims for the periods before the plan's effective date — pre-CIRP dues, CIRP-period operational costs, and the monitoring/transition phase up to the effective date — that were not filed during the CIRP or not provided for in the approved plan stand extinguished under s.31 and are unenforceable; the corporate debtor emerges on a clean slate notwithstanding continuity or change of name. Liability crystallises only from the 'effective date' (here 22-12-2022, the actual transition of control on deposit of the resolution amount), determined by the plan's implementation structure — not merely the date of approval — especially where implementation was delayed by litigation; and the exclusion of time taken in litigation benefits the petitioner, not the respondent authorities.

ON THE FACTS The authorities neither filed a claim during CIRP nor objected to the plan before the NCLT; the plan was approved, litigated up to the Supreme Court, and implemented with takeover on 22-12-2022.

DISPOSITION Writ petition allowed; pre-effective-date demand notices, recovery certificates and coercive proceedings quashed

SCJ-160 Reliance Projects and Property Management Services Ltd. v. State of U.P. &

All HC 2026

Others IBC 2016 §238 ratio 2 of 2

2026 SCC OnLine All 3330

ISSUE

IBC overrides the Electricity Act — even 'arrears on premises' cannot be demanded for the pre-effective-date period

RATIO

Because the IBC has overriding effect, statutory authorities cannot enforce extinguished claims or resort to coercive recovery; and dues or arrears 'on premises' that would ordinarily be demandable under the Electricity Act cannot be demanded for the pre-effective-date period, the IBC prevailing. For any post-effective-date dues the parties have their remedy under the Electricity Act.

DISPOSITION Writ petition allowed; pre-effective-date demand notices, recovery certificates and coercive proceedings quashed

E. Premises, Site, Estimates & Feeders

17 RATIOS · 16 JUDGMENTS

SCJ-094 Northern Coalfield Ltd. v. Chairman and Managing Director, U.P. Power Corporation Ltd. &

All HC 2005

Ors. Supply Code 2005

ratio 1 of 2

2006 (2) AWC 1642

ISSUE

(a) Is a consumer on an 'independent feeder' emanating from a 400/220/132 KV sub-station also separately liable for the 15% restricted/peak-hours surcharge, in addition to the 15% independent-feeder surcharge? (b) Does a feeder cease to be 'independent' merely because other consumers are fed from other feeders emanating from the same sub-station?

RATIO

(a) Yes — the restricted-hours surcharge (row 3) and the independent-feeder surcharge (row 4) confer distinct benefits and are cumulative; a consumer availing both must pay a total 30% surcharge, and cannot avoid the restricted-hours surcharge merely by virtue of being on an independent feeder. (b) No — an independent feeder does not cease to be independent because other feeders (serving other consumers) also emanate from the same sub-station; it loses that character only if another consumer is tapped onto the very same feeder. Applying this, the NCL Bina connection (no other consumer on that feeder) was held an independent feeder from a 132 KV sub-station (both surcharges payable, 30% total), while the IWSS Khadia connection (power also tapped to a Kota Basti sub-station on the same feeder, without proven consumer consent) was held not an independent feeder (only the 15% restricted-hours surcharge payable, no independent-feeder surcharge; no penalty for want of prior permission, since the benefit had in fact been extended without objection).

ON THE FACTS Northern Coalfield Ltd. held two HV-2 power connections from a shared 2x20MVA sub-station at Bina — one for coal mining (NCL Bina, direct/unshared feeder) and one for an integrated water supply scheme (IWSS Khadia, whose feeder was also tapped to feed a Kota Basti sub-station serving other consumers) — and disputed a Tariff Order 2000-01/notification dated 9.8.2000 levying a cumulative 30% surcharge (restricted hours + independent feeder) rather than treating the two surcharges as mutually exclusive.

DISPOSITION Appeal partly allowed

SCJ-101 Pawan Kumar Agarwal s/o M.P. Agarwal v. State of U.P. thru. Secretary &

All HC 2007

Ors. Supply Code 2005 §3.4

2008 (1) AWC 158

ISSUE

Can a licensee insist that a textile-weaving/dyeing unit (3000 KVA load, outside Clause 3.4(a)'s enumerated heavy industries) take supply only through an independent feeder (at the consumer's cost of ~Rs. 19 lakh), where supply via an existing dependent feeder has been found technically feasible?

RATIO

No — Clause 3.4(a)'s enumerated industries (Arc/Induction furnaces, Rolling Mills, Re-rolling Mills, Mini steel plants) are specific and restrictive, not illustrative; a textile unit does not fall within it. Clause 3.4(b) gives such other consumers with load above 500 KVA merely an *option* to seek an independent feeder — it is not compulsory, and the licensee cannot insist on or compel independent-feeder supply where a dependent/shared feeder has been found technically feasible (as the respondents' own committee had found here). A generalized theft-prevention rationale does not override the Code's clear text, since the Code itself provides other anti-theft mechanisms. The condition imposed (independent-feeder connection, at ~Rs. 19 lakh cost to the consumer) was quashed, and the licensee directed to provide the sanctioned 3000 KVA connection from the existing 33 KV Fatehpur feeder within two weeks.

ON THE FACTS The petitioner applied for a new 3000 KVA connection for a weaving/dyeing textile unit; the licensee's sanction letter (6.7.2007) conditioned the connection on the consumer bearing the cost of an independent feeder (~Rs. 19 lakh), citing power-theft concerns; the licensee's own committee later found supply from the existing 33 KV Fatehpur feeder (previously used by another consumer, now permanently disconnected) technically feasible.

DISPOSITION Writ petition allowed; condition requiring an independent feeder connection quashed

SCJ-260 Purvanchal Vidyut Vitran Nigam Ltd., Bhikaripur & Anr. v. Vidyut Lokpal (Electricity Ombudsman) & Anr.

All HC 2008

Supply Code 2005 §3.4

ratio 2 of 2

2008 SCC OnLine All 376 : AIR 2008 All 127 : (2008) 5 All LJ 683

ISSUE

Where Clause 3.4(a) requires supply to a 1000+ KVA furnace/rolling-mill load through an independent feeder, may a connection instead be released by tapping an existing feeder?

RATIO

Yes, under the Clause 3.4(d) exception. Where construction of a separate feeder is not possible (non-availability of corridor/right of way/bay - here a railway track and agricultural land intervened), tapping of the independent feeder may be permitted to another connection having a similar process, which includes such furnace/rolling-mill consumers. The Ombudsman's direction for temporary tapping of the 33 KV Fatehpur feeder (with an independent meter for energy audit) was not contrary to Clause 3.4(a) but within the 3.4(d) exception, and was upheld; the licensee's objection confined to 3.4(a) ignored the exception.

ON THE FACTS 3000 KVA connection to a model consumer suffering Rs. 50 lakh/month loss; independent feeder unfeasible pending railway/farmer NOC; similar tapping earlier allowed to Nitin Ispat and Laxmi Katsin; temporary arrangement to balance equities.

DISPOSITION Writ petition dismissed; the Electricity Ombudsman's award directing temporary connection by tapping upheld

SCJ-258 Executive Engineer, Electricity Urban Distribution Division IInd v. Electricity Ombudsman, Lucknow & Ors.

All HC 2010

Supply Code 2005 §4.6

ratio 1 of 2

2010 SCC OnLine All 2611 : (2010) 6 All LJ 446

ISSUE

Where the department delays energising a sanctioned, fully-paid connection and the area is later re-demarcated, can it require a fresh (higher) estimate and a different feeder?

RATIO

No. The estimate is valid for three months (Clause 4.6(a)) and the connection ought to have been drawn and metered within the stipulated period after the applicant completed formalities and deposited the amount; the department's own delay and the consequential change of area cannot authorise it to change the feeder or demand a fresh estimate. Proviso 4.6(g) bars charging estimates in excess where they were sanctioned before a revision of charges. The Ombudsman rightly directed connection to the tube well on the old estimate from the urban feeder (no restriction in the Code against supplying a private tube well from an urban feeder), billed under rate schedule LMV-5.3(b).

ON THE FACTS Connection sanctioned and estimate (Rs. 48,575) deposited in 2007; department failed to draw the line for years; area re-demarcated; department offered a fresh estimate from a farther rural feeder.

DISPOSITION Writ petition dismissed; the Electricity Ombudsman's award (upholding the CGRF's directions) sustained

SCJ-052 M/S Birla Aircon v. District Magistrate, Meerut & Ors.

Supply Code 2005 §2.2(ss)

All HC 2012

ISSUE

Where recovery proceedings and sealing (for a defaulting consumer's electricity dues, recovered as arrears of land revenue) are executed at a shared/adjoining municipal address, can they extend to the distinct premises of another firm that never held an electricity connection, without first determining what 'premises' (per Clause 2.2(ss)) the sanctioned connection actually covered?

RATIO

No, not without that determination. 'Premises' under Clause 2.2(ss) of the Code means the area/portion of the building/shed/field for which the connection was applied for or sanctioned to a single consumer; recovery as arrears of land revenue against the defaulter can proceed only against premises so defined. Since the record lacked sufficient material on the ownership/occupation of the two firms and the precise extent of the premises sanctioned to the defaulter (M/s Beeco Electricals India) as of the date of sanction (26.5.2004), the Court could not resolve the scope issue on the writ record and remitted the objection to the Collector (with liberty to conduct spot inspection) for a reasoned decision within three weeks, after hearing the licensee.

ON THE FACTS M/s Beeco Electricals India (assessed for theft, Rs. 26,54,671, per SCJ-051) defaulted on the recovery certificate, and its sealed premises at Municipal No. 149 (old)/280 (new), Delhi Road, Meerut were sealed by revenue officials under the U.P. Zamindari Abolition and Land Reforms Act, 1950; M/s Birla Aircon, a separate partnership with its own generators and no electricity connection, claimed its premises (registered at the same old municipal number) were wrongly swept into the sealing.

DISPOSITION Writ petition disposed of (liberty to object before the Collector against sealing of the non-defaulting firm's premises)

SCJ-067 M/S Shri Parasnath Alloys (Pvt.) Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd. &

All HC 2013

Ors. Supply Code 2005 §3.4

ISSUE

Where several consumers (having a similar furnace/rolling-mill process) are successively permitted to tap an already-constructed independent feeder, paying only the cost of their own connecting line from the tapping point, must the licensee obtain the consent of an earlier tapping consumer (who never funded the feeder itself) before permitting a further consumer to tap the same feeder, under Clause 3.4(d)(ii)?

RATIO

No. The 'original consumer' whose consent is required under Clause 3.4(d)(ii) is the consumer at whose instance and cost the independent feeder itself was constructed — here, the consumer that paid the entire feeder-construction cost (over Rs. 1.25 crore) and was sanctioned load first. Subsequent consumers permitted to tap the feeder, who bore only the cost of their own connecting line (not the feeder's construction), do not thereby acquire 'original consumer' status or a consent right over further tapping; nor is there evidence that the petitioner itself obtained the true original consumer's consent, which would be necessary to stand in its shoes (as in Kesarwani Sheetalaya, factually distinguishable since there the objecting party had obtained consent from, and shared cost with, the true original consumer). Since the true original consumer raised no objection to the further sanction, and was not even a party to the writ, the petitioner (itself only a downstream tapping consumer) had no justiciable ground to object to a further consumer's tapping of the same feeder.

ON THE FACTS An independent feeder ('Siddhballi feeder') was constructed at the sole cost of M/s Shree Siddhballi Steels Ltd. (sanctioned first, 2.4.2009); the petitioner and two other similar-process units were subsequently sanctioned load from the same feeder by tapping, each bearing only the cost of its own connecting line (not the feeder's construction); when a fourth consumer, respondent no.3, was similarly sanctioned load by tapping (5.9.2012), the petitioner objected for want of its own consent under Clause 3.4(d)(ii), without ever having obtained or pleaded consent from the true original consumer (Siddhballi Steels, which itself raised no objection and was not a party).

DISPOSITION Writ petition dismissed

SCJ-123 Sigma Castings Ltd. & Another v. Purvanchal Vidyut Vitran Nigam Ltd. & Others (with Kundan Castings (P) Ltd.; PVVNL v. Vidyut Lokpal; M/s Shyam Ferrous

All HC 2013

Ltd.) Supply Code 2005 §3.4 ratio 1 of 3

ISSUE

Does Clause 3.4(a)'s mandatory independent-feeder requirement (for load of 1000 KVA and above to specified heavy industries) apply only to new connections/Clause 4.43(c) enhancements involving a system/voltage change, or does it also apply to Clause 4.43(b) enhancements not involving such a change?

RATIO

Clause 3.4(a) applies to both. It is wide enough, and uses the word 'only', to cover both new connections and additional-load applications without qualification — Clause 4.43 (which only prescribes time-frames/procedure) cannot be read to narrow this substantive requirement; a harmonious construction requires reading Clause 4.43 alongside, not divorced from, Clause 3.4. Accordingly, after the Supply Code's 18.2.2005 commencement, any release of 1000 KVA-plus load to Clause 3.4(a) industries — whether by new connection or load enhancement, and whether or not it changes the system/voltage — must be through an independent feeder.

ON THE FACTS Sigma Castings and Kundan Castings sought enhancement of already-sanctioned high-tension loads (from 2700 to 5700 KVA, and 3410 to 6510 KVA respectively) via their existing mixed 33 KV feeders, arguing their applications (not involving a system/voltage change) fell under the lighter Clause 4.43(b) procedure and outside Clause 3.4's independent-feeder mandate.

DISPOSITION Writ petitions disposed of variously — bank-guarantee conditions quashed; independent-feeder requirement upheld; Electricity Ombudsman's award quashed

SCJ-123 Sigma Castings Ltd. & Another v. Purvanchal Vidyut Vitran Nigam Ltd. & Others (with Kundan Castings (P) Ltd.; PVVNL v. Vidyut Lokpal; M/s Shyam Ferrous Ltd.)

All HC 2013

Supply Code 2005 §2.2(ff)

ratio 2 of 3

ISSUE

Can the Electricity Ombudsman direct a licensee to supply Clause 3.4(a)-covered load (1000 KVA+) via its existing mixed feeder (rather than a newly-constructed independent feeder), relying on Clause 3.4(d)'s tapping-permission provision and on instances of the licensee having previously done so for other consumers?

RATIO

No. Clause 2.2(ff) defines 'independent feeder' as one supplying a single consumer or group of consumers with a similar process; a mixed feeder serving thousands of differently-processed industries (here, ~5110-11250 industries) does not qualify, so Clause 3.4(d) (which permits tapping of an existing independent feeder where separate-feeder construction is infeasible) has no application to a mixed feeder. The Electricity Ombudsman's award directing supply via the mixed feeder — vague as to duration and contrary to Clause 3.4(a) — exceeded its Regulation 11 jurisdiction (which confines awards to what is consistent with the Act and Supply Code, per Punjab SEB v. Vishwa Calibere Builders) and was quashed. Prior instances of the licensee mistakenly supplying other Clause 3.4(a) consumers via the mixed feeder (M/s Nitin Spat) do not found a valid discrimination claim, since Article 14 guarantees no negative equality (Chandigarh Administration v. Jagjit Singh; State of Orissa v. Mamata Mohanty) — a prior illegality cannot be perpetuated on that ground.

ON THE FACTS M/s Shyam Ferrous Ltd. sought a new 3000 KVA connection via the same 33 KV Fatehpur mixed feeder, obtaining a favourable Electricity Ombudsman award (18.1.2008) directing PVVNL to supply via that feeder, citing difficulty (railway line, agricultural land crossing) in constructing an independent feeder and pointing to two prior consumers (M/s Laxmi Cotsyn, M/s Nitin Spat) supplied via the same mixed feeder.

DISPOSITION Writ petitions disposed of variously — bank-guarantee conditions quashed; independent-feeder requirement upheld; Electricity Ombudsman's award quashed

SCJ-244 Raj Narayan Singh v. State of U.P. and Others

Supply Code 2005 §3.4

All HC 2013

2013 SCC OnLine All 1445

ISSUE

Can a small tube-well consumer who deposited the cost of ordinary lines and a transformer invoke Clause 3.4 to prevent the licensee from tapping that transformer/line to supply another consumer?

RATIO

No. Clause 3.4 governs supply through independent feeders (Arc/Induction furnaces, Rolling/Re-rolling Mills, mini steel plants of 1000 KVA and above, or other loads above 500 KVA on request) and the conditions for tapping such feeders, including the original consumer's consent. A 2 HP / 2 KW tube-well consumer who merely paid for ordinary lines and a transformer has no independent feeder and no right under Clause 3.4 to object to tapping. Tapping may nonetheless be permitted only if technically feasible and after the licensee records satisfaction that the petitioner's own supply will not be affected.

ON THE FACTS Petitioner had a 2 KW / 2 HP tube-well connection and had deposited the cost of drawing lines and a transformer, not an independent feeder; respondent no. 5 sought a tube-well connection tapped from the same transformer/line.

DISPOSITION Writ petition disposed of; no right to object to tapping, but licensee may allow tapping only after recording feasibility that the petitioner's supply is unaffected

SCJ-026 Executive Engineer, Electricity Urban Distribution Division v. The Electricity Ombudsman & 2 Others

All HC 2014

Supply Code 2005 §2.2(tt)

ratio 2 of 2

ISSUE

Can a 'Protective Load' charge be levied where the consumer never opted for, and was never sanctioned, the protective-load facility?

RATIO

No. A 'Protective Load' (Clause 2.2(tt): a load not subject to normal rostering) charge under the Tariff Orders is attracted only where the consumer has opted for the facility and it has been sanctioned by the licensee. The Aviation College never exercised such option; the demand — raised suo motu for eight years' arrears on an audit objection — was illegal (following Allahabad Inter Prises v. State of U.P.).

ON THE FACTS The licensee raised a 'Protective Load' demand of Rs. 9,47,340 from 1.12.2004 collectively, only after an audit objection; the consumer had never opted for protective load and the agreement contained no such stipulation.

DISPOSITION Writ petition dismissed with Rs. 25,000 costs (Ombudsman's order upheld)

SCJ-201 Smt. Madhu Rani Agrawal v. State of U.P. & 5 Others

Supply Code 2005 §4.6

All HC 2014

2014 SCC OnLine All 229

ISSUE

Can a consumer insist on providing and installing the transformer/poles for a new connection instead of the Department?

RATIO

No. Under the regulations and the Cost Data Book, installation up to 500 metres from the pole is done by the Department; and Clause 4.6 provides that the new-connection estimate includes the charges of laying the line, distribution mains, material and system-loading charges, which covers poles and transformer. The Department is obliged to carry out the installation and the consumer to pay for it; the plea to self-install (the installation being within 500 metres) fails.

ON THE FACTS New connection with installation admittedly within 500 metres; consumer wished to supply a 'better quality' transformer and poles herself.

DISPOSITION Writ petition dismissed

SCJ-072 M/S. Kamla Cold Storage And Ice Factory v. M.V.V.N.L. & Anr.

Supply Code 2005 §2.2

All HC 2020

ISSUE

Does Section 62(6) of the Act (entitling a consumer to bank-rate interest where the licensee recovers a charge exceeding the determined tariff) apply where a consumer was correctly billed as per the tariff order, but a tariff-order rebate (for supply from a rural rather than urban feeder) was credited to the consumer's account only belatedly?

RATIO

No. Under Clause 2.2 of the Code, 'tariff order' and 'tariff schedule' fix the rates (fixed charge, energy charge, demand charge) a licensee may charge; a rebate is a distinct concession applied to reduce the bill generated from those tariff-calculated charges, not itself an element of the chargeable tariff. Since the fixed and energy charges billed to the consumer were correctly calculated as per the tariff order, and the rebate (also provided for in the tariff order) was in fact eventually credited, this is not a case of the licensee recovering a price or charge 'exceeding the tariff determined' within Section 62(6); a rebate cannot be equated to excessive tariff so as to bring delayed crediting within the ambit of Section 62(6). No interest was payable on the delayed rebate.

ON THE FACTS The consumer's cold storage was supplied from a rural feeder (at its own request, having previously been on an urban feeder) and was billed fixed/energy charges as per the tariff order; a rebate applicable to rural-feeder supply was credited only after some delay, and the consumer sought bank-rate interest under s.62(6) on the rebate amount, alleging the delay itself amounted to an admission of overcharging.

DISPOSITION Writ petition dismissed

SCJ-230 KPB Metals Private Limited v. State of U.P. and Others

Supply Code 2005 §4.8

All HC 2022

2022 SCC OnLine All 940

ISSUE

Can a consumer use an existing sanctioned-load connection for adjoining plots acquired after the sanction, as an internal change under Clause 4.45(c), or is that a change of site barred by Clause 4.8(d)(i)?

RATIO

It is a change in the site of the sanctioned load, which Clause 4.8(d)(i) does not permit. Clause 4.45(c) applies only to changes in wiring/apparatus/service line within the premises for which the connection was accorded; 'premises' under Clause 2.2(ss) is the area (here khasra 267M) for which the connection was applied for/sanctioned for a single consumer. Plots 265 and 266, acquired after the sanction, did not become part of those premises merely by being contiguous, so Clause 4.45(c) was inapplicable and the Executive Engineer rightly invoked Clause 4.8(d) to reject the request. The consumer may apply afresh for the new premises, or seek disconnection and a fresh connection for the entire premises.

ON THE FACTS 3000 KVA load sanctioned for khasra 267M; adjoining plots 265/266 acquired 25.1.2022, after the sanction; application to use the existing connection for the additional plots rejected under Clause 4.8(d).

DISPOSITION Writ petition dismissed

SCJ-021 Dr. Ashok Kumar Sharma & Another v. State of U.P. & 4 Others

Supply Code 2005 §2(oo)

All HC 2024

2024:AHC:31947-DB

ISSUE

Is a tenant against whom an unstayed decree of eviction operates an 'occupier' entitled to a fresh connection under the Code?

RATIO

A tenant is ordinarily an 'occupier' (Clause 2(oo)) entitled to apply for a connection on an indemnity bond and cannot be denied supply merely for want of the landlord's NOC. But 'occupier' means a person authorised to occupy; a tenant faced with an unstayed eviction decree is not so authorised, and the court declined, in its discretion under Article 226, to direct a connection at that stage — with liberty to apply if the decree is set aside, recalled or stayed.

ON THE FACTS An ex parte eviction decree (19.4.2018) against the tenants was pending execution with no stay; outstanding dues exceeding Rs. 3,00,000 stood on the old connection.

DISPOSITION Writ petition disposed of (connection refused at this stage; liberty if the eviction decree is set aside/stayed)

SCJ-104 Priy Shankar Pandey v. State of U.P. & 4 Others

Supply Code 2005 §4.5(d)

All HC 2024

2024:AHC:167473-DB

ISSUE

How is a dispute to be resolved where a landowner objects to a new electric pole/line being erected on his private property to supply electricity connections to village residents, and the residents contend the public work should not be stalled?

RATIO

The landowner has a right under Clause 4.5(d) of the Supply Code to object to a supply line being laid over his land; that objection is to be resolved under Clause 3 of the Works of Licensees Rules, 2006 by the District Magistrate, Commissioner of Police, or other authorised officer, who must balance the landowner's rights against the public interest in not unduly stalling the electrification work. The petitioner was directed to file an application under Clause 3 (with a supporting affidavit, documents, and photographs) within three weeks; the authority was directed to decide the application within eight weeks after hearing all necessary parties, with status quo to be maintained in the interim.

ON THE FACTS The petitioner objected to a new electric pole being erected on his private property and to an electric line being routed from a pole on his land to supply village residents, who in turn contended the petitioner was obstructing an urgently-needed public electrification work.

DISPOSITION Writ petition disposed of; petitioner directed to apply under Clause 3, Works of Licensees Rules, 2006, with status quo pending decision

SCJ-120 Shivmahraj v. State of U.P. & 6 Others

Supply Code 2005 §4.5(d)

All HC 2024

2024:AHC:105830-DB

ISSUE

Companion ruling to SCJ-104 — identical holding on a parallel landowner objection to a new power line/pole for village electrification

RATIO

As in SCJ-104: the landowner has a right under Clause 4.5(d) of the Supply Code to object to a supply line/pole being erected over his land; that objection is to be resolved under Clause 3 of the Works of Licensees Rules, 2006 by the District Magistrate or other authorised officer, balancing the landowner's rights against the public interest in the electrification work. The petitioner was directed to appear before the District Magistrate (already scheduled to hear similar grievances) with all relevant material, to be heard and a decision passed after hearing all parties including the licensee respondents, with status quo maintained in the interim.

ON THE FACTS The petitioner objected to a new electric pole being erected on his private property and to a line from that pole supplying electricity to village residents, who in turn contended the petitioner was obstructing an urgently-needed public electrification work — materially identical facts to SCJ-104 (Priy Shankar Pandey), decided about nine months earlier by an overlapping Bench.

DISPOSITION Writ petition disposed of; petitioner directed to appear before District Magistrate with status quo pending decision

SCJ-169 Abhimanyu Singh v. State of U.P. & 7 Others

Supply Code 2005 §4.5(d)

All HC 2026

2026 SCC OnLine All 5411

ISSUE

Who bears the extra cost when a third party's objection forces the licensee to route a new supply line along a longer/alternate route?

RATIO

Direct transmission from the distribution main to the point of supply is at the licensee's cost. Under Clause 4.5(d), where the supply line would go over a third party's property and an objection requires an alternate route, the applicant must obtain the no-objection or bear the cost differential of the different route. The licensee must furnish particulars of the cost of the direct and the longer route, and demand only the differential; any excess already deposited is adjusted against future bills, and the supply given within two weeks.

ON THE FACTS Applicant initially opted to establish the connection himself (only supervision charges under Clause 4.6(e)(ii)), then sought supply from the licensee; neighbours objected that the property is landlocked.

DISPOSITION Writ petition disposed of with directions on the fresh estimate and supply

F. Security, Load, Tariff & Regulatory Economics

26 RATIOS · 20 JUDGMENTS

SCJ-094 Northern Coalfield Ltd. v. Chairman and Managing Director, U.P. Power Corporation Ltd. &

All HC 2005

Ors. UP Reforms Act 1999 §26

ratio 2 of 2

2006 (2) AWC 1642

ISSUE

An application alleging that a licensee is charging a surcharge inconsistent with an approved tariff order (violating licence terms/tariff compliance) is properly filed under s.26 of the 1999 Act before the Commission, not a barred civil suit

RATIO

Since a civil suit is barred under s.48 of the 1999 Act, and the consumer's grievance was in substance that the licensee was contravening the terms and conditions of its licence/tariff order by levying an unauthorised surcharge, the application was properly maintainable under s.26 (not Regulation 138's 90-day review-application bar, which did not apply).

ON THE FACTS NCL's application before the U.P. Electricity Regulatory Commission was filed beyond the 90-day review window under Regulation 138 of the 2000 Conduct and Service Regulations but was recharacterised as one seeking enforcement of licence/tariff compliance under s.26.

DISPOSITION Appeal partly allowed

SCJ-156 Noida Power Company Ltd. v. State of U.P. & Anr.

UP Reforms Act 1999 §10(a)

ratio 1 of 3

All HC 2005

2005 SCC OnLine All 1117

ISSUE

Who determines the power-purchase price after the Regulatory Commission was constituted — the Commission or the price mechanism in the parties' agreement?

RATIO

From the constitution of the Commission on 25.4.1998, only the Regulatory Commission is competent to determine the tariff/power-purchase price under s.10(a), irrespective of Clause 7(a) of the agreement and despite the agreement's protection under s.47 of the Electricity (Supply) Act, 1948. If the Commission can fix the rate in the teeth of the agreement once constituted, it equally has jurisdiction to fix it for the initial six months and subsequent periods.

DISPOSITION Writ petition allowed; Beg Committee (Third) Report set aside; the Commission's determination affirmed

SCJ-156 Noida Power Company Ltd. v. State of U.P. & Anr.

UP Reforms Act 1999 §10(q)

ratio 2 of 3

All HC 2005

2005 SCC OnLine All 1117

ISSUE

Commission's jurisdiction to adjudicate licensee-utility disputes

RATIO

Section 10(q) must be given its widest meaning: the Commission's functions include adjudicating disputes and differences between licensees and utilities and referring matters to arbitration (mirroring s.22(2)(n) of the 1998 Act), and s.52 gives the Act overriding effect. The reference of the dispute to the Commission was therefore competent.

DISPOSITION Writ petition allowed; Beg Committee (Third) Report set aside; the Commission's determination affirmed

SCJ-156 Noida Power Company Ltd. v. State of U.P. & Anr.

ESA 1948

ratio 3 of 3

All HC 2005

2005 SCC OnLine All 1117

ISSUE

Reasonable return; power-purchase rate by reverse application of the Sixth Schedule

RATIO

NPCL being entitled to a reasonable return, the power-purchase rate may be determined by reverse application of the principles of the Sixth Schedule, which is one of the most appropriate, accurate and secure methods. The Commission's year-wise determination rested on settled norms and did not call for interference.

DISPOSITION Writ petition allowed; Beg Committee (Third) Report set aside; the Commission's determination affirmed

SCJ-155 M/s Saini Alloys Pvt. Ltd. v. U.P. Power Corporation, Lucknow &

All HC 2006

Ors.

UP Reforms Act 1999 §24

ratio 1 of 2

2006 SCC OnLine All 1312

ISSUE

Could the distribution licensee alter the tariff / the 15% guaranteed-supply surcharge by executive circulars, and were the 2000 circulars valid?

RATIO

No. Tariff is determined by the U.P. Electricity Regulatory Commission under Section 24; a licensee has no authority to alter it. Any alteration required the procedure in Section 24(5)-(8), which was not followed; the circulars of 8-9-2000 and 15-12-2000 were therefore void ab initio and acquired no significance, and the theory of 'deemed approval' was rejected. The circular of 31-8-2001 withdrawing them was valid.

DISPOSITION Appeals and writ petition dismissed with costs (subsequently REVERSED by the Supreme Court)

SCJ-155 M/s Saini Alloys Pvt. Ltd. v. U.P. Power Corporation, Lucknow &

All HC 2006

Ors.

UP Reforms Act 1999 §24-tariff-fact-forum

ratio 2 of 2

2006 SCC OnLine All 1312

ISSUE

Whether guaranteed supply was given is a fact for the prescribed authority, not the Commission

RATIO

Whether the licensee actually made the guaranteed supply of 500 hours per month is a question of fact to be determined by the prescribed authority competent to hear objections to the bills; it is not for the Commission (whose role is to determine tariff, not adjudicate factual controversies) nor for the Court.

DISPOSITION Appeals and writ petition dismissed with costs (subsequently REVERSED by the Supreme Court)

SCJ-246 M/s L.M.L. Ltd. v. State of U.P. & Ors.

Supply Code 2005 §4.49

ratio 1 of 2

All HC 2009

2009 SCC OnLine All 1157 : (2009) 6 All LJ 537 : (2009) 77 ALR (SUM 57) 26 : 2010 AIHC 480

ISSUE

Where the licensee decided to reduce load on a complete application, can it later refuse effect for want of a bank guarantee introduced by a subsequent amendment, and from when does the reduction take effect?

RATIO

No. The load reduction stood approved by the licensee's signed decision of 19.4.2006, at which time no shortcoming in the application or non-compliance with Clauses 4.41/4.49 was pointed out; only ministerial steps remained. The application dated 31.3.2006 was governed by Clause 4.49 as it then stood, which accepted a bond or any instrument (the word 'instrument' being wide enough to include the affidavit of undertaking filed) and not only a bank guarantee; the requirement of a bank guarantee introduced by the 14.9.2006 amendment did not apply, so the later demands for a bank guarantee were of no consequence. No UPERC approval was required for a licensee's load-reduction decision. Under Clause 4.41(e) the reduction takes effect from the first day of the following month, i.e. 1.5.2006.

ON THE FACTS Lock-out from 7.3.2006 halted production; application of 31.3.2006 to reduce 8 MVA to 1.25 MVA; signed licensee decision on 19.4.2006 subject only to ministerial conditions; UPERC (8.5.2006) raised no objection; bank-guarantee demanded only later (4.10.2006 / 20.3.2007) on the amended Code.

DISPOSITION Writ petition allowed; the reduction of contracted load from 8 MVA to 1.25 MVA held to have stood approved on 19.4.2006, effective from 1.5.2006

SCJ-252 Tehri Girders Limited and another v. Paschimanchal Vidyut Vitran Nigam Limited and others (with R.A. Castings, Sikka Papers and connected petitions)

Supply Code 2005 §4.49

ratio 1 of 2

All HC 2009

2009 SCC OnLine All 1262 : (2009) 77 ALR 669 : (2010) 1 All LJ 59 : 2010 AIHC 663

ISSUE

Where a demand of additional security on load enhancement has been stayed, can the licensee demand a bank guarantee for an equal amount under Clause 4.49?

RATIO

No. Clause 4.49 is attracted only where a court/forum has stayed the 'recovery of any dues'; the condition precedent is that the amount be a due recoverable by some process under the Act or the Code. Additional security is not such a due: its non-payment merely results in non-release of the additional load and discontinuance of supply, with no recovery process provided. Clause 4.49 is therefore not attracted, and the demand of a bank guarantee for the stayed additional-security amount was unjustified; the petitioners are entitled to release of any bank guarantee already furnished.

ON THE FACTS Load-enhancement applications; additional-security demands stayed by the High Court in separate writ petitions; bank guarantee demanded under Clause 4.43(a)(v) r/w 4.49.

DISPOSITION Petitions challenging bank-guarantee demands for additional security allowed; the connected petition on withdrawal of load-factor rebate dismissed (that amount being a due)

SCJ-252 Tehri Girders Limited and another v. Paschimanchal Vidyut Vitran Nigam Limited and others (with R.A. Castings, Sikka Papers and connected petitions)

Electricity Act 2003 §47

ratio 2 of 2

All HC 2009

2009 SCC OnLine All 1262 : (2009) 77 ALR 669 : (2010) 1 All LJ 59 : 2010 AIHC 663

ISSUE

What is the nature of a security/additional-security deposit under s.47, and can it be treated as a 'due'/arrear recoverable as arrears of land revenue?

RATIO

Security under s.47 is in the nature of an advance payment of charges (a running current account) - the relationship being depositor-depositee, not debtor-creditor (Ferro Alloys) - and is only an amount demanded as a condition of supply, not owed as an enforceable debt; hence it is not 'dues' and cannot be recovered as arrears of land revenue (Mirzapur Electric Supply, on s.47-A of the 1948 Act). By contrast, a load-factor rebate once given in the bill and later withdrawn does become a 'due', and a bank-guarantee demand for that amount cannot be faulted.

ON THE FACTS Security/additional security is refundable with interest and adjustable against arrears; non-payment leads only to non-supply; withdrawal-of-rebate amounts distinguished as bill-based dues.

DISPOSITION Petitions challenging bank-guarantee demands for additional security allowed; the connected petition on withdrawal of load-factor rebate dismissed (that amount being a due)

SCJ-255 M/s. Suvidha Engineers India Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd. &

All HC 2009

Ors. Supply Code 2005 §4.49 ratio 1 of 2

2009 SCC OnLine All 1773 : (2010) 1 All LJ 35

ISSUE

Is Clause 4.49 (bank guarantee for a stayed dues amount as a condition of load enhancement) ultra vires the Electricity Act, 2003 or an interference with judicial review?

RATIO

No. Clause 4.49 is intra vires. It is a protective provision to insulate the licensee against apprehended future loss, triggered only because the consumer applied for enhancement of load; it neither enforces recovery of the stayed amount nor overrides the court's stay, so it does not abridge judicial review (Cauvery, S.S. Bola, Indian Aluminium distinguished). It does not violate Section 127(2) (which governs the one-third pre-deposit for an assessment appeal), nor Section 56(2) (the two-year recovery bar is inapplicable, since a stay of recovery presupposes a recoverable amount). The vires challenge was refused and the petitions dismissed, with liberty to represent on the bank-guarantee quantum.

ON THE FACTS Theft assessment (1999) stayed by an interim order (14.7.2000) on a Rs. 4,00,000 deposit; on the consumer's later load-enhancement application (97 to 150 KVA) the licensee demanded a bank guarantee of Rs. 23,17,038 under Clause 4.49; assessment writ still pending.

DISPOSITION Both writ petitions dismissed; the challenge to the vires of Clause 4.49 refused, with liberty to represent on the quantum of the bank guarantee

SCJ-038 Kanpur Electricity Supply Co. Ltd. & Anr. v. M/s L.M.L. Limited &

SC 2010

Ors. Supply Code 2005 §4.49 ratio 1 of 2

AIR 2010 SC 1946; (2010) 6 SCC 165

ISSUE

Could the licensee refuse to reduce the agreed load, and keep billing on the higher load, by rejecting the Bond and insisting on a Bank Guarantee under Clause 4.49?

RATIO

No. The unamended Clause 4.49 (in force on 19.4.2006) allowed the consumer to secure disputed arrears by a Bank Guarantee OR a Bond OR any instrument to the licensee's satisfaction; the reduction took effect from the first day of the month after sanction (Clause 4.41(e), i.e. 1.5.2006). Having agreed to the reduction and known of the consumer's Relief-Undertaking/Sick-Company status and the BIFR order, the licensee acted unfairly in rejecting the Bond, insisting on a Bank Guarantee and continuing to bill on the higher (8 MVA) load; the load stood reduced.

ON THE FACTS LML, a Relief Undertaking / Sick Industrial Company, applied to reduce load 8 MVA -> 1.25 MVA (agreed 19.4.2006); KESCO kept billing at 8 MVA and rejected LML's Bond, demanding a Bank Guarantee for ~Rs. 10.24 crore arrears; BIFR had directed acceptance of Rs. 5 lakh/month and no coercive disconnection.

DISPOSITION Special leave petition dismissed (load-reduction upheld; effective from 1.5.2006)

SCJ-030 Harihar Cold Storage v. P.V.V.N.L. & Another

Supply Code 2005

ratio 2 of 2

All HC 2011

ISSUE

Rural-feeder supply cannot be billed at urban rate; no self-help set-off

RATIO

Supply made from a rural feeder cannot be billed at the urban-feeder rate schedule (conceded); the excess is refundable. A consumer who, without authorisation, gets the transformer repaired at his own cost cannot set off that cost against his bills — the remedy is a civil suit.

DISPOSITION Writ petition disposed of (minimum-guarantee charges held not recoverable; rural-rate billing directed; set-off refused)

SCJ-261 Kanpur Electricity Supply Co. Ltd. and another v. Uttar Pradesh Electricity Regulatory Commission, Lucknow and others

All HC 2011

Supply Code 2005 §7.7

2011 SCC OnLine All 1879 : (2012) 90 ALR 649

ISSUE

Is a charitable institution providing free or Government-rate-subsidised service governed by tariff LMV-4(A) or LMV-4(B), and will the CGRF/Ombudsman findings be interfered with?

RATIO

It is governed by LMV-4(A). Both tariff schedules mention charitable institutions, but LMV-4(A) covers those providing service free of cost or at charges not exceeding those of similar Government institutions, and the rest fall under LMV-4(B). The consumer having pleaded and proved (and the licensee having conceded) that it provided free/subsidised service, the concurrent findings of fact of the CGRF and Ombudsman were unimpeachable and were not interfered with; the para 7.7.2 penalty for wrong billing was also sustained. The writ, filed by a State-owned licensee against its own correct billing determination, was dismissed as frivolous and vexatious with costs.

ON THE FACTS Charitable eye-hospital billed under LMV-4(B) for a period then reverted to LMV-4(A); thousands of free operations; licensee conceded LMV-4(A) applied; State-owned company litigating a meritless case.

DISPOSITION Writ petition dismissed as frivolous/vexatious with costs of Rs. 10,000 (recoverable from the officials responsible for advising the filing)

SCJ-123 Sigma Castings Ltd. & Another v. Purvanchal Vidyut Vitran Nigam Ltd. & Others (with Kundan Castings (P) Ltd.; PVVNL v. Vidyut Lokpal; M/s Shyam Ferrous

All HC 2013

Supply Code 2005 §4.49 ratio 3 of 3

ISSUE

A condition requiring a bank guarantee for alleged 'arrears' as a precondition to releasing enhanced load is quashed where the underlying assessment giving rise to the alleged arrears was already conclusively revised and paid, with the revision having attained finality; the licensee may, however, later demand a guarantee for genuinely subsequently-arising dues

RATIO

The Rs. 3.74 crore bank-guarantee condition imposed on Sigma Castings (and, derivatively, on its purported sister-concern Kundan Castings) was quashed, since the underlying 1995 theft-based assessment had been conclusively revised down (from Rs. 3.39 crore to Rs. 9.68 lakh) and paid, with the revision upheld and attained finality in a 2006-dismissed writ petition by UPPCL — a fact PVVNL's counter affidavit did not deny. However, it was left open to PVVNL to require the consumer to clear (or furnish a guarantee for) any dues genuinely accrued since the December 2007 office memorandum (e.g. dishonoured cheques, peak-hour penalties, unpaid current bills), since raising this did not amount to impermissibly supporting the original order on undisclosed grounds.

ON THE FACTS PVVNL demanded a Rs. 3.74 crore bank guarantee from Sigma Castings (and an identical guarantee from Kundan Castings, alleged to be its sister concern) as a condition of releasing enhanced load, based on a stale, already-superseded 1995 theft assessment.

DISPOSITION Writ petitions disposed of variously — bank-guarantee conditions quashed; independent-feeder requirement upheld; Electricity Ombudsman's award quashed

SCJ-166 Hyundai Engineering and Construction Co. Ltd. v. State of U.P. & Others

UP Rate Schedule

All HC 2013

2013 SCC OnLine All 8908

ISSUE

Is a construction company's HV-2-load connection for bridge works chargeable at HV-2 rates only, or at HV-2 + 25% as temporary construction supply under LMV-9 Part C?

RATIO

The 25% additional charge is valid. Part C of Rate Schedule LMV-9 applies to power taken for construction purposes including civil work by all consumers, and applies by the nature/purpose of the supply, not the load factor; under clause (3) the rate is the net rate of the appropriate schedule (here HV-2) plus 25%. As the supply was for the Naini Bridge works and limited by the agreement, it was temporary, and by Clauses 7(a) and 7(d) of the agreement the consumer was liable for the applicable rates and any other charge.

ON THE FACTS HV-2 supply agreement dated 22.12.2000 for a fixed initial period of two years, extendable year to year, taken for construction of a bridge; no statutory definition of 'temporary supply'.

DISPOSITION Writ petition dismissed; 25% additional (temporary-supply) charge upheld

SCJ-219 Shri Satguru Metalloys (Pvt.) Ltd. v. State of U.P. & 3 Others

Supply Code 2005 §4.49

All HC 2013

2013 SCC OnLine All 8379

ISSUE

(Interim) Can a Clause 4.49 bank guarantee be demanded where the underlying assessment has been set aside on appeal and no fresh order passed?

RATIO

Prima facie the matter requires consideration. As the final assessment had been set aside on appeal and no fresh assessment passed, the Court stayed the direction to furnish the Clause 4.49 bank guarantee unless a fresh assessment is passed in terms of the appellate order. The challenge to Clause 4.49 as violative of Article 14 was left for consideration.

DISPOSITION Interim order — bank-guarantee demand under Clause 4.49 stayed

SCJ-250 Barnala Steel Industries Ltd. v. Pashchimanchal Vidyut Vitran Nigam Ltd. and

All HC 2013

Anr. Supply Code 2005 §4.49

2013 SCC OnLine All 10200

ISSUE

Can a licensee demand a bank guarantee under Clause 4.49 for the additional-security amount payable on load enhancement?

RATIO

No. Following the coordinate Division Bench in Tehri Girders Ltd. v. PVVNL (unchallenged by any SLP), Clause 4.49 is attracted only where recovery of 'dues' has been stayed; additional security is not a recoverable due (the sole consequence of its non-payment being non-release of the additional load and discontinuance of supply). The demand of a bank guarantee for the additional-security amount was therefore not in accordance with law and was quashed, the consumer being directed to comply with the sanction's other conditions.

ON THE FACTS Load enhancement sanctioned on 25.5.2013 subject to a bank guarantee of Rs. 2,66,70,160 for additional security; consumer willing to meet the other conditions.

DISPOSITION Writ petition disposed of; the demand of a bank guarantee for the additional-security amount quashed, the consumer to comply with the other conditions of the load-enhancement sanction

SCJ-066 M/S Shokumbhari Pulp & Paper Mills Ltd. v. U.P. Power Corporation Ltd. & 3 Others (with connected petitions)

Supply Code 2005 §3.8

All HC 2014

ISSUE

Can a licensee apply a revised tariff (approved by the Regulatory Commission and published/notified in October 2012) retrospectively from a date preceding the notification/publication?

RATIO

No. Clause 3.8(a) of the Supply Code, read with Section 24(7) of the Reforms Act, 1999 and Regulation 139(2) of the 2004 Conduct of Business Regulations, provides that a published tariff takes effect only seven days after the last date of its publication in at least two widely-circulating daily newspapers, and remains in force until amended and published afresh; none of these provisions empowers retrospective application. Following Binani Zinc Ltd. v. Kerala SEB (the Regulatory Commission has not been empowered to frame tariff with retrospective effect, and all laws are presumptively prospective absent express provision or necessary intendment to the contrary), the licensee's notification purporting to apply the revised tariff from 1.10.2012 — though published only on 23.10.2012 and notified on 25.10.2012 — was without legal authority. The tariff was held effective only from 1.11.2012, and amounts realised on the earlier (retrospective) basis were directed to be adjusted in the consumers' future bills.

ON THE FACTS The U.P. Electricity Regulatory Commission determined a revised tariff on 19.10.2012, which the licensee published on 23.10.2012 and notified on 25.10.2012, but purported to make applicable with effect from 1.10.2012 — a date before either the Commission's determination or the publication.

DISPOSITION Writ petitions allowed; retrospective application of the tariff notification quashed

SCJ-175 M/s Forntier Alloy Steels Ltd. v. Dakshinanchal Vidyut Vitran Nigam Ltd. & 2

All HC 2014

Others Supply Code 2005 §4.20

2014 SCC OnLine All 2727

ISSUE

(Interim) Should the licensee be restrained from enforcing an additional-security demand under Clause 4.20 pending the challenge?

RATIO

Interim relief granted: following the interim order in the similar Supreme Ceramics matter and as identical questions are involved in several cases, the respondents are restrained, without prejudice to the parties' contentions, from demanding additional security from the petitioner until further orders; the petition is to be connected and heard with the lead matter.

DISPOSITION Interim order — licensee restrained from demanding additional security pending the petition

SCJ-053 M/S Dev Prayag Paper Mill (Pvt.) & Ors. v. State of U.P. & Ors. (batch of ~90 connected writ petitions)

All HC 2017

Supply Code 2005 §4.20

ratio 1 of 2

ISSUE

Is Clause 4.20(l) of the Supply Code, 2005 — which withholds the prepayment-meter security exemption until the licensee offers the consumer a choice to opt for such a meter — ultra vires Section 47(5) of the Act, 2003, and can an HT consumer avoid a demand for additional security merely by expressing willingness to take supply through a prepayment meter that is not actually available?

RATIO

No, the clause is intra vires, and no, mere willingness does not suffice. Section 47(5) exempts a consumer from security only where the consumer is 'prepared' to take supply through a prepayment meter, and this preparedness is itself contingent on the actual availability of such a meter; Section 55 separately mandates only a 'correct meter', not a prepayment meter. Since prepayment meters for HT consumption are neither manufactured nor available in the Indian market, the licensee is under no obligation to install one merely on request, and the exemption in Section 47(5) does not arise. Clause 4.20(l) of the Supply Code, which links the exemption to the licensee 'providing a choice to consumer to opt' for a prepaid meter, does no more than track Section 47(5) and is not an independent or additional fetter; it is not ultra vires. Consequently, a demand for additional security on account of increased HT consumption, made while prepayment meters remain unavailable, is valid.

ON THE FACTS A batch of ~90 writ petitions by High Tension consumers challenged demand notices for additional/revised security deposit issued under Clause 4.20 read with s.47, after the consumers had written to the licensee requesting installation of prepaid meters under s.47(5); it was undisputed that prepayment meters for HT consumers were neither manufactured nor available in the market, and none of the petitioners challenged the quantum of the demand or the validity of security under s.47(1) as such.

DISPOSITION Writ petitions dismissed; all interim orders discharged

SCJ-053 M/S Dev Prayag Paper Mill (Pvt.) & Ors. v. State of U.P. & Ors. (batch of ~90 connected writ petitions)

All HC 2017

Electricity Act 2003 §47

ratio 2 of 2

ISSUE

'Subject to the provisions of this section' in s.47(1) means s.47 read as a whole, not subservient to sub-section (5) alone

RATIO

The words 'subject to the provisions of this section' in Section 47(1) indicate that the fixation of reasonable security is governed by Section 47 read as a whole; sub-sections (1) and (2) are not made subject to sub-section (5) alone, rejecting the petitioners' submission (relying on the Black's Law Dictionary meaning of 'subject to' as explained in Saurashtra Chemicals) that sub-section (5) overrides sub-sections (1)-(4).

DISPOSITION Writ petitions dismissed; all interim orders discharged

SCJ-010 BSES Rajdhani Power Ltd. v. Delhi Electricity Regulatory

SC 2022

Commission Electricity Act 2003 §64 ratio 1 of 2

ISSUE

May a State Commission, at the 'truing up' stage, change the methodology or principles used in the initial tariff determination, or otherwise retrospectively amend a tariff order?

RATIO

No. A tariff order under s.64 is quasi-judicial and binding until amended/revoked under s.64(6); truing up is only the adjustment of actuals against projections and cannot be used to re-think de novo the basic principles or retrospectively change the methodology of the initial determination. The DERC's changes on Issues 1, 2, 3 and 5 (LPSC/collection efficiency, depreciation, FR/SR salary, fringe benefit tax) were impermissible and are set aside; interest on Consumer Security Deposit (Issue 4) is a legitimate expense the appellants may recover.

DISPOSITION Appeals allowed in part (DERC/APTEL findings on Issues 1-6 set aside to the stated extent)

SCJ-002 Suman Engineering and Chemicals Pvt. Ltd. v. U.P.P.C.L. & 4

All HC 2023

Others Supply Code 2005 §4.21(a) ratio 1 of 2

2023:AHC:219951-DB

ISSUE

Are system-loading charges — a normative charge for extension/upgradation of the distribution system, taken as part of the connection estimate — refundable where the sanction is cancelled and the applicant never becomes an actual consumer or draws supply, given that Clause 4.21(a) bars refund “for reduction of load”?

RATIO

Yes, refundable. A system-loading charge is a compulsory exaction on one who enjoys the benefit of the distribution system; the liability accrues only once the applicant starts consuming electricity using the licensee's system. A prospective consumer who never takes supply cannot be fastened with it. Refund of Rs. 32,00,000 with interest @ 8.5% p.a. from the date of deposit ordered.

ON THE FACTS The sanction for 3200 KVA was cancelled on 22.11.2014 because the U.P. Pollution Control Board never issued the NOC, for which the petitioner was not responsible; no electricity was ever supplied. Unlike a service line (Clause 4.29), the system upgradation remains the licensee's property and control even after disconnection.

DISPOSITION Writ petition allowed in part

SCJ-002 Suman Engineering and Chemicals Pvt. Ltd. v. U.P.P.C.L. & 4

All HC 2023

Others Electricity Act 2003 §46 ratio 2 of 2

2023:AHC:219951-DB

ISSUE

Recoverable expenditure — actual expenses proved vs the licensee's own statutory obligation

RATIO

Under Section 46 a licensee may recover only “expenses reasonably incurred in providing any electric line or electrical plant”, and the burden to prove actual expenditure lies on the licensee (as the Supreme Court's remand directed). Extension of distribution mains and commissioning of new sub-stations is the licensee's own statutory obligation under the first proviso to Section 43(1) and cannot be loaded onto the consumer. On the evidence the 4-pole structure and service line were actually constructed, so Rs. 5,49,181 and Rs. 4,65,000 were rightly retained; the processing fee of Rs. 5,000 is non-refundable per the Cost Data Book.

DISPOSITION Writ petition allowed in part

SCJ-133 Tehsil Bar Association, Sadar Tehsil Parisar, Gandhi Nagar, Ghaziabad v. U.P. Power Corporation Limited And 3 Others Supply Code 2005 §3.3(e)

All HC 2023

2023:AHC:155009-DB

ISSUE

Should electricity consumed in advocates' chambers located within a court compound be billed under the commercial/non-domestic rate schedule LMV-2 (on the theory that lawyers' chambers are not expressly listed under any rate schedule and thus fall into the residuary LMV-2 category), or under the domestic rate schedule LMV-1?

RATIO

LMV-1 (domestic) applies, not LMV-2. Applying the noscitur a sociis principle (Dr. D.M. Surti v. State of Gujarat) that associated words take their colour from one another, LMV-2's illustrative list (shops, hotels, restaurants, cinemas, commercial/trading establishments, etc.) reflects purely commercial/trading activities, which the legal profession — carried on through personal skill, intelligence, and individual characteristics, and traditionally prohibited from advertising or profit-sharing arrangements by Bar Council rules — is not (Dr. D.M. Surti; V. Sasidharan v. Peter and Karunakar; M.P. Electricity Board v. Shiv Narayan; Sudha v. President, Advocates Association Chennai; Ramanathan v. State of Kerala; Saktharam v. Nagpur Corporation; Arup Sarkar v. CESC). Clause 3.3(e) of the Supply Code already recognises professionals' (including lawyers') use of residential space for practice as not attracting non-domestic tariff, and pre-existing licensee circulars (28.11.1983 and 8.10.1985) classified lawyers' offices as LMV-1; while the current tariff schedule's rate-classification list does not expressly enumerate 'lawyers' chambers,' the residuary Clause 13 (assigning unclassified LMV consumers to LMV-2) cannot be applied where the activity in question is affirmatively non-commercial. The fact that the chambers are located within a court compound rather than a residential building does not change this analysis, since the court compound is itself part of judicial premises historically billed at LMV-1. Discrimination between advocates' chambers in different court compounds within the same State, where a single Electricity Regulatory Commission-approved rate schedule applies uniformly, is impermissible regardless of which distribution company serves a given district.

ON THE FACTS Advocates' chambers in the Tehsil Sadar court compound, Ghaziabad, were billed at commercial (LMV-2) rates despite (a) a prior writ order (2019) recognising LMV-1 applicability to similar chambers, (b) RTI disclosures showing the meters were categorised as domestic, and (c) similarly situated advocates' chambers at the Gautam Budh Nagar district courts (served by a different distribution company) being billed at LMV-1; the licensee's 2019 and 2023 orders relied on the residuary Clause 13 to justify LMV-2 billing, citing the absence of an express lawyers'-chambers category in the current rate schedule.

DISPOSITION Writ petition allowed; respondents directed to bill electricity consumption in advocates' court-premises chambers under rate schedule LMV-1 (domestic)

SCJ-136 Torrent Power Limited v. U.P. Electricity Regulatory Commission &**SC** 2025**Ors.** Electricity Act 2003 §14-franchisee-agency

2025 INSC 838

ISSUE

Does an Electricity Regulatory Commission have jurisdiction under Section 128/129 of the Electricity Act, 2003 to investigate and review the performance (loss-reduction levels, collection efficiency, benefit-passthrough to consumers) of a distribution franchisee appointed by a distribution licensee, on a petition alleging that the franchisee arrangement was not adequately benefiting consumers?

RATIO

No, not directly against the franchisee, and not as a bare performance review. The relationship between distribution licensee and franchisee is one of agency (principal-agent), following APTEL's reasoning in City Corporation Ltd. v. MERC: the franchisee is accountable only to the licensee, and the licensee alone is accountable to consumers and the ERC. The Act contains no provision for direct ERC regulatory oversight of a franchisee — Part IV (ss.12-24) regulates only the licensee. An investigation under s.128 requires the ERC's 'satisfaction,' based on concrete grounds, that the licensee has failed to comply with licence conditions or the Act/Regulations; bare, undocumented allegations (as here, where neither the petitioner nor the subsequently-appointed Expert Committee identified any specific tariff-order or licence violation) do not meet this threshold. While cross-subsidisation of a franchisee's below-bulk-supply input rate by other consumers is a legitimate feature of input-based franchisee models in high-loss areas (a low bid input rate reflects anticipated high capital investment, not misrepresentation), the UPERC and APTEL erred in ordering an open-ended performance review of the franchisee's collection efficiency and loss-reduction trends absent any finding of licensee non-compliance; such micromanagement of a franchisee transaction, without a specific Act/licence violation, exceeds the ERC's statutory mandate. The petition under s.128 was accordingly not maintainable, and the impugned orders were set aside.

ON THE FACTS Respondent no. 3 (DVVNL), an Agra-area distribution licensee, appointed the appellant (Torrent Power Ltd.) as an input-based distribution franchisee under a 2009 Distribution Franchisee Agreement (supplemented in 2010); a private individual (respondent no. 4) filed a petition before UPERC in 2012 alleging violation of s.17 (transfer of utility without Commission approval) and questioning whether the franchisee arrangement benefited consumers; UPERC (2015) held the petition maintainable on public-interest grounds and constituted an Expert Committee to assess the franchisee's performance since 2009-10; APTEL (2016) affirmed on a different rationale (regulatory oversight over licensee functions, not public interest litigation); the Expert Committee's 2017 report found mixed results (improving collection efficiency but slow loss reduction and poor DVVNL-arrears recovery by the franchisee).

DISPOSITION Appeal allowed; APTEL's order (affirming UPERC's order constituting an Expert Committee to review a distribution franchisee's performance) set aside

G. Metering

18 RATIOS · 16 JUDGMENTS

SCJ-162 Smt. Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Ltd. &**All HC** 2009**Anr.** Supply Code 2005 §5.6(c)(iii)

2009 SCC OnLine All 26

ISSUE

Must the licensee inform the consumer of, and obtain agreement to, the venue for testing a sealed meter (licensee's lab / independent lab / electrical inspector) before it is tested?

RATIO

Yes. Clause 5.6(c)(iii) requires the sealed meter to be tested at the licensee's lab, an independent lab or by the electrical inspector 'as agreed by the consumer'; the consumer's agreement is essential and, once exercised, the option cannot be changed. The clause operates harshly and is construed strictly, so the licensee has a corresponding duty to apprise the consumer of the right — including the right to independent testing. Failure to do so renders the sealing and testing proceedings irregular and illegal, and a notice intimating only licensee-lab testing is contrary to law.

ON THE FACTS Secure meter found running 12.61% slow, sealed on 26.11.2008 with a notice to appear at the Nigam's lab on 4.12.2008; on testing it was found tampered and a provisional assessment issued; the consumer was never told of the independent-testing option.

DISPOSITION Writ petition allowed; provisional assessment notice quashed; meter to be tested by an independent agency

SCJ-003 Abhinav Seva Sansthan Mahavidyalaya v. U.P. Power Corporation Nigam Ltd. &

All HC 2011

Ors. Supply Code 2005 §5.6(d) ratio 1 of 2

ISSUE

Where a consumer has paid compounding charges under Section 152 for meter tampering, must the licensee still follow the meter sealing/testing procedure under para 5.6(d) of the Supply Code before the compounding/assessment can stand?

RATIO

No. Once the sum is paid under Section 152(1) and the offence is deemed compounded, the tampering stands admitted-compounded and the question of following the meter-testing procedure (para 5.6(d)) does not arise. The theft assessment was made on the Code's formula (Annexure 6.3); the procedural challenge fails.

ON THE FACTS Contracted load 7.5 KW against 32 KW connected; meter found tampered (a shunt resistance reducing the recording by 50%), the inspection videographed; the petitioner paid the compounding charge (Rs. 3,20,000) and part of the provisional assessment voluntarily, without protest.

DISPOSITION Writ petition dismissed (liberty to appeal the final assessment)

SCJ-059 M/S Modern Rice Mill v. MVVNL & Anr. Supply Code 2005 §5.6 ratio 1 of 3

All HC 2011

ISSUE

(a) Is Clause 5.6 confined to testing of meters already known to be defective, given its heading 'Defective Meters'? (b) Can the licensee rely on a test report from the meter's own manufacturer (Secure Meters Ltd.) as testing by an 'independent laboratory' under Clause 5.6(b)(iii), and can it dispense with the Clause 5.6(d) procedural safeguards?

RATIO

(a) No, the heading does not confine the clause: a marginal heading/side-note is not a legitimate aid to statutory construction (Chandler v. DPP; Chandroji Rao v. CIT; Padmaraje R. Kadambande v. CIT; Guntaiah v. Hambamma; followed in Ghanshyam Gupta v. United India Insurance). Clause 5.6(a) gives the licensee the right to test 'any meter' on reasonable doubt of accuracy, which includes a meter that has stopped recording despite continued consumption. (b) No — testing by the meter's own manufacturer is not testing by an 'independent laboratory'; a commercial manufacturer with a business interest in its product's reputation for being tamper/pilfer-proof cannot be an unbiased arbiter, offending the principle that no one may be a judge in his own cause (following the Patna High Court's JMD Alloys Ltd. v. Bihar SEB, which deprecated testing of Secure Meters by their own manufacturer as creating a strong bias). Further, the Clause 5.6(d) safeguards (advance notice of the testing date, opportunity for the consumer/representative to be present, signature on the test result sheet) were not followed before the manufacturer's report was obtained, and this defect was never addressed by either the Assessing Officer or the Appellate Authority.

ON THE FACTS A digital 'Secure Meter' was found stopped for a period during inspection though electricity was apparently being consumed, with only the meter body seal (not the meter box seal or terminal plate seal) noted as 'disturbed/tampered' — an internal inconsistency the licensee could not explain (the body seal cannot be reached without first breaching the outer meter box seal); the meter was sent, without following Clause 5.6(d) safeguards, to its manufacturer Secure Meters Ltd., whose report of tampering was then treated as conclusive by the Assessing Officer and Appellate Authority without independent scrutiny of the meter's own tamper-detection memory/MRI data.

DISPOSITION Writ petition allowed; assessment and appellate orders quashed (liberty to reassess afresh)

SCJ-071 M/S Venus Stone Crushing Co. & Anr. v. U.P. Power Corporation Ltd. &

All HC 2012

Ors. Supply Code 2005 §5.6

AIR 2013 All 47; (2012) 8 ADJ 221

ISSUE

Can a theft assessment rest on a manufacturer-lab 'tampering' finding obtained without the mandatory seven-day pre-testing notice to the consumer, where no defect was noted in the meter/seals at removal and the alleged phase errors were also explicable on technical grounds and self-corrected?

RATIO

No. Paras 5.17/5.18/5.20 of the 2002 Code (materially identical to Clause 5.6 of the 2005 Code) mandate seven days' advance notice of any laboratory testing so the consumer may be present; this is a mandatory procedure per *Amrawati Devi v. PVVNL*, a ruling since rendered final by the Supreme Court's dismissal of the SLP against it (3.8.2009) — a test report obtained without this procedure cannot ground any action against the consumer. Since the sealing certificate at removal recorded only a burnt meter (no tampered/defective seals) and unrelated CT/PT phase errors that were also technically explicable and had self-corrected without any external intervention, the subsequent 'tampering' finding of the manufacturer's own lab (obtained ex parte, undated, and after the meter had left the consumer's custody) could not be relied upon; the licensee bears the burden of proving with cogent evidence that the consumer, rather than some cause arising after the meter's removal, caused the alleged irregularity. Following *Modern Rice Mill v. MVVNL* and *JMD Alloys v. Bihar SEB*, a meter manufacturer's own laboratory is not an 'independent laboratory'. Since the assessment's very basis (the test report) was vitiated, and the Clause 6.8/Ashok Kumar assessment procedure was also not followed, the entire assessment fell.

ON THE FACTS A burnt meter was replaced (21.8.2003) with no tampering noted in the sealing certificate, only unrelated CT/PT phase errors that had self-corrected (e.g. a CT error recorded 28.5.2002 became normal by 17.6.2002 without any noted intervention); a subsequent undated report from the meter's manufacturer (obtained without notice to the consumer) alleged tampered body/lab seals, on the strength of which a theft assessment (~Rs. 21.5 lakh, later reduced on appeal to ~Rs. 6.37 lakh) was made and confirmed on appeal with a further direction to prosecute under Section 135.

DISPOSITION Writ petition allowed; appellate assessment order quashed; refund with 6% interest and costs

SCJ-126 Smt. Vimla Tiwari v. State of U.P. And Others

Supply Code 2005 §5.6

ratio 2 of 3

All HC 2012

AIR 2012 Allahabad 142

ISSUE

Was the Assessing Officer entitled to finalise the s.126 assessment based solely on the checking report's claim of a missing meter, without first sending the meter (or confirming its absence through a verifiable, testable process) per Clause 5.6?

RATIO

No. Following *Smt. Amrawati Devi v. PuVVNL* and *M/s Modern Rice Mill v. MVVNL* (both already part of this corpus's Clause 5.6 line of authority), the Court held the Assessing Officer was obliged to ensure the meter was tested/verified per Clause 5.6 before relying on the checking report's contested factual claim; reliance on an internally inconsistent, unverified report without such testing further vitiated the assessment.

ON THE FACTS Same checking-report facts as above; no meter-testing process per Clause 5.6 was shown to have been followed before the assessment was finalised.

DISPOSITION Writ petition allowed; s.126 assessment order and s.127 appellate order quashed; Rs. 10,000 costs awarded against respondents, recoverable from responsible officials personally, with direction for entry of censure in their Annual Character Roll

SCJ-058 M/S Krown Bakers India Pvt. Ltd. v. Paschimanchal Vidyut Vitran Nigam &

All HC 2014

Anr. Supply Code 2005 §5.6

ISSUE

Is a bill based on an inspection finding that the meter was running slow (difference chargeable per rule) vitiated for not following the Clause 5.6 check-meter procedure, where the consumer never disputed the meter's slow-running or requested a check meter, but only objected to the resulting bill?

RATIO

No. Clause 5.6 gives the licensee the right to test a meter on reasonable doubt of accuracy, and separately gives the consumer the right to request testing (including installation of a check meter) if he doubts the meter's accuracy; the obligation to install a check meter arises only on the consumer's request. Since the consumer had full knowledge from the sealing certificate that the meter was found running slow, never disputed that finding or sought a check-meter test — his representations and applications (including a request for installment payment) challenged only the bill, not the meter's operational status — he cannot now contend that the bill is vitiated for non-compliance with Clause 5.6.

ON THE FACTS On inspection (18.4.2011) no discrepancy was found with the main meter's tamper status, but the sealing certificate recorded the meter running slow, with the difference from a double-pole meter chargeable per rule, resulting in demand bill dated 8.8.2011; the consumer never sought a check-meter test and only sought installment payment of the bill.

DISPOSITION Writ petition dismissed

SCJ-151 Western Electricity Supply Co. of Orissa Ltd. & Ors. v. M/s Baba Baijanath Roller and Flour Mill Pvt. Ltd.

SC 2014

IEA 1910 §26(6)

ISSUE

Where a licensee's inspection detects tampered seals, a cut potential-transformer wire, and interference with metering equipment, and the licensee issues a penal bill under its statutory Supply Code's tampering provisions, does s.26(6) of the Indian Electricity Act, 1910 (requiring reference to an Electrical Inspector for meter-correctness disputes) govern, and did the High Court err in quashing the penal bill and inspection report on natural-justice and s.26(6) grounds without considering the Code's tampering-specific provisions?

RATIO

Yes, the High Court erred. Following *Madhya Pradesh Electricity Board v. Smt. Basantibai and State of W.B. v. Rupa Ice Factory (P) Ltd.*, a dispute over fraud/tampering with the meter, metering equipment, or seals falls entirely outside s.26(6)'s scope (confined to genuine correctness/defectiveness disputes referable to an Electrical Inspector); the consumer here never applied to the Electrical Inspector under s.26(6), undermining any claim to that provision's protection. The High Court further erred in factually finding the inspection occurred without the consumer's representative present, when the record showed the Manager was present and signed the inspection report; unsubstantiated allegations of duress/coercion, never raised before any appropriate authority, could not displace that finding. Clauses 56, 64, and 105 of the Orissa Code, 1998 (sealing/tampering prohibition, disconnection for tampering after 7-day show-cause notice, and penal energy/demand charges at twice the applicable rate for unauthorised use) — not s.26(6) of the 1910 Act — governed the penal-bill dispute, and the High Court's failure to consider these Code provisions vitiated its judgment. The penal bill, inspection report, and consequent disconnection were accordingly valid, and the High Court's quashing order (including its direction to refund amounts and to not charge delayed-payment surcharge) was set aside.

ON THE FACTS On inspection (9.9.2002) of the respondent flour-mill's premises, the licensee found the H.T. meter, T.P. box inner door, and meter terminal cover seals (quick seals, plastic seals, paper seals) tampered, and the B-phase potential-transformer wire cut so the meter was not receiving B-phase potential, in the presence of the consumer's Manager who signed the inspection report; a penal bill of Rs. 5,10,930 was raised under the Orissa Code, 1998, and the connection was disconnected (5.10.2002) after non-payment; the consumer's writ petition (alleging natural-justice violation, absence of a representative at inspection, and that s.26(6)'s defective-meter framework should have applied) succeeded before the Orissa High Court, which the licensee appealed.

DISPOSITION Civil appeals allowed; High Court's quashing of the penal bill and disconnection notice set aside; writ petitions filed by the consumer dismissed

SCJ-153 Mohd. Sagir v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Ors.

Supply Code 2005 §5.6

ratio

All HC

2014

1 of 4

2014 SCC OnLine All 8462

ISSUE

Does Clause 5.6 (headed 'Defective Meters') apply where the licensee alleges the meter was tampered, or is it limited to meters that are merely inaccurate/defective?

RATIO

Clause 5.6 applies to tampered meters too. The heading cannot control the clear substantive provision: Clause 5.6(a) gives the licensee the right to test 'any meter' on reasonable doubt, and Clause 5.9(b)(ii) expressly treats a meter 'rendered defective due to tampering or any other deliberate act' within the same scheme. Read together, a tampered meter is a defective meter for Clause 5.6; the licensee's contention that Clause 5.6 was not attracted is incorrect.

ON THE FACTS Meter removed from the premises on 16/8/2009 and sent for lab testing; on testing (3/9/2009) foreign wires, remote control and sensing device were found inside, and an FIR under ss.135/150 followed; the licensee argued 5.6(c) governs only 'defective', not 'tampered', meters.

DISPOSITION Writ petition disposed of; final assessment order set aside; matter remitted

SCJ-153 Mohd. Sagir v. Dakshinanchal Vidyut Vitran Nigam Ltd. &

All HC

2014

Ors.

Supply Code 2005 §5.6(c)(iii)

ratio 2 of 4

2014 SCC OnLine All 8462

ISSUE

Where a sealed meter is sent for testing, must the licensee inform the consumer of, and obtain, his agreement to the testing venue (licensee's lab / independent lab / Electrical Inspector) before testing?

RATIO

Yes. Clause 5.6(c)(iii) requires the meter, after sealing in the consumer's presence, to be tested 'at licensee's lab/Independent lab/Electrical Inspector, as agreed by consumer', the option once exercised not to be changed and the resulting report to be final. The licensee has a corresponding duty to apprise the consumer of this right; failure to offer the option renders the sealing and testing irregular and illegal, and vitiates the assessment built upon it.

DISPOSITION Writ petition disposed of; final assessment order set aside; matter remitted

SCJ-189 Shri Krishna Kumar Bhargava v. State of U.P. & 4 Others

Supply Code 2005 §5.6

All HC

2014

2014 SCC OnLine All 7692

ISSUE

(Interim) Can a 'defective meter' finding, without any finding that the consumer made it defective, be treated as theft/UUE under s.126?

RATIO

Prima facie, no. Where the checking report finds the meter defective without finding that the consumer rendered it defective, it may not be a case of theft/UUE under s.126; a defective meter is governed by the distinct defective-meter rules (Clauses 5.6 and 5.8), and assessment must follow that regime. Coupled with a demand notice predating the 'final assessment' (suggesting the show-cause was treated as final, contra Ashok Kumar) and an unexplained computation, a prima facie case was made out and recovery was stayed.

DISPOSITION Interim order — recovery stayed pending counter affidavit

SCJ-167 U.P. Rajya Vidyut Parishad v. Panjab Corbohydrate

IEA 1910 §26(6)

All HC 2015

2015 SCC OnLine All 7156

ISSUE

Where the licensee says a meter under-records consumption (no theft/tampering alleged), may it raise a supplementary/assessment bill itself, or must it refer the dispute to the Electrical Inspector?

RATIO

It must refer the dispute to the Electrical Inspector under s.26(6), whose opinion on whether the meter has ceased to be correct is final; the licensee cannot raise a supplementary/assessment bill on the ground of under-recording. If the Inspector finds the meter faulty, only the Inspector estimates the energy consumed (for a period not exceeding six months) and fixes the amount. Here no check meter was installed and no reference was made, and the licensee could show no provision authorising the assessment, so the assessment was illegal.

ON THE FACTS 1996 dispute governed by the IEA 1910 and the Electricity (Supply) Act, 1948; licensee admitted there was no allegation of theft/tampering, only alleged under-recording; assessment of about Rs. 17,25,399.

DISPOSITION First appeal dismissed; trial court's permanent injunction affirmed

SCJ-202 Shri Gautam Motors Pvt. Ltd. v. U.P. Power Corporation Ltd. &

All HC 2016

Others Supply Code 2005 §5.6

2016 SCC OnLine All 4727

ISSUE

Can an electricity bill/demand be raised on the basis of a check meter?

RATIO

No. There is no provision under the U.P. Electricity Supply Code or the Electricity Act, 2003 permitting a bill to be raised on the basis of a check meter (as the licensee's counsel fairly admitted). The demand of Rs. 5,93,227 raised on the strength of the inspection report / check meter is set aside.

ON THE FACTS Demand of Rs. 5,93,227 based on an inspection report dated 19.2.2004 for installation HP-24; the only question was the legality of billing on a check meter.

DISPOSITION Writ petition allowed; check-meter-based demand set aside

SCJ-203 M/s Madhuvan Properties (P) Ltd. v. Pashchimanchal Vidyut Vitran Nigam Ltd. &

All HC 2016

Another Supply Code 2005 §5.6

2016 SCC OnLine All 1150

ISSUE

(Interim) Can a slow-meter demand cover nearly four years, and without testing in the consumer's presence?

RATIO

Prima facie, no. Clause 5.6 requires the meter to be tested in the consumer's presence with an opportunity to object, and Clause 5.6(c)(ii) permits charging the difference of energy consumed only for the previous three months (with an instalment option). A demand for more than two-and-a-half years could not be made; as interim relief, restoration of supply was ordered on a Rs. 15 lakh deposit, the balance not to be recovered pending the petition.

ON THE FACTS Carbonized meter; MRI showed it running slow, recording only 50%; demand of Rs. 1,03,69,390 for 3.11.2012 to 15.9.2016; supply disconnected after the writ was filed.

DISPOSITION Interim order — partial deposit, restoration of supply, balance recovery stayed

SCJ-262 I.G. Shoes Pvt. Ltd. v. Kanpur Electricity Supply Co. Ltd. and Others

IEA 1910 §26(6)

All HC 2016

2016 SCC OnLine All 4269 : (2017) 122 ALR 297

ISSUE

Does Section 26(6) empower the Electrical Inspector to revise a consumer's bills where no live dispute about meter correctness was raised, and where the meter has been removed/replaced?

RATIO

No. Section 26(6) applies only where a difference arises as to whether the meter is correct; the Inspector first examines the meter and, if it has ceased to be correct, estimates consumption for up to six months (the meter register otherwise being conclusive, absent fraud). It does not reach disputes over the correctness of bills, nor theft/fraud/tampering assessments (which fall outside s.26). Here no meter-correctness dispute was raised while the meter was installed; it was removed and replaced without objection, destroying the material evidence, and the consumer only later disputed old bills. The CEI's order revising the bills was without jurisdiction and a nullity, and no mandamus could issue to enforce a patently illegal order.

ON THE FACTS Old meter removed 31.12.2001 without objection; complaint to CEI first made 20.1.2003; a separate theft assessment (Rs. 18,61,585) was under challenge elsewhere; disputed bills were for 1995-2001 under the removed meter.

DISPOSITION Writ petition dismissed; the Chief Electrical Inspector's order revising bills held wholly without jurisdiction and a nullity, so no mandamus to enforce it

SCJ-114 Saurabh Agrawal & Another v. State of U.P. & Others

Supply Code 2005 §5.6(d)

All HC 2017

ISSUE

Should a criminal prosecution under s.135 for theft of electricity be quashed where: (a) the underlying consumer inspection report's theft column was struck through and does not allege theft; (b) the licensee itself separately assessed and recovered the amount as slow metering under Clause 5.6(c)(ii) (fully paid); (c) the mandated Clause 5.6(d) meter-testing procedure (including MRI) was never followed, with the meter instead left at the police station; and (d) the s.127 appellate authority had already held, in a final and unchallenged order, that the case was not one of theft?

RATIO

Yes — quashed. The consumer inspection report dated 2.8.2007, the sole evidentiary basis for the FIR/charge-sheet, did not itself record an allegation of theft (the relevant column was struck through); the licensee's parallel conduct — assessing and fully recovering the disputed amount (Rs. 71,95,449) as slow-metering charges under Clause 5.6(c)(ii) — was inconsistent with treating the same facts as theft. The Clause 5.6(d) procedure (notice of testing date, opportunity to be present, right to dispute per 5.6(c)) was never followed; no MRI report was obtained, and the seized meter was left at the police station rather than sent for proper laboratory testing, undermining any theft finding. The appellate authority under s.127 (Additional Commissioner, Judicial-II, Saharanpur) had, in a final order dated 24.10.2008 (upheld by a separate writ petition and never further challenged), held that s.135 was inapplicable and directed revision of the bills — a finding of finality directly negating the criminal prosecution's premise. Continuing the s.135 prosecution on the same consumer inspection report, after these developments, amounts to an abuse of the process of law within the settled Prakash P. Hinduja standard, and the charge-sheet, cognizance order, and pending proceedings were accordingly quashed.

ON THE FACTS The applicants' company (an induction-furnace steel unit, 4000 KVA contracted load) was inspected multiple times in July-August 2007; the 2.8.2007 consumer inspection report found the meter circuit slow (53.14%, per a private testing agency) rather than recording theft; a provisional assessment (Rs. 97,53,840, later revised) and separately, slow-metering charges (Rs. 71,95,449, fully paid) were raised; an FIR under s.135 was nonetheless lodged the same day, leading to a charge-sheet and cognizance in 2007, even as the s.127 appeal against the theft-based assessment succeeded on the merits (order dated 24.10.2008, holding s.135 inapplicable) and that finding was upheld in a separate writ petition and attained finality.

DISPOSITION Application allowed; charge-sheet/cognizance order and criminal proceedings under s.135 quashed

SCJ-161 Rituraj v. State of U.P. & Others

Supply Code 2005 §5.6(d)

ratio 1 of 2

All HC 2017

2017 SCC OnLine All 3786

ISSUE

Is a demand valid where it rests on testing of meter seals conducted without giving the consumer the Clause 5.6(d)(i) intimation/notice of testing?

RATIO

No. Clause 5.6(d) makes it imperative to inform the consumer of the proposed date of testing, give him an opportunity to be present, obtain his signature and preserve his right to dispute the result. Here no intimation was given for the alleged testing of the meter seals; the assessment order is per se illegal and, with the demand notice and the test-lab report, is quashed.

ON THE FACTS Demand raised on a testing report dated 17.2.2017 that showed no defect or even doubt about the meter seals, and without the Clause 5.6(d)(i) notice.

DISPOSITION Writ petition allowed with costs; assessment, demand and test report quashed

SCJ-161 Rituraj v. State of U.P. & Others

Supply Code 2005 §5.6(c)(iii)

ratio 2 of 2

All HC 2017

2017 SCC OnLine All 3786

ISSUE

Can the licensee rely on a testing report of the meter manufacturer's own laboratory, and need it apprise the consumer of the independent-testing option?

RATIO

No to the first, yes to the second. Applying Amrawati Devi and Mohd. Sagir, the licensee must apprise the consumer of the Clause 5.6(c)(iii) right to have the sealed meter tested at an independent agency; failure renders the proceedings illegal. Applying Modern Rice Mill, a report of a non-independent lab cannot be relied upon: the meter manufacturer (Secure Meters Ltd.) has a commercial interest and cannot be a judge in its own cause, and its lab is not an 'independent laboratory' under Clause 5.6(b)(iii).

DISPOSITION Writ petition allowed with costs; assessment, demand and test report quashed

SCJ-064 M/S Santosh Preservation Pvt. Ltd. & Anr. v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Anr.

Supply Code 2005 §5.6

All HC 2023

2023:AHC:146861-DB

ISSUE

Is a theft assessment vitiated for not offering the consumer an option to test the meter at an independent laboratory under Clause 5.6(c)(iii), where the tampering (cut phase wires, broken seals, nil consumption despite live transformer current) was patent and recorded on the spot at inspection, and not derived from any subsequent test report?

RATIO

No. Clause 5.6(c)(iii)'s independent-testing option exists to rule out bias where the conclusion of a fast/slow-running or tampered meter is arrived at on the basis of a test report (i.e. where the defect is not visible on inspection and needs laboratory ascertainment) — as in Mohd. Sagir and Smt. Amrawati Devi, both distinguished here. Where, as here, tampering is obvious to the naked eye at inspection itself (window/TP seals tampered, R and B phase wires cut, the meter recording nil consumption though the transformer showed live current on all three phases), the conclusion of theft does not depend on any test report; the licensee's subsequent sending of the meter for testing (for record purposes) does not confer a Clause 5.6(c)(iii) right that never arose. Since the tampering was a foregone conclusion on the inspection report itself, the assessment order was not vitiated for want of independent testing or for being non-speaking, and interference under Article 226 was declined.

ON THE FACTS On checking (12.6.2019) of a cold storage's meters, both the Main meter and a Pole meter showed tampered window/TP seals with the R and B phase wires cut, rendering both meters incapable of recording consumption (showing nil) despite the transformer recording live current (112-125 Amp) on all three phases; the consumer paid Rs. 56 lakh as compounding fee (to avoid criminal prosecution) and Rs. 10 lakh towards the anticipated assessment, and was later assessed Rs. 20,54,895 for 59 days of unauthorised use.

DISPOSITION Writ petition dismissed

H. Billing, Recovery, Limitation & Disconnection

53 RATIOS · 50 JUDGMENTS

SCJ-083 Mohamdabad Cold Storage Private Ltd. (& Anr.) v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Ors. Supply Code 2005 §6.5(b) All HC 2007

ISSUE

Is a challenge to a supplementary bill (raised on the basis of an allegedly defective transformer) maintainable directly in writ jurisdiction, or must the consumer first invoke the Clause 5.6 meter-testing procedure and the Electrical Inspector?

RATIO

A supplementary bill founded on a disputed meter/transformer reading falls within Clause 6.5(b)'s 'disputed bills' notwithstanding its heading; since the bill cannot be assessed without first resolving the accuracy of the underlying meter/instrument reading, the consumer must invoke the Clause 5.6 (and 5.6(c)(iii)) meter-testing procedure, and if unresolved, approach the Electrical Inspector under s.162 of the Electricity Act, 2003 (the modern successor, per *Bombay Electric Supply and Transport Undertaking v. Laffans (India) Pvt. Ltd.*, to the Electrical Inspector's statutory-arbitration role under the 1910 Act). The writ petition, filed without first exhausting this route, is premature and dismissed without costs, without prejudice to the petitioners' right to raise their grievance before the authority concerned or the Electrical Inspector.

ON THE FACTS A supplementary bill of Rs. 2,54,033/- was raised with a disconnection threat; the petitioners paid the amount under protest and disputed it on the ground that the transformer was admittedly defective, without first invoking the Clause 5.6 testing procedure.

DISPOSITION Writ petition dismissed as premature; petitioner relegated to Clause 5.6 meter-testing procedure / Electrical Inspector, without prejudice

SCJ-086 Mother India Refrigeration Industries (& Anr.) v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Ors. Supply Code 2005 §6.5(b) All HC 2007

ISSUE

Companion ruling to SCJ-083 — identical holding on a parallel supplementary-bill dispute grounded in a defective transformer

RATIO

As in SCJ-083: a supplementary bill founded on a disputed/defective transformer reading is a 'disputed bill' under Clause 6.5(b); the consumer must first invoke the Clause 5.6 meter-testing procedure and, if unresolved, the Electrical Inspector under s.162 of the Electricity Act, 2003, rather than approach the writ court directly. The writ petition is premature and dismissed without costs, without prejudice to the petitioners' right to raise their grievance before the authority concerned or the Electrical Inspector.

ON THE FACTS A supplementary bill of Rs. 2,54,033/- was raised with a disconnection threat; the petitioners paid the amount under protest, disputing it on the ground of an admittedly defective transformer — a companion writ petition to SCJ-083, heard and decided together by the same Bench.

DISPOSITION Writ petition dismissed as premature; petitioner relegated to Clause 5.6 meter-testing procedure / Electrical Inspector, without prejudice

SCJ-152 U.P. State Cement Corporation Ltd. (In Liquidation), In re Supply Code 2005 §6.7 ratio 1 of 3 All HC 2007

2007 SCC OnLine All 2528

ISSUE

Can late payment surcharge under Clause 6.7 of the Supply Code and Rate Schedule LMV-2 be recovered from the Official Liquidator on bills for court-ordered electricity supply during liquidation?

RATIO

No. Late payment surcharge is part of the statutory tariff, but it presupposes a defaulting consumer. The Official Liquidator had no money in the company's account until the assets were realised and could raise no dispute, so there was no default or wilful non-payment by the OL or the Court. The actual bills (in the supplementary affidavit) are admitted to proof, but the large late-payment-surcharge component is excluded.

ON THE FACTS Supply was maintained only under Court orders in an extraordinary situation; the OL was funded solely from the eventual sale proceeds; a component of the bills was raised arbitrarily on single-point meters not regularly read.

DISPOSITION Objections/appeals to the Official Liquidator's report partly allowed; electricity dues re-fixed

SCJ-011 Chairman, West Bengal State Electricity Board & Ors. v. Syed Mukbul Hossain & Ors. WB Code 2004 §5.2

SC 2008

(2009) 2 SCC 727; AIRONLINE 2008 SC 50

ISSUE

Disconnection procedure and the statutory route of objection/appeal under ss.126-127

RATIO

Disconnection of supply on a theft allegation must follow the procedure of Regulation 5.2; the consumer's remedies are to object under Section 126(3) before the final assessment and to appeal the final order under Section 127. As the final assessment had already been made, the Court relegated the parties to the statutory appeal, to be decided on merits (including the maintainability/limitation objection), setting aside the costs and interim directions of the High Court and expressing no opinion on merits.

DISPOSITION Appeal disposed of (costs set aside; statutory appeal to be decided on merits)

SCJ-158 Ashok Kumar & Ors. v. State of U.P. & Ors.

UPGEU 1958 §2(b)ratio 3 of 4

All HC 2008

2008 SCC OnLine All 696

ISSUE

Executive Engineer of DVVNL not a 'prescribed authority' unless notified; s.3 demand notices invalid

RATIO

The Executive Engineer of DVVNL is not a 'prescribed authority' within s.2(b) of the 1958 Act so long as he is not notified as such thereunder; the demand notices issued under s.3 of the 1958 Act are therefore not legal and valid. A demand notice by the Executive Engineer describing himself as an officer of 'UPPCL' was additionally defective.

DISPOSITION Writ petitions partly allowed; s.126 assessment notices and s.3 (1958 Act) demand notices quashed

SCJ-213 Awadhesh Kumar Yadav v. State of U.P. & Others

Supply Code 2005 §6.5

All HC 2008

2008 SCC OnLine All 2573

ISSUE

Should the writ court decide a disputed fact about whether supply continued after the transformer was shifted?

RATIO

No. Whether the consumer continued to receive supply after the transformer was shifted (department's case) or ceased to (consumer's case) is a disputed question of fact unfit for Article 226. The consumer has an alternative remedy under Clause 6.5 before the Executive Engineer, and was already before the District Consumer Forum; he was relegated to those remedies.

ON THE FACTS Tubewell connection; transformer removed/shifted around 2000; disputed bill of Rs. 1,11,966; supply disconnected 7.2.2008 for non-payment.

DISPOSITION Writ petition disposed of; consumer relegated to the Clause 6.5 / Consumer Forum remedy

SCJ-170 Heera Lal v. State of U.P. & Others

CPC §47

All HC 2009

2009 SCC OnLine All 83

ISSUE

Can a consumer challenge the correctness of an electricity demand before the executing Tehsildar in recovery proceedings, or must he approach the electricity authority?

RATIO

Recovery is akin to execution; the executing authority (Tehsildar) is confined to the execution, discharge or satisfaction of the demand ('decree') and cannot modify, set aside or vary it. An objection that seeks to vary the demand must be taken before the authority that passed it (the electricity authority) or by appeal, not before the executing Tehsildar; variation and execution cannot proceed simultaneously.

ON THE FACTS Petitioner filed his objection only before the Tehsildar, declined to approach the electricity authority, and produced a copy of the demand notice he claimed never to have received without explaining how he obtained it — not clean hands.

DISPOSITION Writ petition dismissed

SCJ-218 M/s Paliwal Alloys (Pvt.) Ltd. v. U.P. Power Corporation Ltd. &

All HC 2009

Ors. Supply Code 2005 §6.15 ratio 1 of 3

2009 SCC OnLine All 829

ISSUE

Could the Corporation recover a peak-hour penalty years after it first became due without adverting to the s.56(2)/Clause 6.15 two-year bar?

RATIO

No. Under s.56(2) of the Act and Clause 6.15 of the Code, arrears are not recoverable after two years from the date they first became due (unless continuously shown as recoverable). The peak-hour penalty (imposed 27.11.2006 for 24.11.2002-8.2.2003) could not be recovered after two years without the Corporation adverting to s.56(2)/Clause 6.15 and passing a reasoned order explaining recovery beyond that period; the 10.6.2009 notice gave no such reason, so the recovery of the peak-hour penalty was unjustified.

ON THE FACTS Peak-hour penalty for 2002-03 sought to be recovered by a 2009 notice giving no reason for recovery after two years; the two-year issue had also been raised before the UPERC, with the Corporation's own SLP pending.

DISPOSITION Writ petition disposed of; recovery notice and citation quashed; s.127 appeal to be decided in three months

SCJ-218 M/s Paliwal Alloys (Pvt.) Ltd. v. U.P. Power Corporation Ltd. & Ors.

UPGEU 1958 §3

ratio 3

All HC 2009

of 3

2009 SCC OnLine All 829

ISSUE

Validity of the s.3/s.5 demand notice and recovery certificate

RATIO

The demand notice under the 1958 Act was not invalid: a registered notice is deemed sufficient service under s.3 Explanation (1), and the recovery certificate under s.5 was issued after the thirty-day period. That specific challenge to the recovery notice failed.

DISPOSITION Writ petition disposed of; recovery notice and citation quashed; s.127 appeal to be decided in three months

SCJ-038 Kanpur Electricity Supply Co. Ltd. & Anr. v. M/s L.M.L. Limited &

SC 2010

Ors. Supply Code 2005 §6.16 ratio 2 of 2

AIR 2010 SC 1946; (2010) 6 SCC 165

ISSUE

Protective treatment of sick industrial companies / relief undertakings

RATIO

Clauses 4.41 and 4.49 are Rules framed to help industries in difficulty; read with Annexure 6.5 / Clause 6.16 (disconnected units seeking revival) and Clause 9.5 (Relief Undertaking regime under s.23), only current dues are realized from a sick/relief undertaking, with past dues recovered in instalments and no coercive disconnection — harmonised with the BIFR/SICA order.

DISPOSITION Special leave petition dismissed (load-reduction upheld; effective from 1.5.2006)

SCJ-022 Dr. Munni Lal v. State of U.P. & Others

UP Dues Recovery 1958 §3

ratio 2 of 2

All HC 2011

ISSUE

Recovery demand presupposes a final assessment

RATIO

A demand under Section 3 of the 1958 Dues Recovery Act can be issued only after a final order of assessment is passed; a demand issued before final assessment is without authority and is quashed.

DISPOSITION Writ petition allowed (demand notice quashed; objections to be filed and decided)

SCJ-039 Kanpur Electricity Supply Co. Ltd. & Anr. v. U.P. Electricity Regulatory Commission & Ors.

All HC 2011

Supply Code 2005 §6.9

ISSUE

Can the installation of air conditioners (excess load) be assessed as unauthorised use under Section 126, or is the remedy an additional Fixed Charge under the tariff?

RATIO

It is not Section 126 unauthorised use. Para 6.9 of the Code provides that excess load is not covered by Section 126; the use of an air conditioner is not prohibited but attracts an additional Fixed Charge under the tariff (Rs. 150 per ton, April-September). The CGRF/Ombudsman rightly disallowed the Section 126 assessment and permitted only supplementary Fixed-Charge bills.

ON THE FACTS On checking, air conditioners were found connected to three connections; there was no allegation of theft, no load in excess of the contracted load, and no MRI-based finding — the demand was tied only to the AC installation.

DISPOSITION Writ petition dismissed with Rs. 5,000 costs (frivolous)

SCJ-060 M/S Mohit Paper Mills Ltd. & Anr. v. PVVNL & Ors.

off-topic

ratio 2 of 2

All HC 2011

ISSUE

Where the consumer's own meter is physically incapable of providing a reading, an independent check meter outside the premises may exceptionally found billing, if reliably maintained

RATIO

No statutory provision permits billing/assessment based on a meter other than the one installed at the consumer's premises; ordinarily the answer must go against the licensee for want of such a provision. However, the law does not require compliance with the impossible: where the consumer's own meter is destroyed (e.g. by fire) or stolen and cannot yield a reading, an independent/check meter installed by the licensee outside the premises may exceptionally be relied upon for billing, provided it is shown to be reliably and authentically maintained with the consumer's knowledge — applying *lex non cogit ad impossibilia*, *impotentia excusat legem* and *nemo tenetur ad impossibilia*, following the Division Bench in *Inter College Kusmaul, Gorakhpur v. State of U.P.*

DISPOSITION Writ petition allowed; assessment and appellate orders quashed; refund with 8% interest and Rs. 25,000 costs

SCJ-137 U.P. Avas Evam Vikas Parishad & Anr. v. U.P. Power Corpn. Ltd.

Supply Code 2002 §4.45

SC 2011

(2011) 14 SCC 235

ISSUE

Where a statutory development authority (U.P. Avas Evam Vikas Parishad) was permitted by a 1982 government relaxation-order to execute its own colonies' electrification works (in lieu of the exclusive statutory role otherwise reserved to the electricity licensee), and paid supervision charges at 5% under a 1984 administrative office memorandum, does the subsequently-enforced U.P. Electricity Supply Code, 2002 (effective 7.6.2002), prescribing 15% supervision charges under Clause 4.45, govern from its effective date, superseding the 1984 memorandum's 5% rate?

RATIO

Yes. The 1982 relaxation-order, though issued under statutory rule-making power (Rule 133(1) read with the proviso to Rule 45(1), Indian Electricity Rules, 1956), did not itself prescribe any supervision-charge rate — it merely relaxed the exclusivity otherwise vested in the 'designated licensee' to execute electrification works, subject to prescribed technical/safety conditions. Supervision charges were levied for the first time only via the 1984 office memorandum (5%), which, being a mere administrative order without statutory force, stood superseded by the U.P. Electricity Supply Code, 2002 (effective 7.6.2002, framed under s.10 of the U.P. Electricity Reforms Act, 1999, to carry out the U.P. Electricity Regulatory Commission's statutory functions), which prescribed 15% supervision charges under Clause 4.45. Since the relaxation-order and the charge-rate instrument address distinct subject matters, the Code's enhancement of the rate did not amend or supersede the relaxation-order itself. Separately, since the appellant had unilaterally accepted the analogous supervision-charge provision under the successor Electricity Supply Code, 2005 (effective 18.2.2005) without raising the same objections it now pressed against the 2002 Code, it could not consistently dispute the 2002 Code's applicability for identical reasons. The contention that higher supervision charges would raise construction costs passed on to the public was rejected as both factually speculative and legally irrelevant, given the legitimate safety/quality-assurance purpose of supervision (dangerous, safety-critical electrification work) and the appellant's freedom to instead deposit the full estimated cost and have the licensee perform the work itself.

ON THE FACTS The appellant, a statutory housing/development authority, was permitted by a 1982 Government relaxation-order to execute its own colonies' electrification works up to 11 KV; it paid 5% supervision charges under a 1984 office memorandum; a 1998 office memorandum raising the rate to 15% was disputed by the appellant; the U.P. Electricity Regulatory Commission (2006), on appeal, held the 1984 memorandum (5%) governed only up to 6.6.2002, with the 2002 Supply Code's rate applying thereafter — a determination the appellant unsuccessfully challenged before the Appellate Tribunal for Electricity (2007) and then the Supreme Court.

DISPOSITION Civil appeal dismissed; supervision charges of 15% (under the Electricity Supply Code, 2002) upheld from 7.6.2002 onward

SCJ-015 Dakshinanchal Vidyut Vitran Nigam Ltd. & Others v. M/s Prakancha Metal Works Pvt.

All HC 2012

Ltd. Supply Code 2005 §6.1(g)

ratio 1 of 2

AIR 2012 Allahabad 176

ISSUE

Was a disconnection lawful where the bill gave only three days to pay and supply was cut before the statutory window?

RATIO

No. Clause 6.1(g) requires the bill to be dispatched at least 15 days before the due date, and a further seven days' notice is contemplated before disconnection; here the bill (issued 28.03.2011, due 31.03.2011) gave only three days and the disconnection (08.04.2011) preceded the statutory window, rendering it illegal. Ante-dating the payment receipt to 31.03.2011 was also illegal manipulation of the record.

ON THE FACTS Bill for Rs. 3,20,760 issued 28.03.2011 with a 31.03.2011 due date; deficient part-payment; supply disconnected on 08.04.2011.

DISPOSITION Writ petition dismissed (Lok Adalat compensation for illegal disconnection upheld; inquiry into ante-dating directed)

SCJ-046 Lala Ram Batham v. U.P. Power Corporation Nigam & Ors.

Supply Code 2005 §6.5

All HC 2012

ISSUE

How should a consumer's challenge to an apparently erroneous meter reading (resulting in a large arrears bill) be resolved?

RATIO

Under Clause 6.5 of the Code, the consumer may raise the grievance by representation before the licensee, who must decide it expeditiously by a speaking order after hearing the consumer; before deciding, the licensee must personally inspect the removed (old) meter to verify the correctness of the disputed reading. The writ court did not adjudicate the claim on merits.

ON THE FACTS The old meter's reading, recorded on removal, implied consumption of 37,835 units in about two months (1.6.2011-6.8.2011) — an implausible jump from a normal ~200-unit bimonthly consumption — resulting in an arrears demand of Rs. 2,92,445.03.

DISPOSITION Writ petition disposed of with directions (grievance relegated to Clause 6.5 representation; claim not adjudicated on merits)

SCJ-182 Mohammad Waseem v. State of U.P. & Another

Supply Code 2005 §6.14

All HC 2012

2012 SCC OnLine All 3806

ISSUE

How and by whom may a consumer be allowed to pay outstanding electricity dues in instalments?

RATIO

Under Clause 6.14 the licensee may extend instalments only to consumers in financial distress, with no surcharge waiver. Only an officer of the rank of Executive Engineer or above may grant them — the Executive Engineer, DGM and General Manager up to two, three and four monthly instalments respectively — the first instalment being at least 40% of the total, with post-dated cheques required above Rs. 10,000. The Executive Engineer was directed to consider and decide the consumer's representation accordingly.

ON THE FACTS Bill of Rs. 79,663 due; consumer's representation of 6.9.2012 to pay in instalments was pending; interim protection granted on deposit of Rs. 15,000.

DISPOSITION Writ petition disposed of with directions; representation for instalments to be decided

SCJ-013 Chandrika v. State of U.P. & Others

Supply Code 2005 §6.5

All HC 2013

ISSUE

Billing disputes — alternative remedy of complaint before the Competent Authority

RATIO

A dispute as to the correctness of a bill is to be raised by complaint before the Competent Authority (the Executive Engineer) under Clause 6.5 of the Code; the writ petition is disposed of by relegating the consumer to that remedy, with a direction to decide by a speaking order after hearing and interim protection from coercive recovery conditioned on a part-deposit (Rs. 20,000).

ON THE FACTS The petitioner challenged an electricity bill dated 30.09.2012 showing arrears and surcharge; the respondent pointed to the Clause 6.5 remedy before the Executive Engineer.

DISPOSITION Writ petition disposed of (relegated to the Clause 6.5 remedy, with interim protection on deposit)

SCJ-113 Satya Narayan v. U.P. Power Corporation Ltd. thru. its Managing Director & Others

Supply Code 2005 §6.15

All HC 2013

ISSUE

Can a licensee recover electricity dues via a recovery citation issued ~14-15 years after the alleged dues accrued, where no demand notice was sent for over a decade and the consumer contends the connection was long disconnected/dormant?

RATIO

No, not beyond the two-year window contemplated by Clause 6.15(1)(b)/s.56(2), absent evidence the sum was continuously shown as recoverable arrears. Reading the Supply Code as a whole (not piecemeal), Clause 4.36 casts a mandatory obligation on the licensee to issue notice and proceed with temporary disconnection upon non-payment within the statutory window; a licensee's total silence for ~12 years, without a single demand notice, forecloses reliance on Clause 4.38(c) (permanent disconnection contingent on the consumer's own affidavit clearing dues) to justify a stale recovery — that clause operates subject to, not independent of, the licensee's own Clause 4.36/6.15 obligations. The Court moulded relief: the petitioner was permitted to seek refund of any amount paid in excess of what would be recoverable for a proper two-year period, and the Corporation was directed to issue a circular/order sensitising its employees to their Supply Code duties, given the demonstrated departmental negligence.

ON THE FACTS The petitioner's shop/electricity connection (since 1984-85) was allegedly disconnected/closed in 1997-98 (disputed by the licensee, which denied receiving any disconnection application); after ~14 years of silence, a recovery citation for Rs. 86,925 was issued in 2012; the petitioner deposited Rs. 11,000 under threat of civil imprisonment and, during the writ petition, the parties compromised for an additional Rs. 2,841, but the Court proceeded to record findings on the underlying limitation/procedural issue given evident departmental negligence.

DISPOSITION Writ petition allowed; relief moulded — refund directed if overpaid, Corporation directed to sensitise staff on Supply Code duties

SCJ-168 Mohd. Daud v. State of U.P. & 2 Others

Supply Code 2005 §6.5

All HC 2013

2013 SCC OnLine All 11738

ISSUE

Should a writ be entertained against a demand notice where the real grievance is that the bill itself was incorrectly raised (after an alleged permanent disconnection)?

RATIO

No. The subject matter is the raising of the bill, which is a billing dispute to be raised in the first instance before the competent authority under Clause 6.5 of the Code. The writ is not entertained on the ground of alternative remedy; the petitioner may raise the dispute before the competent authority, who will redress it in accordance with law.

DISPOSITION Writ petition dismissed on the ground of alternative remedy

SCJ-178 Smt. Asma Begam v. State of U.P. & Others

Supply Code 2005 §6.5

All HC 2013

2013 SCC OnLine All 512

ISSUE

(Interim) Can the competent authority reopen/review its own decided Clause 6.5 order after the assessed amount has been deposited?

RATIO

The Court held the question requires consideration and, as interim relief, stayed proceedings under the reopening notice of 23.11.2012 pending admission, on condition the petitioner keeps depositing future electricity charges. No final view was expressed on whether the authority has power to review its Clause 6.5 order.

DISPOSITION Interim order — reopening notice stayed pending admission

SCJ-204 M/s Shri Radhey Iron (Pvt.) Ltd. v. State of U.P. & 2

All HC 2013

Others

UP Electricity Duty 1952 §3(4)

ratio 1 of 2

2013 SCC OnLine All 12387

ISSUE

Where duty was realised from an exempt new unit, must the licensee adjust it against the current bill, or may it defer the adjustment?

RATIO

The duty of Rs. 66,81,010 realised for October 2011 to May 2013 was an excess/unauthorised realisation, the unit being exempt from 9.10.2011; the licensee must adjust it against the bill dated 2.11.2013 (which is smaller than the amount already realised) rather than defer the adjustment to future bills, and could not disconnect for non-payment of that bill. Non-adjustment and disconnection were arbitrary and unsustainable.

ON THE FACTS New unit set up after the 21.1.2010 exemption notification; exemption accepted w.e.f. 9.10.2011 for ten years; duty realised Oct 2011-May 2013; supply disconnected on 23.11.2013 for non-payment of the Oct 2013 bill.

DISPOSITION Writ petition allowed; electricity duty already realised to be adjusted; supply restored

SCJ-204 M/s Shri Radhey Iron (Pvt.) Ltd. v. State of U.P. & 2 Others

Supply Code 2005 §6.12

ratio 2 of 2

All HC 2013

2

2013 SCC OnLine All 12387

ISSUE

Does Clause 6.12 (order of application of amounts received) dictate the manner of adjusting duty already realised from the consumer?

RATIO

No. Clause 6.12 applies to the appropriation of a payment made by the consumer (arrear, then current charges, then miscellaneous, with duty/LPS in proportion); it does not govern the adjustment claimed here, which is of duty already realised from the consumer, and cannot be used to defer that adjustment.

DISPOSITION Writ petition allowed; electricity duty already realised to be adjusted; supply restored

SCJ-241 Gul Mohammad v. U.P. Power Corporation and 2 Others

Supply Code 2005 §6.5(b)

All HC 2013

2013 SCC OnLine All 9135

ISSUE

Where a bill is alleged to be grossly inflated and recovery is threatened under the 1957 Dues Recovery Act, what is the consumer's remedy?

RATIO

Clause 6.5(b) provides the remedy: the consumer may pay under protest either the sum claimed or the six-month-average charges (whichever is less) and complain to the competent authority (here the Executive Engineer / respondent no. 2), the complaint to be decided within seven days. The Court directed that, on such a representation with deposit of the six-month-average charges, it be decided within seven days, and stayed recovery under the demand notice until its disposal.

ON THE FACTS Running bill of Rs. 2,761 allegedly inflated to a Rs. 74,424 demand under s.3 of the 1957 Dues Recovery Act; consumer (successor of deceased father) paying bills; competent authority identified.

DISPOSITION Writ petition disposed of relegating the consumer to the Clause 6.5(b) mechanism, with recovery under the 1957 Dues Recovery Act stayed pending the representation

SCJ-111 Sandeep Kesarwani v. State of U.P. & 3 Others

Electricity Act 2003 §56

ratio 2 of 3

All HC 2014

ISSUE

Is a recovery citation issued in November 2013, referable to dues from a March 2011 checking, barred by the two-year limitation in s.56(2)?

RATIO

No — under s.126, a sum cannot be held 'due' against a consumer until the final assessment is made (here, 21.6.2013); the recovery citation issued 19.11.2013 was therefore well within two years of the sum first becoming due, and s.56(2) was not attracted.

ON THE FACTS The checking occurred 8.3.2011, the provisional assessment notice issued 23.5.2011, the final assessment order issued 21.6.2013, and the recovery citation issued 19.11.2013.

DISPOSITION Writ petition disposed of; recovery citation set aside, fresh objection/final-assessment process directed

SCJ-187 Mukesh Singh Chaturvedi v. State of U.P. & 2 Others

Supply Code 2005 §6.5

All HC 2014

2014 SCC OnLine All 9290

ISSUE

Was the licensee obliged to decide an 'objection' that lacked the particulars required by Clause 6.5?

RATIO

No. An objection that does not mention the details of any amount deposited or set out a specific objection to the bill does not conform to Clause 6.5 and cannot be treated as a Clause 6.5 objection; the authority cannot be blamed for not deciding it. As the consumer then agreed to pay in instalments without disputing the bill, the Court disposed of the petition with instalment directions.

ON THE FACTS Earlier writ (30729/2014) relegated the consumer to Clause 6.5; the objection filed 11.6.2014 lacked the required particulars; the connection had been disconnected.

DISPOSITION Writ petition disposed of by consent with instalment directions

SCJ-188 Ramveer Singh v. U.P. Power Corporation Ltd. & Another

Supply Code 2005 §6.3

All HC 2014

2014 SCC OnLine All 9211

ISSUE

At what rate must a s.126 unauthorised-use assessment be charged under the Code?

RATIO

At one-and-a-half times the tariff rate per unit applicable to the consumer category, per Clause 2 of Annexure 6.3 (this amount not being counted for computing minimum monthly/annual charges). An assessment made at thrice the tariff rate is erroneous and illegal to that extent; the assessment and the unreasoned appellate order are set aside and the matter remanded for a fresh order at the correct rate.

ON THE FACTS Theft assessment under s.126(1) of Rs. 1,81,572 made at thrice the tariff; appeal rejected by a wholly unreasoned order.

DISPOSITION Writ petition allowed in part; assessment and appellate orders set aside; matter remanded

SCJ-198 Smt. Mamta Devi Srivastava v. State of U.P. & 2 Others

Electricity Act 2003 §56(2)

All HC 2014

2014 SCC OnLine All 3942

ISSUE

Does the s.56(2) two-year limitation bar the recovery of accrued charges from a consumer who continued to be supplied electricity but did not pay?

RATIO

No. The s.56(2) bar does not apply where it is not a case of a belated demand after disconnection but of non-payment of regular bills by a continuing consumer being supplied electricity; the consumer, having paid nothing since re-energisation while consuming, cannot invoke the 12/24-month bar. Whether bills were sent is a disputed fact not for writ jurisdiction, and the remedy lies under Clause 6.5; the Court declined Article 226 relief to a gross defaulter.

ON THE FACTS Line reconnected in 2009 (respondents) or 2011 (petitioner); the consumer admittedly paid nothing since re-energisation while continuing to receive supply; demand of Rs. 1,29,558 for bills up to December 2013.

DISPOSITION Writ petition dismissed

SCJ-231 Vineet Plastics Ltd. v. Purvanchal Vidyut Vitran Nigam Ltd. and

All HC 2014

Another

Supply Code 2005 §6.2

2014 SCC OnLine All 1387

ISSUE

May a licensee issue a series of provisional monthly assessment bills for the post-inspection period without any provision in the Act or the Code authorising it?

RATIO

No. A series of provisional assessment bills cannot be given unless the Statute or the Supply Code so provides. A provisional assessment under Section 126 follows an inspection and requires an opportunity to object; the only Code provision for a provisional bill is Clause 6.2(b), confined to cases where the meter reading cannot be taken; and disputes over a regular bill lie under Clause 6.5. As the licensee could point to no provision for the serial provisional monthly bills issued without deciding the consumer's objections, the bills for October, November and December 2013 were quashed, with liberty to issue rectified bills per law (excess payable / shortfall adjusted with interest) and any check-meter to be installed at the licensee's own expense.

ON THE FACTS Post-inspection undated 'provisional' monthly bills issued serially while the consumer's objections (alleging major meter variance) remained undecided; the licensee's counsel conceded the mistake in issuing such provisional bills.

DISPOSITION Writ petition allowed to the extent indicated; the provisional monthly bills for October, November and December 2013 quashed, with liberty to the licensee to issue rectified bills as per law

SCJ-251 Usha Devi v. State of U.P. & 2 Others

Supply Code 2005 §6.14

All HC 2014

2014 SCC OnLine All 10821

ISSUE

Can a consumer in financial distress be relegated to the Clause 6.14 instalment mechanism rather than a mandamus fixing instalments?

RATIO

Yes. Clause 6.14 provides for payment of outstanding dues in instalments to consumers in financial distress (no waiver of surcharge; the first instalment not below 40%). The consumer was directed to apply under Clause 6.14 within three weeks, the appropriate authority to decide sympathetically by a speaking and reasoned order within a further three weeks, with no coercive recovery for two months or until disposal.

ON THE FACTS Residential connection; dues of Rs. 1,37,472; financial distress; recovery proceedings initiated.

DISPOSITION Writ petition disposed of with liberty to apply for instalments under Clause 6.14, the authority to decide sympathetically within three weeks; no coercive steps for two months

SCJ-253 Mohammad Khalid v. Pashchimanchal Vidyut Vitran Nigam Ltd. &

All HC 2014

Another Supply Code 2005 §6.5

2014 SCC OnLine All 11652

ISSUE

What is the consumer's remedy for a disputed demand, and can he blame the licensee for a disconnection following his own delay in invoking Clause 6.5?

RATIO

The remedy is a representation before the competent authority under Clause 6.5, to be decided within seven days, with a deposit under protest under Clause 6.5(b). The disconnection here was attributable solely to the consumer, who took more than a month and a half to approach the authority despite an earlier order (8.5.2014). The Court directed the competent authority to decide the pending representation within seven days of service, the under-protest deposit to be adjusted per that decision.

ON THE FACTS 44 KVA export-office connection; earlier writ (25996 of 2014) disposed on 8.5.2014 relegating to Clause 6.5; consumer delayed over 1.5 months; supply disconnected meanwhile.

DISPOSITION Writ petition disposed of directing the licensee to decide the pending Clause 6.5 representation within seven days; the under-protest deposit to be adjusted per the decision

SCJ-254 Chandrapal v. Dakshinanchal Vidyut Vitran Nigam Ltd. & 4 Others

Supply Code 2005 §6.5

All HC 2014

2014 SCC OnLine All 6769

ISSUE

Can the licensee issue a fresh demand / recovery notice under the 1958 Act while the consumer's Clause 6.5 representation remains undecided for years?

RATIO

No. The consumer was pursuing his Clause 6.5 remedy under an earlier order (28.4.2010) and filed a representation on 17.5.2010 which the Corporation never decided; issuing a fresh demand and a Section 3 recovery notice in that situation is arbitrary. The Court directed the competent authority to decide the representation within one month and kept the Section 3 demand in abeyance, to abide that decision.

ON THE FACTS Earlier writ (23342 of 2010) disposed on 28.4.2010 relegating to Clause 6.5; representation dated 17.5.2010 undecided; demand notice dated 18.2.2014 under s.3 of the 1958 Act; arrears not deposited.

DISPOSITION Writ petition disposed of directing decision of the long-pending Clause 6.5 representation within one month; recovery under the 1958 Dues Recovery Act kept in abeyance

SCJ-122 Shyam Ferrous Ltd. Gopal Nagar v. State of U.P. & 6 Others

Electricity Act 2003 §56

All HC 2015

ISSUE

Does the s.56(2)/Clause 6.15 two-year recovery bar apply to bar recovery, in 2015, of peak-hour-restriction violation penalties for consumption periods in 2002 (predating the Electricity Act, 2003's 2003 commencement), where the amount was first properly billed only in 2009 (after a Supreme Court ruling settled the correct penalty-computation formula in 2006)?

RATIO

No. Section 56(2) applies only after the Electricity Act, 2003 came into force; liabilities incurred under the pre-2003 regime continue to be governed by s.24 of the Indian Electricity Act, 1910 (which imposes no limitation on the licensee's power to demand/recover, only providing a separate, non-exclusive suit remedy) by virtue of s.6 of the General Clauses Act, 1897, which preserves rights/liabilities accrued under a repealed enactment — following *Kusumam Hotels (P) Ltd. v. Kerala SEB*. Electricity Supply Code 2002's Clause 6.31.2 (an analogue to Clause 6.15) similarly bars only recovery via the 1958 Dues Recovery Act route after two years from when a sum 'first became due' — and a sum 'first becomes due,' for this purpose, only when a proper bill is raised and remains unpaid, not from the date of the underlying default (following *MCD v. H.D. Shourie* and *NDMC v. Karam Chandra Thapar*). Here, the correct penalty (per the Supreme Court's 25.7.2006 formula in *U.P. Power Corp. v. Lohia Brass*) was billed for the first time on 4.2.2009, with follow-up notices in 2009, and recovery proceedings under the 1958 Act commenced well within any two-year window measured from that billing — the intervening 13 years since the 2002 violations reflects an earlier (unauthorised, later-corrected) waiver by a Deputy General Manager lacking power to grant it, not licensee inaction after proper billing. Service of the demand notices by registered post to the recorded address was deemed sufficient under Explanation 1 to s.3 of the 1958 Act, notwithstanding the petitioner's claimed non-receipt (particularly given the petitioner's own subsequent conduct — seeking temporary reconnection, earlier partial payment under protest — evidencing awareness of the liability). Writ petition dismissed, with six months allowed for deposit and recovery held in abeyance meanwhile.

ON THE FACTS The petitioner-company violated peak-hour electricity-use restrictions in 2002 (along with six other UPSIDC-area units); a Deputy General Manager (lacking authority to do so) waived the resulting penalties (~Rs. 8.25 crore collectively) in late 2002, later found improper on audit; the Supreme Court settled the correct once-per-inspection-report penalty computation on 25.7.2006 (*U.P. Power Corp. v. Lohia Brass*); the petitioner had already sought permanent disconnection just before that ruling (13.7.2006, effected 3.8.2006); a corrected bill was raised only in 2009, followed by 1958 Act demand notices and, ultimately, a 2015 recovery citation, which the petitioner challenged as time-barred.

DISPOSITION Writ petition dismissed; recovery upheld, six months' time granted for deposit with recovery held in abeyance meanwhile

SCJ-221 Smt. Shanti Devi v. Managing Director, Pashchimanchal Vidyut Vitran &

All HC 2016

Anr. Supply Code 2005 §6.5

2016 SCC OnLine All 2320

ISSUE

Can a consumer who consumed electricity resist disconnection on the plea that no bill was raised?

RATIO

No. A consumer who has consumed electricity cannot use it without clearing the bills; on non-payment disconnection is inevitable, and the plea that no bill was raised gives no right to free consumption. The Court did not interfere, relegating the consumer to the billing-dispute remedy under the Act and the Code.

ON THE FACTS Connection disconnected; consumer admitted consuming electricity but said no bill had been raised.

DISPOSITION Writ petition dismissed

SCJ-200 Ram Padarath Gupta v. U.P. Power Corporation Ltd. & 4 Others

Supply Code 2005 §6.5

All HC 2017

2017 SCC OnLine All 1979

ISSUE

Where a consumer disputes the rate category and says his objections were never decided and no final assessment served, should recovery proceed?

RATIO

No, not before the objections are decided. The matter (a domestic 2KW connection allegedly billed at commercial rates) must be examined by the Executive Engineer under Clause 6.5 read with s.126, and an order passed on the objections within three weeks; the recovery proceedings are subject to the outcome of that order.

ON THE FACTS Recovery citation issued; consumer alleged objections filed but not considered, and no final order of assessment served on him.

DISPOSITION Writ petition disposed of; objections to be decided under Clause 6.5 r/w s.126; recovery subject to outcome

SCJ-216 Sultan Khan v. State of U.P. & 2 Others

Supply Code 2005 §6.14

All HC 2017

2017 SCC OnLine All 2246

ISSUE

Where the consumer accepts the dues and seeks instalments, who decides?

RATIO

The Executive Engineer, under Clause 6.14, is to consider and pass an appropriate order on the instalment application within four weeks; the dues being undisputed, no other issue arises.

ON THE FACTS Consumer did not dispute the dues; sought only fixation of instalments.

DISPOSITION Writ petition disposed of; Executive Engineer to decide the instalment application under Clause 6.14

SCJ-238 Smt. Mamata Verma v. State of U.P. & 3 Others

Supply Code 2005 §6.5(b)

All HC 2017

2017 SCC OnLine All 776

ISSUE

Should the writ court direct issuance of 'correct' bills, or relegate a consumer disputing bill accuracy to the Clause 6.5(b) mechanism?

RATIO

Relegate to Clause 6.5(b). That clause is a self-contained full-fledged mechanism: pay under protest the sum claimed or the six-month-average charges (whichever is less) and complain to the competent authority before the due date; the complaint is to be decided within seven days, a revised bill issued within seven days with no late-payment surcharge (and timely-payment rebate) if the complaint is correct, or the original bill enforced with surcharge if incorrect. As a statutory forum was available, the Court did not entertain the writ and dismissed it on the ground of alternative remedy, leaving the petitioner to invoke Clause 6.5(b).

ON THE FACTS Dues unpaid for about eight years; objections repeatedly entertained and bills corrected earlier but payment never made; grievance that the bills still did not match consumption.

DISPOSITION Writ petition dismissed on the ground of alternative remedy

SCJ-214 Muneshwar Prasad Baranwal v. U.P. Power Corporation Ltd. &

All HC 2018

Another

Supply Code 2005 §6.15

2018 SCC OnLine All 4521

ISSUE

(Interim) Can electricity dues be recovered nearly 19 years after the connection was permanently disconnected, in the face of Clause 6.15(b)?

RATIO

Prima facie, the plea has substance: a recovery notice issued about 19 years after permanent disconnection (27.5.1999), relying on Clause 6.15(b), cannot readily be sustained, and the consumer cannot be liable for a period after supply had ceased. The Court stayed the recovery notice pending affidavits; the matter requires consideration.

DISPOSITION Interim order — recovery notice stayed pending consideration

SCJ-226 M/s Shree Radhey Ice Factory v. State of U.P. & 4 Others

Supply Code 2005 §6.5

All HC 2018

2018 SCC OnLine All 357

ISSUE

Before which authority must a consumer raise a dispute about incorrect bills, and what direction follows where the consumer approached the wrong forum?

RATIO

A billing grievance must be raised under Clause 6.5 before the Executive Engineer; approaching the Permanent Lok Adalat or the Managing Director is misconceived. Where the consumer's objections had not received the attention of the competent authority owing to his wrong approach, the Court directed the Executive Engineer to consider the objections and pass an appropriate reasoned order in accordance with law under Clause 6.5 within three weeks.

ON THE FACTS Petitioner had approached the Permanent Lok Adalat and then the Managing Director; the Executive Engineer had recorded only that the petitioner failed to appear, without dealing with the objections.

DISPOSITION Writ petition disposed of with a direction to the Executive Engineer to decide the billing objections under Clause 6.5 within three weeks

SCJ-232 Udayveer Singh v. State of U.P. and 3 Others

Supply Code 2005 §6.14

All HC 2018

2018 SCC OnLine All 2014

ISSUE

May a consumer in financial distress who is willing to clear the dues be relegated to the instalment mechanism of the Code rather than a merits adjudication of the recovery?

RATIO

Yes. Clause 6.15 requires the licensee to extend the facility of easy instalments to consumers in financial distress, and Clause 6.14 supplies the mechanism. Without adverting to the merits, the Court directed the petitioner to deposit Rs. 50,000 within three weeks, on which the Sub Divisional Officer must proceed strictly in accordance with law under Clause 6.14 and fix easy instalments.

ON THE FACTS Floor-mill consumer (8.5 HP) willing to clear the outstanding amount; deposits already made but a receipt for part missing; recovery citation dated 7.5.2018 challenged; Court expressly did not adjudicate on merits.

DISPOSITION Writ petition disposed of (without deciding merits) directing the petitioner to deposit Rs. 50,000 within three weeks, whereupon the Sub Divisional Officer is to fix easy instalments under Clause 6.14 of the Code

SCJ-237 Buddhesh Patel v. State of U.P. and Another

Supply Code 2005 §6.5

All HC 2018

2018 SCC OnLine All 855

ISSUE

Where a consumer disputes a recovery raised on a direct-connection finding and the compounding fee, should the writ court adjudicate the disputed facts or relegate the consumer to Clause 6.5?

RATIO

Relegate to Clause 6.5. As the petitioner was disputing the recovery proceeding, he is at liberty to move an objection before the Executive Engineer under Clause 6.5; if filed within a week the authority should pass an appropriate order within a further three weeks, and no coercive action is to be taken meanwhile.

ON THE FACTS Direct connection from the pole found on inspection to run the mill; fine reduced from Rs. 2,43,308 to Rs. 36,217 plus Rs. 40,000 compounding fee; disputed factual matrix.

DISPOSITION Writ petition disposed of with liberty to file an objection under Clause 6.5 before the Executive Engineer within a week (to be decided within three weeks), no coercive action meanwhile

SCJ-009 Assistant Engineer (D1), Ajmer Vidyut Vitran Nigam Ltd. & Anr. v. Rahamatullah Khan alias Rahamjulla

Electricity Act 2003 §56(2)

SC 2020

AIRONLINE 2020 SC 208; (2020) 4 SCALE 36

ISSUE

What does 'first due' mean in Section 56(2), when does a wrongly-billed sum become 'first due', and may the licensee disconnect supply after two years in a case of billing mistake?

RATIO

'First due' means when the bill is first issued (the liability arises on consumption but the sum becomes due only on billing). Section 56(2) bars only the remedy of disconnection after two years from the sum first becoming due (unless continuously shown as arrears); it does not bar a supplementary/additional demand or other modes of recovery. In a case of bona fide mistake, limitation for the additional demand runs from discovery (s.17(1)(c), Limitation Act, 1963), but the licensee still cannot disconnect supply — only pursue other recovery.

ON THE FACTS For July 2009-September 2011 the consumer was billed under a wrong tariff code (Rs.1.65 instead of Rs.2.10/unit); the mistake was found in an internal audit on 18.3.2014 and an additional demand raised — beyond two years from the original billing.

DISPOSITION Civil appeals disposed of (questions of law answered; demand against the respondent not enforced)

SCJ-103 Prem Singh v. State of U.P. & 2 Others

Supply Code 2005 §6.5

All HC 2021

ISSUE

Dispute over assessment of an electricity bill relegated to the Clause 6.5 authority

RATIO

The petitioner is permitted to approach the Executive Engineer (Rural), Dakshinanchal Vidyut Vitran Nigam Ltd., Fatehgarh, District Farrukhabad by invoking Clause 6.5 of the Supply Code for redressal of the billing assessment dispute.

ON THE FACTS The petitioner disputed the assessment of his electricity bill.

DISPOSITION Writ petition disposed of; petitioner relegated to Clause 6.5 authority

SCJ-132 Sunil Todi & Ors. v. State of Gujarat & Anr.

NI Act §138-security-cheque-electricity-dues

SC 2021

(2022) 8 SCC 187

ISSUE

Does dishonour of a cheque issued by an electricity consumer-company as 'security' under a Power Supply Agreement, and presented after the company defaulted on its monthly electricity charges, attract Section 138 of the NI Act, or does the 'security' endorsement and the PSA's contemplated payment-by-Letter-of-Credit mechanism take it outside s.138's scope (as in Indus Airways, where an advance-payment security cheque for a cancelled purchase order was held not to secure any existing debt)?

RATIO

Yes, s.138 is attracted. The Explanation's phrase 'debt or other liability' is broader than 'debt' alone and is not confined to a liability existing at the exact moment of drawing the cheque; a post-dated or security cheque issued in the context of a commercial transaction that is thereafter carried into effect (here, three months of actual power supply consumed by the company) matures for presentation once payment for that supply falls due and is not met, irrespective of the cheque's original security label — merely labelling a cheque 'security' does not obviate its character as an instrument designed to meet a legally enforceable debt once that debt accrues. Indus Airways is distinguished because there the underlying purchase order was cancelled before any debt arose, whereas here the PSA was acted upon and power was actually supplied and billed. Following Sampelly Satyanarayana Rao and Sripathi Singh, and per HMT Watches and Womb Laboratories, whether the cheque was given as non-presentable security and whether an enforceable liability existed are factual defences for trial, not grounds for quashing under s.482 Cr.P.C. On s.141 NI Act company-director liability (Sunil Bharati Mittal, SMS Pharmaceuticals, Mainuddin Abdul Sattar Shaikh), the complaint's averments sufficed prima facie, and the proviso's due-diligence defence is available only at trial, not at the summoning stage. The Magistrate's summoning order, having considered the complaint, affidavit, evidence list and submissions, was not vitiated by non-application of mind; s.145 NI Act dispenses with mandatory oral examination of witnesses on oath at the s.202 Cr.P.C. inquiry stage for NI Act complaints.

ON THE FACTS R.L. Steels & Energy Ltd. (company) issued a Letter of Intent (19.12.2015) and Power Supply Agreement (24.7.2016) with the second respondent (electricity generator/supplier) for uninterrupted power supply, contemplating payment by Letter of Credit; on 30.6.2016 the company issued two cheques 'only for security deposit, to be deposited after confirmation only,' one for Rs. 2,67,84,000; power supply commenced 1.7.2016 and continued for three months; the company's LCs were allegedly non-conforming; the company terminated the PSA (20.10.2016) and instructed its bank to stop payment; the cheque was presented 31.8.2017 and dishonoured; a s.138 complaint followed against the company's directors/managing director.

DISPOSITION Appeals dismissed; quashing petitions against the s.138 NI Act complaint rejected, matter to proceed to trial

SCJ-037 K.C. Ninan v. Kerala State Electricity Board & Ors.

Electricity Act 2003 §56

ratio 3 of 3

SC 2023

(2023) SCC OnLine SC 603; Civil Appeal Nos. 2109-2110 of 2004 (batch)

ISSUE

Recovery by suit is independent of the disconnection power

RATIO

The power to initiate recovery proceedings by filing a suit against a defaulting consumer is independent of the power to disconnect supply as a means of recovery under Section 56.

DISPOSITION Reference answered by ten conclusions (para 328); recovery of principal arrears from transferees/auction-purchasers upheld where a statutory Condition of Supply/Code so provides; interest accrued from the date of the purchasers' supply applications waived under Article 142

SCJ-075 Madarsa Dargah Aaliya Islamiya Shareef Nagar & Anr. v. State of U.P. & 3

All HC 2023

Others Supply Code 2005 §6.5B

2023:AHC:165372-DB

ISSUE

Should a writ court adjudicate a challenge to the quantification of a demand notice (Rs. 6,91,850), or should the consumer be relegated to the authority prescribed under Clause 6.5B of the Supply Code?

RATIO

The consumer is permitted to approach the authority concerned under Clause 6.5B of the Code, which must examine the objection raised as to quantification and pass a reasoned order within six weeks of presentation of a certified copy of the court's order.

ON THE FACTS The petitioner challenged a demand notice issued by the Prescribed Authority/Executive Officer, Electricity Distribution Division-3, Moradabad, disputing the amount claimed as due.

DISPOSITION Writ petition disposed of (relegated to the authority under Clause 6.5B, U.P. Electricity Supply Code)

SCJ-234 Shashi Bhushan Singh v. State of U.P. and Others

Supply Code 2005 §6.5

All HC 2023

2023 SCC OnLine All 340

ISSUE

Where a consumer disputes that a revised bill conforms to a Forum/Ombudsman direction (here, the agricultural tariff from the date of supply), should the writ court adjudicate the bill or relegate the consumer to Clause 6.5?

RATIO

Relegate to Clause 6.5. A consumer disputing the current bill has the remedy of a representation before the concerned Executive Engineer under Clause 6.5. The Court disposed of the writ directing a deposit of Rs. 4,00,000 within 30 days, liberty thereafter to file a Clause 6.5 representation to be decided within one month, and restoration of the disconnected supply on the deposit (backed by an indemnity bond for any balance found due on revision).

ON THE FACTS Meter installed 29.3.2016, supply from 25.11.2018; Forum had ordered billing from date of supply at agricultural tariff; Ombudsman's final order (8.2.2023) after no objection to the revised bill; remaining grievance was that the bill did not apply the agricultural tariff.

DISPOSITION Writ petition disposed of; petitioner to deposit Rs. 4,00,000 within 30 days and then file a representation under Clause 6.5 (to be decided within one month); disconnected supply to be restored on the deposit

SCJ-263 M/s. Zaz Leather Complex Pvt. Ltd. v. Kanpur Electricity Supply Co. Ltd. and

All HC 2023

Another

Supply Code 2005 §6.15

2023 SCC OnLine All 4072

ISSUE

Can the licensee, on discovering its own multiplying-factor error, raise a fresh bill recovering charges for more than two years?

RATIO

No. Section 56(2) and Clause 6.15(b) bar recovery of a sum after two years from when it first became due unless shown continuously as recoverable as arrears. The MF error was the licensee's own and the consumer had bona fide paid all bills; the fresh demand of 6.6.2011 could therefore reach back only two years (to 6.6.2009). The bill was quashed and the licensee directed to re-bill only for that two-year period.

ON THE FACTS MF applied at 6 instead of 10 after a load enhancement (480 to 880 KVA); error discovered on a routine check and on change of the billing contractor; a fresh (not supplementary) bill of Rs. 1,46,48,514 for 2008-2011.

DISPOSITION Writ petition partly allowed; the demand (6.6.2011) quashed and the licensee directed to re-bill only for the two years preceding 6.6.2011

SCJ-001 Indian Oil Corporation Ltd. v. State of U.P. & 3 Others

Supply Code 2005 §4.26(e)

ratio 1 of 2

All HC 2024

2024:AHC:8729-DB

ISSUE

Does Clause 4.26(e) ("condition of paying parallel operational charges shall prevail till the termination of the agreement") entitle a licensee to keep billing after it has itself disconnected the facility, where the termination/amendment was delayed by its own default?

RATIO

No. The clause preserves the charge only till termination and is read subject to the maxim that no party may take advantage of its own wrong. Charges end with actual disconnection (28.9.2007); the demand for January 2008-30.11.2018, with interest, is quashed.

ON THE FACTS Licensee disconnected the HT cable and sealed the grid incomer panel in September 2007, yet refused to amend the agreement until December 2018 despite the consumer's requests since 2001; the delay was wholly attributable to the licensee.

DISPOSITION Writ petition allowed

SCJ-001 Indian Oil Corporation Ltd. v. State of U.P. & 3 Others

Electricity Act 2003 §56(2)

ratio 2 of 2

All HC 2024

2024:AHC:8729-DB

ISSUE

Limitation on recovery — recurring companion provision in Supply Code litigation

RATIO

"Sum due" means an amount adjudicated between the parties; un-adjudicated, escalating demands raised years after the service ended are barred.

DISPOSITION Writ petition allowed

SCJ-089 Nadeem v. State of U.P. & 4 Others

Supply Code 2005

All HC 2024

2024:AHC:116653-DB

ISSUE

Consent disposal permitting installment payment of s.126 assessment dues, with restoration of a permanently disconnected connection to follow a fresh application under the Supply Code's prescribed procedure

RATIO

By consent of the parties, the petitioner was permitted to pay the outstanding sum under the recovery certificate in four equal monthly installments (15.8.2024 to 15.11.2024); it was left open to the petitioner to apply for restoration of the electricity connection as per the procedure prescribed under the U.P. Electricity Supply Code, 2005, with any such application to be considered in accordance with law once the second installment is paid.

ON THE FACTS A final assessment order under s.126 (Rs. 99,842/-) had gone unchallenged in the writ petition (the petitioner having separately challenged it before the Permanent Lok Adalat, Aligarh, a fact not disclosed in the petition); the connection was permanently disconnected on 29.2.2024, and the petitioner sought a recovery-citation quashal and restoration.

DISPOSITION Writ petition disposed of by consent; installment payment permitted, restoration to follow the Supply Code procedure upon second installment

SCJ-108 Raju v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Another

Supply Code 2005

All HC 2024

2024:AHC:163571-DB

ISSUE

Can a licensee permanently disconnect a consumer's electricity supply, on the ground that the electricity was being used at another (unauthorized) premises, without first issuing any notice or show-cause opportunity to the consumer?

RATIO

No — the Supply Code does not permit disconnection of this nature without any notice whatsoever to the consumer. The licensee's own counsel conceded no show-cause notice had been given before the permanent disconnection (carried out 11.6.2024) on the stated ground of unauthorized use at another premises. The Court, without going into the merits of the unauthorized-use allegation, directed reinstallation of the permanently disconnected connection within 7 days, while leaving it open to the licensee to thereafter issue a show-cause notice and proceed in accordance with law, including against the petitioner on the complaint that had been filed.

ON THE FACTS The petitioner's electricity connection was permanently disconnected on 11.6.2024 without any notice; the licensee alleged an enquiry found the electricity being used at another premises (unauthorized use), but conceded no show-cause notice preceded the disconnection.

DISPOSITION Writ petition disposed of; permanent disconnection quashed, reinstallation directed within 7 days, without prejudice to a fresh show-cause notice

SCJ-045 Kripa Shanker v. State of U.P. Thru. Distt. Collector, Unnao & Ors.

Supply Code 2005 §6.14

All HC 2025

2025:AHC-LKO:36177-DB

ISSUE

Can a consumer facing recovery of an outstanding bill be permitted to pay it in installments, and through what mechanism?

RATIO

Clause 6.14 of the Code already provides for payment of outstanding dues in installments; on an application by the consumer, the Executive Engineer must consider and decide the request expeditiously. By consent, the Court directed the petitioner to deposit Rs. 15,000 and move a Clause 6.14 application, staying recovery pending decision, conditional on the deposit being made.

ON THE FACTS The petitioner, a marginal farmer, held an agricultural electricity connection and faced recovery proceedings for an unpaid bill of Rs. 78,647; he did not dispute the bill but sought installment payment owing to financial difficulty.

DISPOSITION Writ petition disposed of by consent (installment facility directed on partial deposit)

I. Unauthorised Use of Electricity (s.126)

45 RATIOS · 38 JUDGMENTS

SCJ-158 Ashok Kumar & Ors. v. State of U.P. & Ors.

Supply Code 2005 §6.8

ratio 1 of 4

All HC 2008

2008 SCC OnLine All 696

ISSUE

Were the provisional assessment notices valid, given the procedure prescribed by Clause 6.8 of the Code read with s.126?

RATIO

No. Clause 6.8 requires the details/evidence substantiating unauthorised use to be recorded in the inspection report and stated in the assessment notice and order (6.8(a)(iv),(v)), 15 working days for reply (6.8(b)(i)), a fixed date on which the consumer is heard in person (6.8(b)(ii)), and a final order of assessment (6.8(c)) before a demand notice issues. Here the MRI report/findings were not shown to the consumers, the notice merely recited that theft/irregularities were found and gave seven days, and no final order preceded the s.3 demand. The provisional notices are wholly illegal for non-compliance with Clause 6.8 read with s.126.

ON THE FACTS Inspection of 15-1-2008 alleged CT shorting / missing-phase tampering on electronic meters; the MRI 'cumulative tamper status' showed erratic durations that the officials did not investigate, and the report/notice did not substantiate the allegation.

DISPOSITION Writ petitions partly allowed; s.126 assessment notices and s.3 (1958 Act) demand notices quashed

SCJ-158 Ashok Kumar & Ors. v. State of U.P. & Ors.

Electricity Act 2003 §126

ratio 2 of 4

All HC 2008

2008 SCC OnLine All 696

ISSUE

Two-stage opportunity of hearing; recorded conclusion of unauthorised use as a condition precedent

RATIO

The condition precedent to the s.126(1) power is that the assessing officer come to and record a conclusion of unauthorised use. Because that finding overlaps with the s.135 offence and stigmatises the consumer, the officer must, before making the provisional assessment, disclose the specific manner of the alleged unauthorised use and give the consumer an opportunity to defend, then record the conclusion (conferring jurisdiction). Opportunity is required at two distinct stages — first, before concluding that unauthorised use occurred (the guilt stage), and second, before final assessment (the quantum stage); only an assessment conducted in this manner is valid.

DISPOSITION Writ petitions partly allowed; s.126 assessment notices and s.3 (1958 Act) demand notices quashed

SCJ-032 Hazi Mohd. Yaseen v. P.V.V.N.L. & Another

Electricity Act 2003 §126(3)

ratio 1 of 2

All HC 2011

ISSUE

Does the 'reasonable opportunity of hearing' under Section 126(3) require a personal hearing before a final assessment of theft, or is taking note of written objections enough?

RATIO

It requires a personal hearing. Merely taking note of written objections is not compliance; because supply (an essential service) has been disconnected and the theft charge carries penal consequences, a personal hearing is essential before a final assessment. The ex parte final assessment is quashed and remitted for a fresh reasoned order after personal hearing, conditioned on the consumer depositing 50% of the claim (25% cash + 25% security).

ON THE FACTS After two rounds over the provisional assessment, the Executive Engineer passed an ex parte final assessment (2.2.2011) for 407 days without a personal hearing, on an MRI report not supplied to the consumer.

DISPOSITION Writ petition disposed of (final assessment quashed; remitted for fresh order after personal hearing, on a 50% deposit)

SCJ-032 Hazi Mohd. Yaseen v. P.V.V.N.L. & Another

Electricity Act 2003 §126(5)

ratio 2 of 2

All HC 2011

ISSUE

Assessment period — entire period of unauthorised use, or 12 months if unascertainable

RATIO

Section 126(5) has two parts: assessment for the entire period during which unauthorised use took place, or, if that period cannot be ascertained, a period limited to twelve months preceding inspection. Whether the period (here 407 days) was properly ascertained is a factual question for the assessing/appellate authority.

DISPOSITION Writ petition disposed of (final assessment quashed; remitted for fresh order after personal hearing, on a 50% deposit)

SCJ-041 Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. (SOUTHCO) v. Sri Seetaram **SC** 2011**Rice Mill** Electricity Act 2003 §126 ratio 1 of 3

(2012) 2 SCC 108

ISSUE

Do Sections 126 (unauthorised use) and 135 (theft) occupy the same field, and does Section 126 require mens rea?

RATIO

No commonality. Sections 126 and 135 operate in different and distinct fields. Section 135 falls within criminal jurisprudence and mens rea is a relevant factor for theft; Section 126 does not speak of any criminal intendment and is primarily a civil remedy, applying even in the absence of intention.

DISPOSITION Appeal allowed; High Court judgment set aside and remanded to the assessing officer to pass a final Section 126(3) assessment after affording the consumer an opportunity to file objections

SCJ-041 Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. (SOUTHCO) v. Sri Seetaram **SC** 2011**Rice Mill** Electricity Act 2003 §126 ratio 2 of 3

(2012) 2 SCC 108

ISSUE

'Unauthorised use' is a wider, purposively-construed expression covering excess load

RATIO

'Unauthorised use of electricity' is an expression of wider connotation, to be construed purposively rather than restrictively by the clauses of the Explanation, keeping in mind the object and purpose of the Act. Consumption in excess of the maximum contracted/sanctioned load falls under Explanation (b)(iv) to Section 126 (besides violating the Regulations and the agreement of supply).

ON THE FACTS On inspection, the licensee found the consumer drawing 142 KVA against its sanctioned load and issued a provisional assessment/show-cause under Section 126; the consumer, without filing objections under Section 126(3), moved the High Court, which held overdrawing did not amount to 'unauthorised use'.

DISPOSITION Appeal allowed; High Court judgment set aside and remanded to the assessing officer to pass a final Section 126(3) assessment after affording the consumer an opportunity to file objections

SCJ-047 Lalit Kumar Kapoor v. Kanpur Electricity Supply Company &**All HC** 2011**Anr.** Electricity Act 2003 §126 ratio 1 of 3

ISSUE

Where a theft occurred and provisional assessment was made before the 2007 amendment to Section 126 but the final assessment was made after it, does the unamended or the amended Act govern the appeal deposit condition and the assessment rate (one-and-half times vs twice the tariff)?

RATIO

The amended Act governs. A provisional assessment is not a final assessment and carries no independent right of appeal; the cause of action for the statutory appeal arises only from the final assessment. The law prevailing on the date of the final assessment (here, 2011) applies both to the deposit condition for the appeal and to the assessment rate under Section 126(6) (amended to 'twice' the tariff, from 'one-and-half times'), regardless of when the theft/cause of action arose (2004) or the provisional assessment was made.

ON THE FACTS A theft-based final assessment (~Rs. 10 lakh) was made in 2011 in respect of a matter for which the cause of action arose in 2004 and an earlier writ (No. 10105 of 2011) had directed consideration of the petitioner's representation.

DISPOSITION Writ petition disposed of (relegated to the statutory appeal under Section 127, subject to the amended deposit condition)

SCJ-047 Lalit Kumar Kapoor v. Kanpur Electricity Supply Company &

All HC 2011

Anr. Supply Code 2005 §6.8 ratio 2 of 3

ISSUE

Reasonable opportunity of hearing before a theft-based final assessment; procedural defect condoned where opportunity was in substance given

RATIO

Reasonable opportunity of hearing in a theft assessment is governed by Clauses 6.8(b)(i), 6.8(c)(iii) read with 8.1(b) of the Code (citing Khem Chand v. Union of India and Transmission Corporation of A.P. v. Sri Rama Krishna Rice Mill on the nature of 'reasonable opportunity'). Provisional assessment, reply, and final assessment together form a single process reaching finality; where the authority afforded an opportunity for hearing (including through consideration of a representation directed by an earlier writ order) before making the final assessment, any procedural defect at the provisional stage is condoned, since procedural law cannot override the substantive law.

DISPOSITION Writ petition disposed of (relegated to the statutory appeal under Section 127, subject to the amended deposit condition)

SCJ-059 M/S Modern Rice Mill v. MVVNL & Anr.

Electricity Act 2003 §126

ratio 2 of 3

All HC 2011

ISSUE

Where the Code's assessment-rate provision conflicts with the statute, the statute prevails

RATIO

At the relevant date, Section 126(6) fixed the assessment rate at one-and-a-half times the applicable tariff; any discrepancy in the Code (which the assessing/appellate authorities read as permitting a rate of thrice/twice respectively) must yield to the statute, which prevails over the Code in case of conflict. Both the assessing officer's (thrice) and the appellate authority's (twice) orders were accordingly unsustainable on rate alone, independent of the Clause 5.6 defect.

DISPOSITION Writ petition allowed; assessment and appellate orders quashed (liberty to reassess afresh)

SCJ-059 M/S Modern Rice Mill v. MVVNL & Anr.

Supply Code 2005 §6.8

ratio 3 of 3

All HC 2011

ISSUE

A Section 126 assessment (being penal/fiscal-preventive) cannot include dues not contemplated by the statute (e.g. electricity duty), and minimum-charge liability during disconnection requires fault attributable to the consumer

RATIO

Since a Section 126/Clause 6.8 assessment amount is expressly excluded from computation of the consumer's monthly/annual charge liability, the assessment being penal in scope cannot be enlarged to add other dues (here, electricity duty) not contemplated by the statute. Separately, minimum consumption/guarantee charges for a period of disconnection can be demanded only where the disconnection is attributable to the consumer's own fault (e.g. an established theft justifying disconnection); where the fault (or its absence) is unresolved, the licensee cannot claim such charges, and the billing authority must determine responsibility for the disconnection before raising the demand.

DISPOSITION Writ petition allowed; assessment and appellate orders quashed (liberty to reassess afresh)

SCJ-119 Shiv Shankar Giri v. Purvanchal Vidyut Vitran Nigam Ltd. & Others

Supply Code 2005 §9.3

All HC 2011

ISSUE

Can a licensee proceed to recovery, treating a provisional assessment as final for want of objections, where the licensee cannot show the provisional assessment was served in the Clause 9.3-prescribed manner and the consumer denies receiving it (or the subsequent demand notice)?

RATIO

No — the licensee's own instructions were silent on whether the provisional assessment was sent by registered or ordinary post, and the consumer denied receiving both the provisional assessment and the subsequent demand notice (sent by ordinary post). This deprived the consumer of the statutory right to object under s.126(3)/Clause 8.1(b)(iii). The Court directed that the petitioner be given six weeks (from receipt of a certified copy of the order and the now-supplied provisional assessment/checking report) to file objections before the Executive Engineer, who must decide them by a reasoned, speaking order after a hearing, preferably within six weeks; recovery proceedings under the impugned citation were stayed until the earlier of a fixed date or disposal of the objections, with recovery to thereafter abide by that decision.

ON THE FACTS A checking on 7.9.2010 allegedly detected theft; a provisional assessment (18.12.2009) and demand notice (28.1.2010, sent by ordinary post) preceded a recovery citation (10.12.2010, Rs. 1,14,361 plus charges) sent to the Collector, Azamgarh; the licensee's counsel, on instructions, could not confirm the mode of service of the provisional assessment.

DISPOSITION Writ petition disposed of; fresh opportunity to object to provisional assessment directed, recovery stayed pending decision

SCJ-172 Suresh Kumar v. U.P. Power Corporation, Shakti Bhawan, Lucknow &

All HC 2011

Others Supply Code 2005 §6.8

2011 SCC OnLine All 817

ISSUE

Is a document that shows no calculation and states no assessed amount a valid provisional assessment for a theft/UUE case?

RATIO

No. Such a document does not contain any calculation of the provisional assessment nor mention the amount assessed, and so cannot be a provisional assessment as contemplated by s.126 of the Act and the Code. The purported final assessment is therefore to be treated as the provisional assessment, and the consumer's objections must be decided by a speaking order after a reasonable opportunity of hearing; recovery under the citation stays meanwhile and abides that decision.

ON THE FACTS Checking on 10.1.2008 alleged theft; the 29.2.2008 'provisional assessment' had no calculation and no amount; the consumer received only the 1.5.2008 'final assessment' and filed objections that were not decided.

DISPOSITION Writ petition disposed of with directions; recovery stayed pending decision on objections

SCJ-257 Bhajan Lal and Anr. v. Executive Engineer, Electricity Distribution Khand-1, U.P. and

All HC 2011

Ors. Supply Code 2005 §6.8

2011 SCC OnLine All 2381 : (2012) 3 All LJ 471

ISSUE

Is service of a Clause 6.8(b) provisional-assessment bill and show-cause notice by ordinary post sufficient, or must an authentic mode of service be ensured?

RATIO

Ordinary post does not suffice. Clause 6.8(b) requires service of the provisional-assessment bill with a show-cause notice 'under proper receipt', giving 15 clear working days for reply and fixing a hearing; the assessing authority must ensure actual service by registered post and personal service simultaneously and, if both fail, by newspaper publication (after which it may proceed ex parte). Sending notice by ordinary post raises no presumption of service; non-compliance violates natural justice (Article 14) and vitiates the assessment. The Court directed the Chairman, U.P. Power Corporation to issue a circular ensuring such service.

ON THE FACTS Recovery notice issued without the petitioners being served; EE said notices were sent by ordinary post (denied); a fresh assessment was later paid, leaving nothing to adjudicate but the service question.

DISPOSITION Writ petition disposed of (the fresh assessment having been paid) with directions on the manner of service of the provisional-assessment notice

SCJ-049 M.D., Pakshimanchal Vidyut Vitran Nigam Ltd. v. Electricity Ombudsman &

All HC 2012

Anr. Electricity Act 2003 §126 ratio 1 of 3

ISSUE

Can the Consumer Grievance Redressal Forum and Electricity Ombudsman, constituted by regulations under Section 42(5)-(7)/181, review or set aside an assessment made by the statutory Assessing Officer under Section 126 (or an appeal decided under Section 127)?

RATIO

No. The Assessing Officer under Section 126 is a statutory authority and his order is appealable only under Section 127; where the statute itself creates its own adjudicatory and appellate forum, a parallel forum created by subordinate legislation (CGRF/Ombudsman under the 2007 Regulations) is not permissible and has no jurisdiction at all over such assessments. An earlier writ order that had allowed the consumer to approach CGRF, without the jurisdictional point being raised or contested, does not confer jurisdiction — a judgment lays down a ratio decidendi only on an issue raised, argued and decided, and jurisdiction cannot be conferred by consent, acquiescence, or a court's assumption. The entire CGRF and Ombudsman proceedings (including the order refunding Rs. 14.44 lakh with 16% compound interest) were quashed as a nullity, with liberty to the consumer to pursue objections before the Assessing Officer under Section 126 or an appeal under Section 127, condoning any resulting delay if availed within one month.

ON THE FACTS A consumer was assessed under Section 126 for unauthorised use (supply diverted to an adjacent unit) — first for Rs. 14.44 lakh (paid without objection) and later, on audit objection, for a further Rs. 51.54 lakh; on a consumer writ, the licensee had earlier agreed (and the Court directed) that the matter be routed via CGRF, which set aside the second assessment but rejected the challenge to the first; the Ombudsman then set aside both assessments and ordered a refund with compound interest.

DISPOSITION Writ petition allowed; CGRF and Ombudsman proceedings quashed as without jurisdiction (liberty to pursue the Section 126/127 remedy)

SCJ-051 M/S Beeco Electrical India & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. &

All HC 2012

Ors. Electricity Act 2003 §126 ratio 1 of 3

2012 AIR CC 3143 (All); (2012) 6 ADJ 622

ISSUE

Was the theft-based Section 126 assessment 'without jurisdiction' (justifying writ interference despite the s.127 alternative remedy) because theft itself was not proved and the consumer was not told the manner of the alleged theft?

RATIO

No. A naked conductor found at the LT mains bracket, a broken seal, and an MRI report showing an unexplained wide variance in the power-factor ratio and a reversed phase sequence (which cannot occur without manual manipulation) together well-support the Assessing Officer's inference of direct extraction/theft; this is not a case of no evidence. Ashok Kumar requires only that the consumer be informed of the manner in which he is alleged to have committed theft so he can respond — satisfied here since the checking report itself discloses, under 'observations', the facts from which theft is inferred, even though the consumer was not caught red-handed. No error in the actual quantum of assessment was pointed out.

ON THE FACTS Checking (10.12.2007) found a broken plastic seal, no continuity in the holo seal, and a naked LT-mains conductor at the consumer's premises with historically low recorded consumption; after a prior round of litigation up to the Supreme Court (SLP (C) No. 14883/2008, decided 10.10.2011) directing a fresh hearing with the MRI report supplied, a fresh final assessment of Rs. 26,54,706 was passed on 17.3.2012.

DISPOSITION Writ petition dismissed (assessment upheld on merits despite the availability of the s.127 alternative remedy)

SCJ-112 Sanjay Rizvi v. M.D. Kanpur Electricity Supply Co. & Others

Supply Code 2005 §6.8

All HC 2012

AIR 2012 Allahabad 163; 2012 (8) ADJ 335

ISSUE

Can a provisional assessment for alleged theft/unauthorised use of electricity stand where (a) the licensee's own procedure contemplates MRI verification of the disputed meter, but such verification was never carried out despite repeated requests and a specific court direction to obtain instructions, and a belated 'report' explaining a simulation test of a different meter was produced only during the pendency of the writ petition; and (b) the Clause 6.8 hearing/notice procedure was allegedly not properly followed?

RATIO

The provisional assessment notice did not appear to have an authentic evidentiary basis; Clause 6.8 of the Supply Code requires that before concluding unauthorised use of electricity, the consumer be given an opportunity (inspection report communicated, show-cause notice with objections invited, personal hearing, then a speaking final order) — a requirement rooted in natural justice given the serious, offence-adjacent nature of the allegation. Given that an equally efficacious alternative remedy exists and the underlying factual/technical controversy (correctness of the alleged theft-detection method, given the absence of MRI verification) is better assessed by persons with technical expertise than by the writ court, the petition was disposed of by directing the petitioner to file a fresh representation (annexing the writ petition) before the licensee, to be decided by a reasoned, speaking order after a hearing addressing whether unauthorised use is established; if established, a final assessment order was to follow (for the full period per Clause 6.8(c)(iii)), appealable under s.127 read with Clause 6.8(d).

ON THE FACTS A March 2008 inspection of the petitioner's premises (commercial pump/generator-repair business) led to an inspection memo alleging under-billed consumption (~Rs. 1,40,000) and compounding fees (~Rs. 2,80,000), with an FIR under s.136 lodged when the petitioner did not pay; the petitioner had requested MRI verification of the seized meter (noted in the inspection memo itself) which was never carried out (the licensee lacked the requisite MRI software), and a 'test report' on a different (non-seized) meter number surfaced only during the writ petition's pendency, years later.

DISPOSITION Writ petition disposed of; petitioner relegated to file a representation, with directions for a reasoned decision and appeal rights preserved

SCJ-126 Smt. Vimla Tiwari v. State of U.P. And Others

Electricity Act 2003 §126

ratio 1 of 3

All HC 2012

AIR 2012 Allahabad 142

ISSUE

Can a s.126 assessment order stand where the underlying 'missing meter' checking report — on which the entire assessment rests — is shown through the Assessing Authority's, Appellate Authority's, and field officials' own personal affidavits (filed pursuant to the Court's specific directions) to be internally inconsistent as to dates and material facts, indicating fabrication or backdating?

RATIO

No. The Court, having directed personal affidavits from the Assessing Authority, the Appellate Authority (the Commissioner) and the Superintending Engineer (technical member), and multiple field officials involved in the checking, found the record riddled with irreconcilable inconsistencies going to the core factual premise (whether and when the meter was actually found missing/tampered), amounting to fabrication or backdating of the checking report. Such action, taken without just cause or on a misrepresented factual foundation, constitutes 'malice in law' regardless of any personal ill-will (extensively discussed via S.R. Venkatraman v. Union of India, Mukesh Kumar Agrawal v. State of U.P., Somesh Tiwari v. Union of India, HMT Ltd. v. Mudappa and the string of authorities at para 42). Because s.126 assessments frequently share their factual predicate with s.135 theft charges and carry comparable reputational/character consequences for the consumer, the same procedural rigour applicable to quasi-criminal proceedings must govern s.126 assessments — a standard flagrantly breached here. The assessment order and the appellate order affirming it are accordingly quashed.

ON THE FACTS A checking report alleged the petitioner's electricity meter was found missing/tampered, triggering a s.126 assessment; upon challenge, the Court required the Assessing Officer, the Appellate Authority (Commissioner) and Superintending Engineer, and the field checking officials to each file personal affidavits explaining the sequence of events and the report's preparation; the affidavits proved mutually contradictory and inconsistent with the documentary record, particularly as to dates.

DISPOSITION Writ petition allowed; s.126 assessment order and s.127 appellate order quashed; Rs. 10,000 costs awarded against respondents, recoverable from responsible officials personally, with direction for entry of censure in their Annual Character Roll

SCJ-145 Vinod Kumar Agarwal v. State of U.P. And Others

Electricity Act 2003 §126(3)

All HC 2012

ISSUE

Given a pattern of recovery citations being issued under the 1958 Recovery of Dues Act across Uttar Pradesh without any final assessment order having first been passed under s.126 of the Electricity Act, 2003, what systemic compliance is required of U.P. Power Corporation Ltd. and its Executive Engineers before issuing such citations?

RATIO

The Court directed the Managing Director of U.P. Power Corporation Ltd. to issue strict instructions to all distribution corporations and Executive Engineers to comply with s.126 of the Electricity Act, 2003, and not to issue any recovery certificate unless and until a final assessment has been made after giving the consumer opportunity to object under s.126(1) — with s.126(3) requiring, even where no objection is filed, a recorded finding that the provisional assessment was duly served, followed by a reasoned final assessment order; where objections are filed, they must be considered before the final assessment and recovery certificate issue. The Court directed withdrawal of recoveries already issued without a final assessment, to be reissued only after a proper final assessment, and directed a compliance report to the Court. The Chairman & Managing Director's compliance affidavit (order dated 30.6.2012) accordingly directed all Corporations/Executive Engineers to follow s.126 and Clause 6.8 of the U.P. Electricity Supply Code, 2005, withdraw non-compliant recoveries forthwith (to be re-finalised within three months), and warned that non-compliant officers would face departmental action; the Court accepted this compliance and expected future adherence. In the underlying case, the petitioner's own provisional assessment was withdrawn, a final assessment order passed after considering his objections, and the connection reconnected, rendering the writ petition infructuous, with the petitioner permitted an appeal under s.127 and directed to complete the interim 50% deposit (adjusted for amounts already recovered), and with a direction that recovery-collection charges not be borne by the State where recoveries are withdrawn for Corporation non-compliance.

ON THE FACTS The petitioner, running a book-binding business on a commercial connection, was assessed as if for industrial use without his objections being decided, and a recovery citation was issued without a prior final s.126 assessment; a related theft case against him had been compounded and closed by police final report; the Court noted a recurring pattern of similar cases reaching it from across the State, with Corporation counsel repeatedly unable to obtain instructions.

DISPOSITION Writ petition disposed of as infructuous following withdrawal of the recovery and issuance of a final assessment order; systemic compliance directions issued to and accepted by U.P. Power Corporation Ltd.

SCJ-034 Islam v. State of U.P. & 4 Others

Electricity Act 2003 §126

All HC 2013

ISSUE

Is a farmer's use of his agricultural tube-well connection to run a kolhu for crushing his own sugarcane, within the sanctioned load, 'unauthorised use' assessable as theft?

RATIO

No. Ancillary use of a sanctioned agricultural connection for a kolhu/kutti machine to crush one's own produce, within the sanctioned load, is authorised agricultural use (per the licensee's own policy order of 11.11.2005), not unauthorised use — unless the load exceeds the sanctioned load or a second meter is installed. The burden to prove commercial use/theft is on the department; absent any allegation of crushing for others/hire, excess load, or a second meter, the assessment is illegal and quashed.

ON THE FACTS A farmer with a 7.5 HP tube-well connection was found running a kolhu to crush sugarcane; no allegation that it was for others or for hire, no excess load, no second meter; the department cited no Supply Code provision authorising the action.

DISPOSITION Writ petition allowed (theft assessment quashed)

SCJ-139 U.P. Power Corporation Ltd. & Ors. v. Anis Ahmad (with connected appeals)

SC 2013

Electricity Act 2003 §126

(2013) 8 SCC 491

ISSUE

Is a complaint filed before a Consumer Forum under the Consumer Protection Act, 1986, challenging (a) a final assessment order passed under Section 126 of the Electricity Act, 2003 for unauthorised use of electricity, or (b) action taken/prosecution under Sections 135 to 140 for theft of electricity or interference with meters, maintainable, given Sections 173-175 of the Electricity Act (saving/not-derogating from the Consumer Protection Act)?

RATIO

No. Overruling the National Consumer Disputes Redressal Commission's majority view, the Supreme Court held that Sections 173-175 of the Electricity Act, 2003 preserve the Consumer Protection Act's general applicability and resolve any 'inconsistency' in the CP Act's favour, but this does not itself confer Consumer Forum jurisdiction over matters that never fall within the CP Act's 'complaint' definition (s.2(1)(c)) in the first place — namely unfair/restrictive trade practice, defective goods, deficiency in service, hazardous goods/services, or overcharging. The quasi-judicial assessment of 'unauthorised use of electricity' under s.126 (assessed by a public-servant assessing officer at twice the applicable tariff, appealable under s.127, with a further 50%-of-assessed-amount deposit precondition) has no relationship to any of these categories, and offences under ss.135-140 (theft, meter-tampering, interference) are triable exclusively by Special Courts constituted under s.153 — the Civil Court's jurisdiction over both is expressly ousted by s.145. The Electricity Supply Code under s.50 governs billing, disconnection, and tampering-prevention measures, not s.126/135-140 assessment or offences. Separately, all the respondent-complainants here held commercial/industrial electricity connections and so were not 'consumers' under s.2(1)(d) CP Act (which excludes persons availing goods/services for commercial purpose), rendering their complaints independently non-maintainable on that ground too. Section 42 of the Electricity Act (Ombudsman/Forum mechanism, on which the National Commission relied) applies only to distribution licensees under Part VI and does not extend Consumer Forum jurisdiction to assessment/theft matters. All the National Commission's orders were accordingly set aside.

ON THE FACTS Consolidated appeals from eight consumer complaints (Anis Ahmad, Rakhi Ghosh, Prithvi Pal Singh, Zulfikar, Shahzadey Alam, Atul Kumar Gupta, Tauseef Ahmed, Mohd. Yunus) filed before District Consumer Fora against U.P. Power Corporation Ltd. and West Bengal SEB, all challenging revenue-assessment notices/bills issued following inspection reports alleging theft of electricity, excess/unauthorised load usage, or meter-tampering (industrial/commercial connections in most cases); the National Commission's earlier majority decision (10.4.2008) had held such complaints maintainable, over a dissenting minority judgment.

DISPOSITION Civil appeals allowed; National Consumer Disputes Redressal Commission's orders set aside

SCJ-163 Jai Laxmi Cement Company Ltd. v. State of U.P. & 3 Others

Electricity Act 2003 §126

ratio 1

All HC 2013

of 2

2013 SCC OnLine All 9880

ISSUE

Is a provisional assessment notice liable to be struck down for prejudgment because it relies on a checking report that 'confirms' theft?

RATIO

No. A bare reading of the provisional assessment notice shows it does not express a concluded opinion or prejudge the issue; it is based on the checking report and the consumer has been given a right to file objections against both the checking report and the notice, to be examined by the authority finalising the assessment. Oryx Fisheries, where the notice said the charge was 'proved beyond doubt', is on different facts and does not apply.

DISPOSITION Writ petition disposed of with directions; interference at the provisional-assessment stage declined

SCJ-164 Parmarth Steels & Alloys (Pvt.) Ltd. & Anr. v. U.P. Power Corporation Ltd. (Transco) &

All HC 2013

Others

Electricity Act 2003 §126

ratio 1 of 2

2013 SCC OnLine All 11490

ISSUE

Can a final assessment stand where the assessing officer rejected the consumer's detailed objections by a non-speaking, parawise reply without considering the check-meter and sub-station readings?

RATIO

No. Before making a final assessment under s.126 the assessing officer must consider the consumer's detailed objections and pass a speaking order. The outdoor double-pole meter functions as a check meter and was found O.K., and the sub-station meter maintains line-loss readings that tally at both ends; both were relevant to whether theft occurred and had to be given due consideration. The rejection order, which met a key objection only with 'Assessment is as per rules...', did not do so and is set aside; the matter is remitted for a fresh final assessment after due consideration of the objections.

ON THE FACTS Independent-feeder consumer with three meters (energy meter in premises, outdoor double-pole check meter, sub-station accounting meter); on inspection the C.T.-chamber plastic seal was found damaged/tampered but the outdoor meter was O.K.

DISPOSITION Writ petition allowed to the extent indicated; rejection order set aside; matter remitted for fresh final assessment

SCJ-040 Kapil Gupta v. U.P. Power Corpn. Ltd. & Anr.

Electricity Act 2003 §126

ratio 2 of 2

All HC 2014

ISSUE

A Section 126 assessment can be made even in a theft case

RATIO

Section 126 (Chapter XII, investigation/enforcement) empowers a provisional assessment of charges for unauthorised use, while Section 135 (Chapter XIV, offences) makes unauthorised use a criminal offence; the two operate in different chapters, and a person committing theft/unauthorised use still bears the civil liability to pay for the consumption. A provisional assessment can therefore be made in a theft case.

DISPOSITION Writ petition dismissed (relegated to the Section 127 appeal)

SCJ-057 M/S Kissan Chilling Udyog & Anr. v. State of U.P. & Ors.

Supply Code 2005 §6.8

All HC 2014

ISSUE

Can a Section 126 unauthorised-use assessment stand where the show-cause notice and final order attribute meter-tampering ('all seals tampered') to the consumer's main meter, when the checking report in fact recorded the body-seal defect only for the main meter and the foreign/remote-controlled device only inside a separate double (test) meter installed by the licensee itself to test the main meter?

RATIO

No. Following Ashok Kumar's Clause 6.8 procedure (inspection report, 15-working-day show-cause notice, hearing, speaking final order), the impugned orders were quashed for two independent defects: (1) no valid Clause 6.8 notice/final order was issued disclosing the manner of the alleged unauthorised use or the basis for the assessed quantum, and (2) the notice and final order misread the checking report by attributing tampering ('all seals found tempered') to the main meter and treating the double meter's contents as equally condemnatory, when the checking report showed the body-seal defect recorded only for the main meter and the foreign device only inside the double meter (installed by the respondents themselves to test the main meter, under no averred common sealing certificate) — a misreading respondent's own counsel conceded justified remand. The Assessing Authority was given liberty to reassess afresh strictly per Clause 6.8 and Ashok Kumar.

ON THE FACTS On checking (24.8.2008) of a chilling-plant's meters, the main meter's body seal was recorded as damaged, and a foreign remote-controlled device was found inside a separately installed 'double meter' (used by the licensee to test the main meter); the show-cause notice/final assessment (Rs. 21,74,211, later revised) nonetheless stated 'all the seals in meter were found tempered' without distinguishing the two meters or disclosing the basis of the quantum, despite two prior rounds of writ litigation (Writ Petition No. 898 of 2008) that had already quashed an earlier final order for the same non-disclosure defect.

DISPOSITION Writ petition allowed; assessment and demand notices quashed (liberty to reassess afresh strictly per Clause 6.8/Ashok Kumar)

SCJ-111 Sandeep Kesarwani v. State of U.P. & 3 Others

Electricity Act 2003 §126

ratio 1 of 3

All HC 2014

ISSUE

(1) Where theft of electricity under s.135 is alleged and a criminal trial is pending before the Special Court, does the Executive Engineer retain jurisdiction to make an assessment under s.126? (2) Is assessment under s.126 inapplicable to theft cases, with civil liability to be determined only by the Special Court under s.154(5)?

RATIO

(1)-(2) Yes, s.126 assessment must be made even in theft cases pending Special Court trial. 'Unauthorised use of electricity' under Explanation (b) to s.126 is a wide genus comprehensively covering theft under s.135 as a dishonest species of the same conduct; the sixth proviso to s.135(1), which conditions restoration of supply on payment of the 'assessed amount', itself presupposes a s.126 assessment exists to be paid. Clause 8.1 of the Supply Code, 2005 (framed by the Regulatory Commission under s.50) confirms this understanding by prescribing a provisional-assessment-and-hearing procedure specifically for theft cases under s.135. The now-omitted Clause 8.0(6) (allowing interim-payment restoration pending Special Court decision) was merely an option for restoration, not an indication that s.126 assessment is inapplicable to theft. The Special Court's role under s.154(5)/(6) is to finally determine civil liability (which may differ from — and trigger refund/adjustment against — the s.126-assessed amount already deposited), not to displace the assessing officer's s.126 jurisdiction. Following Paliwal Alloys, Radha Krishna Cold Storage, Ashok Kumar, Mohit Paper Mills, and distinguishing the Andhra Pradesh High Court's Tirumala Modern Rice Mill and clarifying that the Supreme Court's Southco v. Seetaram Rice Mill (holding ss.126/135 operate in 'different fields') did not hold that s.126 assessment is barred in theft cases: (i) assessment under s.126 is to be made even where a s.135 offence is pending trial before the Special Court; (ii) the Special Court finally determines civil liability, with s.154(6) governing any refund if that determination is less than the amount already deposited pursuant to s.126 assessment.

ON THE FACTS The petitioner was found in a 8.3.2011 checking indulging in theft of electricity via L.T. lines without a meter, used for commercial purposes; an FIR under s.135 was lodged the same day and a charge-sheet filed, with trial pending before the Special Court; separately, a provisional assessment notice (23.5.2011) and, over two years later, a final assessment order (21.6.2013) were issued under s.126, followed by a recovery citation (19.11.2013) which the petitioner challenged.

DISPOSITION Writ petition disposed of; recovery citation set aside, fresh objection/final-assessment process directed

SCJ-111 Sandeep Kesarwani v. State of U.P. & 3 Others

Supply Code 2005 §6.8

ratio 3 of 3

All HC 2014

ISSUE

A final assessment order passed more than two years after the provisional assessment notice, without affording a fresh opportunity to object, violates natural justice and is liable to be set aside notwithstanding an available s.127 appellate remedy, where the assessing officer's jurisdiction itself is challenged

RATIO

Section 126(3) contemplates a final assessment ordinarily within 30 days of the provisional assessment order; where, as here, more than two years elapsed between the provisional assessment notice (23.5.2011) and the final assessment order (21.6.2013) with no fresh notice or opportunity given, the final assessment order cannot be said to have been passed in consonance with natural justice, notwithstanding the petitioner's failure to object to the original provisional notice and the availability of an appeal under s.127. The recovery citation was set aside, and the petitioner was directed to file objections to the (revived) provisional assessment notice within 15 days, with the Executive Engineer to pass a fresh final assessment decision within one month, leaving the respondents free to proceed further in accordance with law thereafter.

ON THE FACTS No proof of service of the provisional assessment notice by registered post was annexed by the respondents; over two years elapsed before the final assessment order issued.

DISPOSITION Writ petition disposed of; recovery citation set aside, fresh objection/final-assessment process directed

SCJ-153 Mohd. Sagir v. Dakshinanchal Vidyut Vitran Nigam Ltd. &

All HC 2014

Ors. Electricity Act 2003 §126(3) ratio 3 of 4

2014 SCC OnLine All 8462

ISSUE

Reasonable opportunity of hearing before a final assessment

RATIO

A final assessment order passed without affording a reasonable opportunity of hearing violates s.126(3) and natural justice and is liable to be set aside on that ground alone. Here the consumer's objection of 11/9/2009 was never decided, his request on 29/9/2009 for time (even short of the 15 days sought) was refused, and the one-month period contemplated by s.126(3) had not expired when the final order of 30/9/2009 was passed.

ON THE FACTS Consumer's proprietor was abroad; his manager twice sought a later date; a writ challenging the meter testing was pending; yet the assessing officer finalised in haste.

DISPOSITION Writ petition disposed of; final assessment order set aside; matter remitted

SCJ-192 Ram Prakash Yadav v. State of U.P. & 3 Others

Supply Code 2005 §6.8

All HC 2014

2014 SCC OnLine All 12682

ISSUE

Is a theft assessment valid where service of the provisional assessment is not proved and the assessing authority recorded no satisfaction of theft?

RATIO

No. Sending the provisional assessment by registered post, with nothing to show it was received and no positive reply on the method of service, means the consumer was denied the Clause 6.8(b) opportunity to reply and object; further, the provisional assessment gave no basis for the amount and the assessing authority did not record its satisfaction that theft was committed. Treating the unanswered provisional assessment as final and issuing a recovery certificate was therefore illegal; the demand and consequential proceedings are quashed and a fresh Code-compliant assessment (per Ashok Kumar) directed.

ON THE FACTS Assessment of Rs. 2,15,654; provisional assessment (notice No. 802) dated 28.5.2011 sent by registered post; demand notice 26.6.2014, no proof of receipt; treated as final for want of objection and recovery issued.

DISPOSITION Writ petition allowed; demand quashed; fresh Code-compliant assessment directed

SCJ-193 Yogendra Singh v. Dakshinanchal Vidyut Vitaran Nigam Ltd. & 3

All HC 2014

Others Supply Code 2005 §6.8

2014 SCC OnLine All 12750

ISSUE

Is a theft assessment valid where service of the provisional assessment is not proved and the assessing authority recorded no satisfaction of theft?

RATIO

No. Sending the provisional assessment by registered post, with nothing to show it was received and no positive reply on the method of service, means the consumer was denied the Clause 6.8(b) opportunity to reply and object; further, the provisional assessment gave no basis for the amount and the assessing authority did not record its satisfaction that theft was committed. Treating the unanswered provisional assessment as final and issuing a recovery certificate was therefore illegal; the demand and consequential proceedings are quashed and a fresh Code-compliant assessment (per Ashok Kumar) directed.

ON THE FACTS Assessment of Rs. 98,142; provisional assessment (notice No. 2349) dated 23.9.2013 sent by registered post, no proof of receipt; treated as final for want of objection and recovery issued.

DISPOSITION Writ petition allowed; demand quashed; fresh Code-compliant assessment directed

SCJ-065 M/S Sartaj Rice Mill Thru' Its Partner Maqsood Ali v. Paschimanchal Vidhyut Vitran Nigam

All HC 2015

Ltd. **Supply Code 2005 §6.8**

ISSUE

Can a consumer, who offered in writing to pay an overload-assessment sum in instalments (accepted by the licensee, restoring his disconnected supply), later contend years afterward that the assessment was never finalised and is time-barred/void for want of a hearing, where he was in fact present and heard pursuant to a court-directed time-bound disposal of his objection?

RATIO

No. The consumer's own written offer (19.10.2001) to pay the assessed dues in instalments, accepted by the Executive Engineer with restoration of supply, rendered the earlier assessments final by his own conduct; a subsequent, undisputed third notice (based on actual meter inspection reports) stood in the same position. Para 3.1, Chapter 7 of the Commercial and Revenue Manual (read with Clause 6.8(c)(i) of the Code) required an opportunity of hearing before assessment/recovery, which was afforded pursuant to this Court's earlier order directing disposal of the consumer's 04.05.2005 objection within four weeks; the consumer was present at the hearing but failed to produce the documents (copy of his representation/receipt) he claimed supported his case, and his advocate's illness-based adjournment request on the last available date could not be granted without breaching the court's deadline. No ex parte order or breach of natural justice was made out.

ON THE FACTS Assessment notices (Rs. 2,98,080; Rs. 1,25,838; Rs. 1,62,044) were raised over 2000-2003 based on a series of meter inspection reports showing overload consumption above the sanctioned load; the consumer's objection dated 4.5.2005 remained undecided for a decade until a 2015 writ directed its disposal within four weeks, upon which the assessing authority heard the consumer and directed deposit of the outstanding dues.

DISPOSITION Writ petition dismissed

SCJ-165 Kamil v. State of U.P. & Others**Supply Code 2005 §6.8**

ratio 1 of 3

All HC 2016

2016 SCC OnLine All 2684

ISSUE

Is a provisional assessment valid where the notice gave no opportunity to object and fixed no hearing date, and no final assessment order preceded the recovery demand?

RATIO

No. Clause 6.8 requires a site inspection report indicating conclusive evidence of UUE handed to the consumer (6.8(a)), a provisional assessment bill with a show-cause notice giving 15 working days to reply and a fixed date of hearing (6.8(b)), a personal hearing, and a speaking order on whether UUE is established and the quantum (6.8(c)). The notice dated 29.7.2005 offered no opportunity to object and fixed no hearing, merely demanding a deposit within seven days, and no final assessment order preceded the s.3 (1958 Act) demand. The entire procedure was de hors s.126 and Clause 6.8; the impugned order and the s.3 demand notice are quashed, with liberty to issue a fresh, compliant provisional assessment notice.

ON THE FACTS Surprise checking found a 32.16 HP load against a sanctioned 6.7 HP and a direct connection from the L.T. line (theft); an FIR was lodged, but the assessment machinery was not followed.

DISPOSITION Writ petition allowed; assessment/representation-rejection order and s.3 (1958 Act) demand notice quashed

SCJ-165 Kamil v. State of U.P. & Others**Electricity Act 2003 §126**

ratio 2 of 3

All HC 2016

2016 SCC OnLine All 2684

ISSUE

Recorded conclusion of UUE and a fair hearing are conditions precedent to assessment

RATIO

The condition precedent to the s.126(1) power is the assessing officer's conclusion that the consumer indulged in unauthorised use; that satisfaction cannot rest on the officer's mere vagaries without a fair opportunity of hearing. Natural justice, not being excluded by the Act, applies to a serious charge of unauthorised use that may also amount to a s.135 offence; s.126(3) itself contemplates a reasonable opportunity of hearing before final assessment.

DISPOSITION Writ petition allowed; assessment/representation-rejection order and s.3 (1958 Act) demand notice quashed

SCJ-176 Rakesh v. State of U.P. & 3 Others

Supply Code 2005 §6.8

All HC 2016

2016 SCC OnLine All 1586

ISSUE

Can recovery proceed on a theft assessment where no final order of assessment is shown to have been passed and the provisional notice does not conform to the Code?

RATIO

No. In the absence of any final order of assessment, no question of recovery arises; and the provisional assessment notice was not in conformity with Ashok Kumar and Clause 6.8 of the Code. The licensee must issue a fresh provisional assessment notice conforming to Ashok Kumar and Clause 6.8, give adequate opportunity of reply and oral hearing, and pass a speaking order; recovery stays suspended until then and abides the final assessment.

ON THE FACTS FIR under s.135 for direct theft via a charcoal cable bypassing the meter; provisional assessment of about Rs. 6.24 lakh and a recovery citation, but no final assessment order shown despite repeated queries.

DISPOSITION Writ petition disposed of; recovery suspended pending a fresh, Code-compliant assessment

SCJ-211 Ram Bahadur v. State of U.P. & Others

Supply Code 2005 §6.8

All HC 2016

2016 SCC OnLine All 3479

ISSUE

May the assessing officer mechanically assess unauthorised use for 12 months (365 days) where the actual period is ascertainable?

RATIO

No. Under s.126(5) and Clause 6.8(c)(iii)/Annexure 6.3, the assessment is for the entire period of unauthorised use, and the 365-day period (criterion 'D') applies only when, on recorded satisfaction, the actual period cannot be ascertained. Here the connection was granted on 14.4.2015 and the use detected on 3.6.2015, so the period was ascertainable (at most from the date of connection); assessing 365 days mechanically — reaching back before the connection existed — without recorded satisfaction is patently erroneous. Assessment and recovery quashed; fresh assessment directed.

ON THE FACTS Tubewell connection granted 14.4.2015; inspection 3.6.2015 found bypassing of the meter to run an aata chakki; final assessment of Rs. 5,73,682 computed on a mechanical 365-day period.

DISPOSITION Writ petition allowed; assessment and recovery quashed; fresh assessment directed

SCJ-143 Vimal Gupta v. Executive Engineer, Dakshinanchal Electricity Dist.

All HC 2017

Nigam

Supply Code 2005 §6.8

ISSUE

Should a writ court adjudicate the merits of a provisional unauthorised-use electricity assessment directly, or direct the consumer to the U.P. Electricity Supply Code, 2005's own adjudicatory mechanism, and on what terms may interim reconnection be granted pending resolution?

RATIO

The Court declined to adjudicate the merits, holding that the Supply Code, 2005 provides a detailed mechanism for adjudication and disposal of unauthorised-use assessment disputes which the petitioner must follow if he wishes to challenge the assessment. With the consent of both parties, the writ petition was disposed of with a direction that the petitioner deposit 50% of the total disputed amount within two weeks, upon which the licensee would consider the reconnection request in accordance with law, with expedition.

ON THE FACTS The petitioner, a consumer of Dakshinanchal Vidyut Vitran Nigam, was provisionally assessed for unauthorised extraction of electricity, a demand was raised, and his connection was disconnected; he sought both to challenge the assessment and to have the connection restored.

DISPOSITION Writ petition disposed of by consent; petitioner directed to deposit 50% of the disputed amount within two weeks, licensee to consider reconnection thereafter

SCJ-195 Bharat Bhati v. State of U.P. & 2 Others

Supply Code 2005 §6.8

All HC 2018

2018 SCC OnLine All 3262

ISSUE

Should a writ be entertained against a Clause 6.8(B) show-cause/provisional assessment notice before the consumer has filed objections?

RATIO

No. Such a writ is premature; the consumer has ample opportunity to take all his pleas — including tenancy of the premises and the correct assessment period — before the appropriate authority. On the consumer filing objections within 15 days, the authority must decide them by a speaking order in accordance with law.

ON THE FACTS Provisional assessment notice of 6.6.2018 under Clause 6.8(B); the petitioner, an owner alleging the premises were tenanted to one Mohd. Raza, had not yet filed his objection.

DISPOSITION Writ petition disposed of; petitioner relegated to file objections before the authority

SCJ-042 West Bengal State Electricity Distribution Co. Ltd. (WBSEDCL) v. M/s Orion Metal Pvt.

SC 2019

Ltd. Electricity Act 2003 §126

ratio 1 of 3

(2020) 18 SCC 588; Civil Appeal No. 6547 of 2019

ISSUE

Can a Section 126 assessment be made where the unauthorised use amounts to theft (e.g. by meter-tampering)?

RATIO

Yes. All instances of unauthorised use may not amount to theft, but theft under Section 135 falls within the definition of 'unauthorised use of electricity'; use through a tampered meter is therefore unauthorised use assessable under Section 126(6)(b) (iii). The authorities are empowered to make a provisional and final assessment under Section 126(1) even in cases where electricity is unauthorisedly used by way of theft.

ON THE FACTS On inspection of a bulk HT consumer (1450 KVA), abnormal current was found at the PT secondary wires and foreign material inside the TTB, treated as theft by meter-tampering; the meter was seized, a Section 126(1) provisional assessment of ~Rs. 13.41 crore was made for un-metered consumption, and a criminal complaint (with charge-sheet) was lodged.

DISPOSITION Appeal allowed; High Court (Division Bench) order set aside — the Section 126 assessment restored

SCJ-048 Latif v. State of U.P. & Ors.

Supply Code 2005 §6.8

All HC 2019

AIRONLINE 2019 ALL 2332

ISSUE

Can a licensee issue a bill-cum-notice and demand notice for alleged unauthorised use of electricity directly under the U.P. Government Electricity Undertaking (Recovery of Dues) Act, 1958, without following the Clause 6.8 (Section 126) procedure of inspection report, show-cause notice, hearing, and a final speaking order?

RATIO

No. Following *Ashok Kumar & Others v. State of U.P.*, Clause 6.8 requires: (a) a site inspection report disclosing the irregularity, handed to the consumer or pasted/posted if refused; (b) a show-cause notice with the provisional assessment, giving 15 working days for reply and fixing a hearing date; and (c) after personal hearing, a speaking final order within 7 working days recording whether unauthorised use is established and the assessed amount. Since no such show-cause notice was issued and no final order under Clause 6.8(c) was passed, a bill-cum-notice and demand notice issued instead under Section 5 of the 1958 Act is illegal and inconsistent with the prescribed procedure; it is set aside, without prejudice to the licensee proceeding afresh in accordance with the Clause 6.8/Ashok Kumar procedure.

ON THE FACTS The bill-cum-notice dated 26.3.2006 was issued on an allegation of theft of electricity without any show-cause notice, hearing, or final assessment order under Clause 6.8; recovery was instead sought via a demand notice under the U.P. Government Electricity Undertaking (Recovery of Dues) Act, 1958.

DISPOSITION Writ petition allowed; bill-cum-notice and demand notice set aside (liberty to proceed afresh in accordance with law)

SCJ-070 M/S Urmila Oil Industries v. U.P. Dakshinanchal Vidyut Vitran Nigam &

All HC 2019

Ors. Supply Code 2005 §6.8

ISSUE

Can a revenue assessment for theft be sustained where it rests only on an MRI-derived pattern of nil night-time load — described merely as raising a 'possibility' of direct power pilferage — without a proper Clause 6.8 show-cause notice or reasoned analysis of the consumer's explanation?

RATIO

No. The impugned notice itself stated only that the consumer's system 'has given rise to a possibility of direct theft of electricity' from the recorded nil night-time load; no specific reason was given for how the authorities concluded theft had occurred, nor was the manner of assessment disclosed, nor was the Clause 6.8 show-cause procedure followed. The consumer's explanation (that a transformer protection device disconnected supply at night as a safety measure during non-production hours) was rejected as 'unsatisfactory and illogical' without reasoned engagement. Following *Ashok Kumar v. State of U.P.*, the assessment and demand were set aside for non-compliance with Section 126 read with Clause 6.8, with liberty to the Assessing Authority to pass a fresh order in accordance with law.

ON THE FACTS MRI analysis showed nil load during night hours (roughly midnight to 7-8 a.m.) over several discrete periods spanning 2003-2004; the consumer explained this was due to a transformer protection device (TPMO) disconnecting supply at night when the mill was not in production, to avert accidents; a subsequent unrelated inspection recorded some night consumption in a later month, which the licensee treated as confirming meter-bypass theft and assessed Rs. 21,84,484 for 27 days at an average daily consumption figure.

DISPOSITION Writ petition allowed; assessment notice and demand set aside (liberty to pass a fresh order)

SCJ-144 Vinay Kumar Singh v. State of U.P. And 2 Others

Supply Code 2005

All HC 2020

ISSUE

Can a consumer resist a recovery citation for electricity-theft dues on the ground that the citation was issued in a different name, where the consumer has himself admitted, in a prior s.482 Cr.P.C. proceeding to quash the underlying theft case, that the disputed name is his own alias?

RATIO

No, the mistaken-identity objection is rejected as the petitioner had himself described himself as 'Rajee Pradhan alias Vinay Kumar Singh' in an earlier s.482 Cr.P.C. application seeking to quash the theft-case proceedings, judicially admitting the two names refer to the same person. However, since the citation had been issued and coercive measures contemplated without affording the petitioner a hearing on his objections under the Supply Code procedure, the Court, taking a lenient view, directed the petitioner to appear before the Executive Engineer with his objections and evidence, directed the Executive Engineer to pass a reasoned final order within four weeks thereafter, granted interim protection from coercive action for six weeks or until disposal of the objection (whichever is earlier), and preserved the petitioner's right to appeal any adverse final order under s.127 of the Electricity Act, 2003 — with the citation to stand automatically revived if the petitioner failed to appear.

ON THE FACTS A citation notice dated 18.7.2019 for electricity theft dues was issued against 'Rajee Pradhan son of Sri Dharmendra'; the petitioner, styling himself 'Vinay Kumar Singh,' claimed no connection with the citation, but the Electricity Department pointed to the petitioner's own admission in a prior s.482 Cr.P.C. application (Application No. 46827 of 2019, seeking to quash the theft prosecution, Special Case No. 98 of 2019) describing himself as 'Rajee Pradhan alias Vinay Kumar Singh'.

DISPOSITION Writ petition disposed of; petitioner directed to appear and file objections before the Executive Engineer, with interim protection from coercive recovery

SCJ-010 BSES Rajdhani Power Ltd. v. Delhi Electricity Regulatory

SC 2022

Commission Electricity Act 2003 §126

ratio 2 of 2

ISSUE

In enforcement (theft/unauthorised-use) cases, must energy 'deemed' consumed under the Supply Code Regulations and Section 126 be treated as 'sales' for AT&C-loss computation, even where a Lok Adalat settlement reduces only the rupee amount recovered?

RATIO

Yes. Where the statute and the DERC Supply Code Regulations create a legal fiction that assessed energy is 'deemed' consumed (e.g. under the LDHF formula), the fiction must be taken to its logical end: the assessed units must be treated as 'sales'. The DERC's method of back-calculating units from the reduced settlement amount is contrary to law; assessed energy is to be considered as supply, with the impact and carrying costs allowed.

DISPOSITION Appeals allowed in part (DERC/APTEL findings on Issues 1-6 set aside to the stated extent)

SCJ-092 Navi Hasan v. U.P. Power Corporation & Another

Electricity Act 2003 §126

All HC 2022

ISSUE

Can a demand order stand where it is a pre-printed proforma order issued in conscious disregard of the writ court's prior directions requiring disclosure of adverse material, an opportunity for objections, a hearing, and a reasoned speaking order?

RATIO

No — the impugned order dated 21.3.2022 was found to be a pre-printed order (only name, checking-report number, notice number, and the demanded amount of Rs. 5,19,525/- filled in by hand), issued in conscious disregard of this Court's earlier order dated 22.10.2021 (Writ-C No. 26241 of 2021) requiring disclosure of adverse material, an opportunity for objections, a hearing, and a reasoned order. This violated the audi alteram partem principle and the order was quashed, with a direction to confront the petitioner with adverse material afresh, permit objections, and pass a reasoned assessment order after a hearing, all within a defined timeline. Costs of Rs. 1,00,000/- were imposed on the respondent officer given the deliberate defiance of the court's earlier directions, compounded by an unexplained mid-litigation withdrawal/recall of the impugned order without disclosing the statutory power under the Electricity Act or Supply Code to do so.

ON THE FACTS The petitioner had earlier obtained a conditional order (22.10.2021) requiring disclosure of adverse material before any demand; the officer nonetheless passed a pre-printed demand order (21.3.2022) disregarding it, then withdrew it mid-litigation (13.7.2022) without explaining the statutory basis for the withdrawal, prompting the Court to require personal affidavits.

DISPOSITION Writ petition allowed with costs of Rs. 1,00,000/-; impugned demand order quashed, fresh assessment directed

SCJ-147 Kerala State Electricity Board & Ors. v. Thomas Joseph Alias Thomas M.J. & Ors. (with connected appeals)

Electricity Act 2003 §126

ratio 1 of 2

SC 2022

(2022) 8 SCC 723

ISSUE

Does consumption of electricity in excess of the sanctioned/connected load, within the same premises and for the same purpose (not involving any change in tariff category, already metered and paid, and not by artificial means or a tampered meter), amount to 'unauthorised use of electricity' under Explanation (b)(iv) to Section 126 exposing the consumer to assessment at twice the full tariff (fixed plus energy charges), or does it fall within a narrower category assessable only at twice the fixed charges, as the Kerala High Court held in para 31(vi) of its impugned judgment (following its own precedent in Classic Color Lab v. Assistant Engineer, KSEB and distinguishing Sk. Jafar Ali v. West Bengal SEDCL)?

RATIO

The overdrawal constitutes 'unauthorised use of electricity' in every such case and must be assessed at twice the FULL tariff under s.126(6); the Kerala High Court's para 31(vi) exception is unsustainable and set aside. Following Seetaram Rice Mill's holding that ss.126-127 together form a 'complete code' whose purpose is to restrict unauthorised consumption and that the Explanation's use of the word 'means' (rather than 'means and includes' or 'does not include') signals the legislature's intent NOT to exhaustively limit the provision's scope, the Court held Explanation (b)(iv) squarely covers excess-load consumption irrespective of whether it also changes the tariff category — a contention to the contrary was expressly rejected in Seetaram Rice Mill's own para 72, which this Court quoted and applied. The decisive point overlooked by the Kerala High Court is that overdrawal is 'prejudicial to the public at large' independent of any revenue effect: it threatens to 'throw out of gear the entire supply system, undermining its efficiency, efficacy and even increasing voltage fluctuations' — a systemic infrastructural concern entirely distinct from whether the individual consumer's bill changes. Since s.45(3)(a) defines 'tariff' to include both a fixed charge and the charge for actual electricity supplied, and s.126(6) requires assessment 'at a rate equal to twice the tariff applicable,' this necessarily includes both fixed and energy charges in every case of unauthorised use — there is no room in the statutory text for a category of case where only fixed charges (and not energy charges) are chargeable. The Court noted staggering real-world stakes: unauthorised-use assessments in Kerala totalled nearly Rs. 60 crore over three years (2014-17), underscoring why a judicially-engrafted revenue-neutral exception was inappropriate.

ON THE FACTS All respondents were commercial/industrial LT consumers found, on inspection, to be drawing electricity in excess of their connected/contracted load; the Kerala High Court (Division Bench, on a reference from a Single Judge given the volume of similar litigation) had held such 'mere overdrawal' cases — distinct from cases of artificial means, unauthorised means, tampered meters, or premises/area violations under Explanation (b)(i), (ii), (iii), (v) — could only be assessed at twice the fixed charges, relying on Regulation 153(15) of the Kerala Electricity Supply Code, 2014.

DISPOSITION Civil appeals allowed; Kerala High Court's declaration in para 31(vi) set aside; Regulation 153(15) of the Kerala Electricity Supply Code, 2014 declared invalid as ultra vires Section 126 of the Electricity Act, 2003

SCJ-087 Mrs Rajendra Kumar Sharma v. State of U.P. & 3 Others

Supply Code 2005 §6.8

All HC 2024

2024:AHC:93673-DB

ISSUE

Can a final assessment order under s.126 (and the recovery citation issued in pursuance of it) stand where it fails to deal with the consumer's objections, fix a hearing date, or record findings on the alleged theft, in breach of Clauses 6.8/8.1 of the Supply Code?

RATIO

No — the licensee's own two-member inquiry committee found that Clauses 6.8 and 8.1 of the Supply Code had not been followed by the assessing Executive Engineer; the recovery citation founded on the impugned final assessment was directed to be cancelled, a fresh notice with objections and a hearing was issued, disciplinary show-cause proceedings were initiated against the officer, and a fresh final assessment order was to be passed within ten days. Pending that fresh assessment, the Court directed restoration of electricity supply on the petitioner depositing Rs. 25,00,000/- as security, subject to the outcome of the fresh assessment.

ON THE FACTS The petitioner's electricity supply was disconnected pursuant to a final assessment order dated 24.6.2023 (theft-based) and a recovery citation dated 28.10.2023; on the Court's repeated queries about procedural compliance, the licensee's Managing Director's affidavit (via a two-member inquiry committee) admitted the Clause 6.8/8.1 breaches.

DISPOSITION Writ petition disposed of; electricity supply to be restored on deposit of Rs. 25,00,000/- pending fresh final assessment

SCJ-084 Mohd Usman Ansari v. Chairman, Uttar Pradesh Power Corporation Ltd. & 4

All HC 2025

Others Supply Code 2005 §6.8

2025:AHC:131084-DB

ISSUE

Can a recovery certificate under s.9 of the 1958 Dues Recovery Act be enforced where it is founded on an ex-parte provisional assessment under s.126, made without following the Supply Code's assessment/hearing procedure?

RATIO

The Court directed that an opportunity of hearing be granted to the petitioner, with a final assessment to be carried out by the authorities within 12 weeks; until the final assessment order is passed, no coercive recovery measures may be taken against the petitioner.

ON THE FACTS Recovery Certificate dated 17.1.2025 for Rs. 6,38,679/- plus collection charges was issued under s.9 of the 1958 Act pursuant to a demand notice dated 30.7.2020 based on an ex-parte provisional assessment under s.126(1)/(2) of the Electricity Act, 2003, without formal adjudication under the Supply Code.

DISPOSITION Writ petition disposed of; opportunity of hearing directed, final assessment within 12 weeks, no coercive recovery meanwhile

J. Theft (s.135) & Chapter VIII of the Code

40 RATIOS · 35 JUDGMENTS

SCJ-095 Om Prakash s/o Gauri Shankar v. Dakshinanchal Vidyut Vitran Nigam Ltd. &

All HC 2006

Ors. Electricity Act 2003 §152 ratio 1 of 2

2006 (4) AWC 3445

ISSUE

Does compounding a theft offence under s.152(3) (by payment of a compounding fee) bar a subsequent recovery notice for outstanding electricity-consumption dues?

RATIO

No — the compounding fee is a penalty for the criminal offence of theft and does not exonerate the consumer from the separate civil liability to pay for electricity actually consumed; a recovery notice for such dues is not barred by compounding. Any grievance as to the quantum of such dues must be raised before the authority under the U.P. Electricity Supply Code, 2005, not by way of writ petition.

ON THE FACTS The petitioner was caught committing theft of electricity in a surprise check (15.2.2006); the offence was compounded under s.152(3) on payment of Rs. 50,000/-; a separate recovery notice for Rs. 2,54,686/- towards outstanding electricity-consumption dues followed, which the petitioner sought to quash.

DISPOSITION Writ petition dismissed as withdrawn; prayer for interim protection during the interregnum rejected

SCJ-208 Om Prakash v. Dakshinanchal Vidyut Vitran Nigam Ltd. & Others

Electricity Act 2003 §154

All HC 2006

2006 SCC OnLine All 2304

ISSUE

Does depositing the compounding fee end the matter, or does civil liability survive to be adjudicated elsewhere?

RATIO

Depositing the compounding fee means the consumer is deemed acquitted of the theft offence under s.154, but it does not extinguish the civil liability, which is to be determined and adjudicated by the Special Court (constituted under s.153, empowered under s.154 to deal with both criminal and civil liability). The consumer having an adequate alternative remedy, the writ was dismissed in limine.

ON THE FACTS Surprise checking on 15.2.2006 suspecting theft; consumer deposited Rs. 50,000 as compounding; an earlier writ had been withdrawn to pursue the statutory remedy.

DISPOSITION Writ petition dismissed in limine on the ground of alternative remedy

SCJ-239 Tehsildar v. State of U.P. and others

Supply Code 2005 §8.1

All HC 2009

2009 SCC OnLine All 1931 : (2009) 83 AIC 493 : (2010) 1 All LJ (NOC 84) 22

ISSUE

Can a theft recovery be enforced on the provisional assessment alone where the consumer filed no objection, without a final assessment being made?

RATIO

No. Clause 8.1(b) requires a final assessment to be made before recovery, even if no objection to the provisional assessment has been filed; the authorised officer must record findings that the provisional assessment was served and make the final assessment (at 1.5 times the applicable normal tariff, whichever is higher, per Clause 8.1(b)(iv)). Insisting on recovery without any final assessment violates the Code's procedure. The recovery under the notice was directed to remain in abeyance until a final assessment is made against the petitioner.

ON THE FACTS FIR under s.135 on a checking report (7.5 HP motor connected by three-core cable); provisional assessment served, opportunity given, but final assessment admittedly not made before the recovery notice.

DISPOSITION Writ petition allowed; theft recovery held in abeyance until a final assessment is made

SCJ-247 M/s. Citi Hotel v. Commissioner, Lucknow Division, Lucknow & Ors.

Supply Code 2005 §8.2

All HC 2009

2009 SCC OnLine All 346 : AIR 2009 All 137 : (2009) 4 All LJ 741

ISSUE

What is the effect of a criminal acquittal (after full trial) on a theft-based assessment, and can an appellate authority ignore it?

RATIO

Under Clause 8.2(x)(g)-(h), the final theft assessment is subject to adjudication by the court, and where the court holds theft not established, the charges and assessment must be withdrawn in writing and the connection restored through the original meter. The appellate authority acted perversely and irrationally in dismissing the appeal without considering the acquittal (which had attained finality) or recording reasons for disagreeing with it, and in ignoring Clause 8.2. As the charge was only theft (not dishonest consumption), no wrongful loss was shown, there were no pre-raid dues, and the SDO's report placed the load within the permissible +/-10%, no civil liability survived either. The appellate order and the theft assessment were quashed and the deposits ordered refunded.

ON THE FACTS Full criminal trial ending in acquittal (prosecution failed to prove theft; seized cable not found on opening the case property); sanctioned load 40 KW, alleged 88.75 KW; SDO report showed load within +/-10%; no dues before the raid; consumer paid bills after restoration.

DISPOSITION Writ petition allowed; the appellate order (18.3.2008) and the theft-assessment order (17.9.2002) quashed; the amounts deposited (Rs. 11,58,109) to be refunded (subject to adjustment of any legal dues), with interest on default

SCJ-227 Vijay Pal Singh & Another v. Dakshinanchal Vidyut Vitran Nigam Ltd. and

All HC 2010

Others Supply Code 2005 §8.2

2010 SCC OnLine All 4452

ISSUE

Can the Code prescribe a theft assessment at three times the applicable tariff when Section 126(6) of the Electricity Act, 2003 provides for assessment at one-and-a-half times?

RATIO

No. Section 126(6) caps the assessment at 1.5 times the applicable tariff; by virtue of Section 174 the Act overrides, and the Code, being subordinate legislation framed under the Act, cannot travel beyond it. The three-times rate in Clause 8.2(iv) r/w Annexure 6.3(c) was ultra vires and contrary to Section 126(6). The theft assessment (5.7.2005) was quashed with a direction that the petitioner pay only 1.5 times the tariff applicable on the date of checking (4.5.2005).

ON THE FACTS Checking on 4.5.2005 (pre-amendment Code); theft detected (meter bypassed by cable); assessment demanded at three times under the then-existing Clause 8.2(iv); Code's own Clause 6.8(c)(iv)(a) already stated the 1.5-times rate.

DISPOSITION Writ petition allowed; theft assessment order dated 5.7.2005 quashed on condition that the petitioner pays 1.5 times (not three times) the applicable tariff

SCJ-228 Vijay Pal Singh v. Dakshinanchal Vidyut Vitran Nigam Ltd. and

All HC 2010

Others Supply Code 2005 §8.2

2010 SCC OnLine All 3985

ISSUE

Can the Code prescribe a theft assessment at three times the applicable tariff when Section 126(6) of the Electricity Act, 2003 provides for assessment at one-and-a-half times?

RATIO

No. Following the identical reasoning in the twin petition (Writ-C 60987 of 2005), the three-times rate in Clause 8.2(iv) r/w Annexure 6.3(c) was ultra vires Section 126(6), which caps the assessment at 1.5 times; the Act overrides by Section 174 and the Code cannot travel beyond it. The assessment (4.7.2005) was quashed with a direction that the petitioner pay only 1.5 times the tariff applicable on the date of checking (4.5.2005).

ON THE FACTS Checking on 4.5.2005 (pre-amendment Code); theft detected (meter bypassed by cable); assessment at three times demanded; Clause 6.8(c)(iv)(a) of the Code itself stated the 1.5-times rate.

DISPOSITION Writ petition allowed; theft assessment order dated 4.7.2005 quashed on condition that the petitioner pays 1.5 times (not three times) the applicable tariff

SCJ-003 Abhinav Seva Sansthan Mahavidyalaya v. U.P. Power Corporation Nigam Ltd. &

All HC 2011

Ors. Electricity Act 2003 §152 ratio 2 of 2

ISSUE

Compounding of electricity theft — whether a pending prosecution is required

RATIO

Section 152(2) and (3) operate at different stages: under s.152(2), where no criminal proceeding has yet been instituted, payment of the compounding sum sets the person at liberty and bars institution of proceedings; s.152(3) (acceptance deemed an acquittal) applies only where a prosecution is already pending. Compounding therefore does not require a pending prosecution.

DISPOSITION Writ petition dismissed (liberty to appeal the final assessment)

SCJ-022 Dr. Munni Lal v. State of U.P. & Others Supply Code 2005 §8.1(b)(iii)

ratio 1 of 2

All HC 2011

ISSUE

Was the provisional theft assessment valid where the show-cause notice gave only seven days and fixed no hearing?

RATIO

No. Clause 8.1(b)(iii) requires a show-cause notice giving 15 working days to object and fixing a hearing date before a final assessment; a seven-day notice with no hearing date does not comply. No final order of assessment was passed, so the recovery demand was premature.

ON THE FACTS The checking report was unsigned by the consumer; the show-cause notice gave only seven days and no hearing date; a recovery demand was enclosed before any final assessment.

DISPOSITION Writ petition allowed (demand notice quashed; objections to be filed and decided)

SCJ-055 M/S Hind Industries Limited v. State of U.P. & Ors.

Supply Code 2002 §8.1

ratio 2 of 3

All HC 2011

ISSUE

Interest on a delayed/evaded assessment is a necessary corollary of retention, neither penal nor confiscatory

RATIO

Payment of interest on money retained for years (here at the Clause 8.1 rate of 16% compoundable every six months) is a necessary corollary of retention and is neither penal nor confiscatory (following Wig Brothers). The question of whether the 2003 Act (rather than pre-2003 dues) governed the applicable rate, and the exact rate, was left to the competent authority, but the Court directed that in the facts of the case interest could not be less than the bank rate applicable for the relevant period.

DISPOSITION Writ petition dismissed with directions (interest at not less than bank rate; departmental inquiry directed)

SCJ-060 M/S Mohit Paper Mills Ltd. & Anr. v. PVVNL & Ors.

Supply Code 2005 §8.1

ratio 1 of 2

All HC 2011

ISSUE

Can a theft-of-electricity assessment be sustained where the consumer's billing meter showed a late spike in consumption (before it was destroyed by fire) compared to three independent check-meters installed by the licensee outside the premises, but those check-meters were never tested and showed no discrepancy for almost the entire assessment period?

RATIO

No. Under para 8.1(b)(iv) of the Code, a case of theft must be established, not presumed. Since the three outside meters (maintained under the licensee's own seal/custody) recorded consumption comparable to the billing meter for nearly the whole assessment period, were never independently tested, and no report of tampering with them was ever lodged, there was no material basis to infer theft at the consumer's premises merely from a late-period divergence (occurring only around the time the billing meter was destroyed by fire); an unsupported suggestion at the hearing that all four meters had been remotely tampered could not be explained by the licensee's own technical officer and did not constitute evidence. The assessment and confirming appellate order (itself unreasoned/non-speaking, contrary to para 8.1) were quashed.

ON THE FACTS Four meters recorded electricity for the petitioner's paper mill on an independent HT feeder: two meters in series at the sub-station (SS Meter 'A'/'B'), a double-pole check meter near the premises (DP Meter 'C'), and the consumer's own billing meter ('D'). After the consumer reported tripping/a burning smell and the metering cubicle later caught fire (27.6.2007, destroying the billing meter), the licensee's inspection team alleged the consumer had deliberately set the fire and, after analysing MRI data, assessed Rs. 86,46,221 (later Rs. 93,52,597 per revised notice) for unauthorised use over 24.4.2007-27.6.2007; the appellate authority upheld the assessment in a summary order.

DISPOSITION Writ petition allowed; assessment and appellate orders quashed; refund with 8% interest and Rs. 25,000 costs

SCJ-102 Pawan Kumar Laur v. State of U.P. & Others

Electricity Act 2003 §135

All HC 2011

ISSUE

Is an Assistant Engineer of a distribution licensee competent to lodge an FIR under s.135 for theft of electricity, and can the FIR be quashed as malafide where it followed shortly after the petitioner's spouse obtained a notice-stage order in a related writ petition?

RATIO

Yes, the officer is competent under s.135(2), which empowers an authorised officer of the licensee to enter, inspect, search and seize in relation to unauthorised use of electricity, supporting the officer's authority to also lodge an FIR under s.135(1). No malafide was made out merely from the FIR's timing relative to the related writ petition (which had only resulted in notice being issued, not a stay of recovery); the FIR disclosed a prima facie cognizable offence (theft found on inspection, and substantial dues outstanding), and following the settled Bhajan Lal/Satya Pal/Ajit Singh line, courts do not interfere with investigation or quash an FIR absent ex-facie absence of a cognizable offence or a statutory bar on investigation.

ON THE FACTS FIR (Case Crime No. 209 of 2011, s.135 EA2003) was lodged by the Assistant Engineer, Noida Power Company Ltd. against the petitioner for theft of electricity at his industrial unit, alleging dues of Rs. 16,21,891/- outstanding as of 14.2.2011 and theft detected on inspection; the petitioner alleged malafide timing linked to a separate writ petition filed by his wife/co-owner, and alleged non-compliance with Supply Code inspection procedure.

DISPOSITION Writ petition dismissed; FIR not quashed

SCJ-121 Shri Kunwar Sarvesh Kumar Singh v. Paschimanchal Vidyut Vitran Nigam Ltd. &

All HC 2011

Ors. Electricity Act 2003 §2(15) ratio 1 of 3

ISSUE

Can the owner of premises where theft of electricity is detected be held liable for assessment merely by virtue of ownership, where he claims (but does not substantiate) that the premises was let out to someone else?

RATIO

Yes. Section 135's widest-possible scope (using 'whoever', 'person', 'consumer', 'occupant' interchangeably) shows the legislature did not confine its mischief by any hyper-technical plea as to individual status. The s.2(15) 'consumer' definition's second limb covers any person whose premises are for the time being connected with the works (electric line, transformer, apparatus) of a licensee 'for the purpose of receiving electricity', without requiring a contractual/supply relationship — this is broad enough to include an owner. A bare, unsubstantiated claim of having let out the premises (disbelieved by both the Assessing Officer and Appellate Authority, and not substantiated before the High Court either) does not exempt the owner from assessment liability, though it may bear on the separate criminal-law mens rea requirement under s.135. On the facts, the petitioner did not dispute ownership and did not challenge the theft allegation or quantum in his objections — only bare non-occupancy was pleaded and disbelieved.

DISPOSITION Writ petition partly allowed; assessment upheld, appeal remanded to Commissioner solely to consider effect of subsequent criminal acquittal under Clause 8.2(X)(g)/(h)

SCJ-121 Shri Kunwar Sarvesh Kumar Singh v. Paschimanchal Vidyut Vitran Nigam Ltd. &

All HC 2011

Ors. Supply Code 2005 §8.1 ratio 2 of 3

ISSUE

Which Supply Code procedure — Clause 6.8 (general unauthorised use) or Clauses 8.1/8.2 (theft-specific) — governs assessment where theft of electricity under s.135 is alleged, and did the assessing officer follow the correct procedure and tariff multiplier?

RATIO

Following Mohit Paper Mills (applying the specific-prevails-over-general canon), Clauses 8.1/8.2 govern theft-based assessment, not Clause 6.8. On the facts, the assessing officer's provisional-assessment notice (25.5.2007) gave only one week (not the mandated 15 working days), lacked specificity as to which s.135(1) clause was invoked, and calculated the provisional assessment at thrice (not 1.5 times) the applicable tariff — all procedural lapses reflecting negligence or lack of legal clarity by the (technically-trained, non-legal) assessing officer, for which the licensee bears responsibility to provide adequate training. However, since the petitioner's only reply (31.5.2007) addressed occupancy, not the theft allegation or quantum, and the assessing officer's own subsequent (albeit procedurally chaotic) self-correction reduced the assessment to the correct 1.5x multiplier (Rs. 21,17,016, down from Rs. 42,78,355), and given the clearly-established theft on the inspection record (a 160 KVA transformer improperly connected via temporary L.T. line to run an ice factory with no sanctioned connection), the Court declined to interfere with the corrected final assessment despite the demonstrated procedural laxity — noting the Court, exercising equity under Article 226, would not assist a demonstrably blameworthy party on technicalities causing loss to public revenue.

ON THE FACTS A raid (14.5.2007) at premises owned by the petitioner (running 'Kanchi Ice Factory') detected a direct L.T. connection bypassing any sanctioned meter, drawing power from a 160 KVA transformer; provisional assessment (Rs. 42,78,355, at 3x tariff) was issued 25.5.2007; the petitioner's reply addressed only alleged non-occupancy; the assessing officer's conduct included an inexplicably backdated/ante-dated 'final assessment' order (dated 23.5.2007, i.e. before the provisional assessment and the petitioner's reply) which the Court found deeply troubling but not, on the facts, fatal to the ultimately-corrected assessment.

DISPOSITION Writ petition partly allowed; assessment upheld, appeal remanded to Commissioner solely to consider effect of subsequent criminal acquittal under Clause 8.2(X)(g)/(h)

SCJ-121 Shri Kunwar Sarvesh Kumar Singh v. Paschimanchal Vidyut Vitran Nigam Ltd. &

All HC 2011

Ors. **Supply Code 2005 §8.2** **ratio 3 of 3**

ISSUE

What is the effect of the petitioner's subsequent criminal acquittal (in the s.135 trial) on the already-decided s.127 appeal upholding the theft-based assessment, given Clause 8.2(X)(g)/(h)'s mandate that a court finding of 'theft not established' requires withdrawal of the assessment?

RATIO

Since the appellate order (1.4.2010) predated the trial court's acquittal judgment (23.1.2011, disclosed only in the petitioner's rejoinder), the Commissioner had no occasion to consider Clause 8.2(X)(g)/(h). The appellate order is modified/partly set aside to the extent that the petitioner's appeal shall be treated as pending before the Commissioner, who must independently and objectively examine the acquittal judgment in light of Clause 8.2(X)(g)/(h) and pass a fresh appropriate order, unaffected by the High Court's observations on issues (a)-(c) above (which concerned assessment on the civil/administrative record, not the separate criminal mens rea question).

ON THE FACTS The petitioner was tried and acquitted (23.1.2011) under s.135 in S.S.T. No. 69 of 2008 by the Special Judge, E.C. Act, Moradabad — a fact disclosed to the Court only via rejoinder affidavit after the appellate order (1.4.2010) had already been passed.

DISPOSITION Writ petition partly allowed; assessment upheld, appeal remanded to Commissioner solely to consider effect of subsequent criminal acquittal under Clause 8.2(X)(g)/(h)

SCJ-177 Mohammad Idrish v. State of U.P. & Others**Supply Code 2005 §8.1(b)(iii)**

All HC 2011

2011 SCC OnLine All 722

ISSUE

What follows where the licensee cannot show how the provisional assessment was served on the consumer?

RATIO

The Court presumes the provisional assessment was never received, so the consumer was deprived of the opportunity of hearing under s.126(3) read with Clause 8.1(b)(iii). The consumer is to be given an opportunity to file objections, which the Executive Engineer must decide by a speaking order after a reasonable opportunity of hearing; recovery stays meanwhile and abides that decision.

ON THE FACTS Theft allegedly detected on 17.2.2010; the department could give no instructions on the mode of service of the provisional assessment; a copy was handed over to the consumer's counsel only in Court.

DISPOSITION Writ petition disposed of with directions; recovery stayed pending decision on objections

SCJ-243 Subhashis Chatterjee v. U.P. Power Corporation Limited, Lucknow through Chairman and others**Supply Code 2005 §8.1**

All HC 2011

2011 SCC OnLine All 611 : (2011) 89 ALR 888 : (2011) 6 All LJ 527

ISSUE

Can a domestic connection be disconnected under Code Clause 8.1 where the licensee has itself treated the matter as unauthorised use of electricity (s.126) rather than theft (s.135)?

RATIO

No. Code 8.1(iv),(vii),(viii) permits disconnection only in cases of 'theft' under s.135, not in cases of 'unauthorised use of electricity' assessed under s.126. Once the licensee treated the case as UUE (issuing a s.126 provisional assessment), the disconnection provisions were not attracted, and neither the Act nor the Code confers power to disconnect a domestic connection for UUE. The remedy for the detected gadget was search and seizure under Clauses 4.33-4.34 (in the person's presence with a signed list), not disconnection. Restoration was ordered, with liberty to file objections to the provisional assessment.

ON THE FACTS Domestic 3 KW connection (1995) disconnected on inspection (18.3.2011) alleging commercial use for a cable network (700 KW); provisional assessment (28.3.2011) issued under s.126; licensee's counter-affidavit itself treated it as UUE, not theft; no seizure list prepared.

DISPOSITION Writ petition disposed of directing restoration of the domestic connection (with liberty to seize the offending gadget) and permitting the consumer to file objections to the provisional assessment

SCJ-051 M/S Beeco Electrical India & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. &

All HC 2012

Ors. Electricity Act 2003 §135 ratio 2 of 3

2012 AIR CC 3143 (All); (2012) 6 ADJ 622

ISSUE

Mens rea not required for a Section 126 civil assessment

RATIO

The question of mens rea does not arise for a Section 126 assessment on an allegation of theft, since that assessment does not require criminal intention; mens rea is required only for prosecution under Section 135. (Agreeing with Mohit Paper Mills Ltd. v. PVVNL, distinguishing Ram Chandra Prasad Sharma v. State of Bihar, which concerned criminal prosecution under the 1910 Act.)

DISPOSITION Writ petition dismissed (assessment upheld on merits despite the availability of the s.127 alternative remedy)

SCJ-014 Chunni Lal Gupta v. State of U.P. & 2 Others

Supply Code 2005 §8.1(b)(iii)

All HC 2014

ISSUE

Can a final theft assessment ('revised bill') be raised on the same day as the raid, without the 15-day provisional-bill notice and hearing required by Clause 8.1(b)(iii)?

RATIO

No. Clause 8.1(b)(iii) requires service of a provisional assessment bill with 15 days to reply and a hearing before final assessment. A 'revised bill' issued on the day of the raid, without that procedure, cannot be a final assessment; it is at best provisional, the consumer may file objections to be decided per the Code, and may appeal under Section 127 thereafter.

ON THE FACTS A raid and FIR for theft occurred on 06.08.2013, and the 'revised bill' bore the same date (06.08.2013).

DISPOSITION Writ petition disposed of (impugned bill treated as provisional; objection to be decided; s.127 appeal thereafter)

SCJ-154 Arup Kumar Mitra v. State of U.P. & Others

Supply Code 2005 §8.1

ratio 1 of 2

All HC 2014

2014 SCC OnLine All 18761

ISSUE

After a Code-2005 theft assessment is set aside and remanded, may the assessing authority simply 'reaffirm' the quashed order, or must it pass a fresh reasoned order on the consumer's objection?

RATIO

The set-aside assessment (18.9.2013) became non est and ceased to exist in law. The assessing authority was bound to pass a fresh, reasoned, speaking order after considering the consumer's objection dated 3.10.2013. The order of 5.5.2014, which merely reaffirmed the quashed assessment without dealing with the 19-page objection, is non-speaking, founded on a non est order and cannot sustain; it is set aside.

ON THE FACTS Vigilance found a magnetic relay device tampering the meter (s.135 theft); the final assessment of 18.9.2013 had itself been passed before the revised provisional notice of 29.6.2013 was even transmitted/served, and had already been quashed once (13.11.2013) with recovery separately quashed (2.4.2014).

DISPOSITION Writ petition allowed; reaffirming order set aside; exemplary personal cost imposed on the assessing officer

SCJ-154 Arup Kumar Mitra v. State of U.P. & Others

Electricity Act 2003 §152

ratio 2 of 2

All HC 2014

2014 SCC OnLine All 18761

ISSUE

Compounding cheque dishonoured — assessment at double the rate

RATIO

Where the consumer tendered a cheque (Rs. 40,000) towards compounding under s.152 but stopped payment so that it was dishonoured, the assessing authority proceeded to assess at double the rate (Rs. 3,17,333). Recorded as the factual/procedural setting; the assessment was nonetheless quashed for the natural-justice and non est defects above.

DISPOSITION Writ petition allowed; reaffirming order set aside; exemplary personal cost imposed on the assessing officer

SCJ-180 Jalaluddin v. State of U.P. & 3 Others

Electricity Act 2003 §135

All HC 2014

2014 SCC OnLine All 11162

ISSUE

Should an FIR under s.135 be quashed, and what safeguards attend arrest for such an offence?

RATIO

The FIR disclosing a cognizable s.135 offence is not quashed. But the offence not entailing a sentence over seven years, arrest cannot be mechanical: the police must comply with s.41(1)(b) read with s.41-A Cr.P.C. if they propose to arrest, and a violation may be raised before the Magistrate. If the offence is compoundable, the accused may seek his remedy under the compounding provisions of the Supply Code, 2005.

DISPOSITION Writ petition disposed of; FIR not quashed; arrest to comply with s.41(1)(b)/41-A Cr.P.C.

SCJ-183 Santosh Pathak v. State of U.P. & 3 Others

Electricity Act 2003 §135

All HC 2014

2014 SCC OnLine All 10951

ISSUE

Should an FIR under s.135 be quashed, and what safeguards attend arrest for such an offence?

RATIO

The FIR disclosing a cognizable s.135 offence is not quashed. But the offence not entailing a sentence over seven years, arrest cannot be mechanical: the police must comply with s.41(1)(b) read with s.41-A Cr.P.C. if they propose to arrest, and a violation may be raised before the Magistrate. If the offence is compoundable, the accused may seek his remedy under the compounding provisions of the Supply Code, 2005.

DISPOSITION Writ petition disposed of; FIR not quashed; arrest to comply with s.41(1)(b)/41-A Cr.P.C.

SCJ-184 A.K. Dixit @ Avdhesh Kumar Dixit v. State of U.P. & 4 Others

Electricity Act 2003 §135

All HC 2014

2014 SCC OnLine All 10372

ISSUE

Should an FIR under s.135 be quashed, and what safeguards attend arrest for such an offence?

RATIO

The FIR disclosing a cognizable s.135 offence is not quashed. But the offence not entailing a sentence over seven years, arrest cannot be mechanical: the police must comply with s.41(1)(b) read with s.41-A Cr.P.C. if they propose to arrest, and a violation may be raised before the Magistrate. If the offence is compoundable, the accused may seek his remedy under the compounding provisions of the Supply Code, 2005.

ON THE FACTS FIR dated 19.07.2014, Case Crime No. 173 of 2014, u/s 135 Electricity Act, P.S. Rakabganj, Agra (Torrent Power)

DISPOSITION Writ petition disposed of; FIR not quashed; arrest to comply with s.41(1)(b)/41-A Cr.P.C.

SCJ-185 Kanchan Singh v. State of U.P. & 3 Others

Electricity Act 2003 §135

All HC 2014

2014 SCC OnLine All 11170

ISSUE

Should an FIR under s.135 be quashed, and what safeguards attend arrest for such an offence?

RATIO

The FIR disclosing a cognizable s.135 offence is not quashed. But the offence not entailing a sentence over seven years, arrest cannot be mechanical: the police must comply with s.41(1)(b) read with s.41-A Cr.P.C. if they propose to arrest, and a violation may be raised before the Magistrate. If the offence is compoundable, the accused may seek his remedy under the compounding provisions of the Supply Code, 2005.

ON THE FACTS FIR Case Crime No. 287 of 2013, u/s 135 Electricity Act, P.S. Kheragarh, Agra

DISPOSITION Writ petition disposed of; FIR not quashed; arrest to comply with s.41(1)(b)/41-A Cr.P.C.

SCJ-186 Santosh Pathak v. State of U.P. & 3 Others

Electricity Act 2003 §135

All HC 2014

2014 SCC OnLine All 11161

ISSUE

Should an FIR under s.135 be quashed, and what safeguards attend arrest for such an offence?

RATIO

The FIR disclosing a cognizable s.135 offence is not quashed. But the offence not entailing a sentence over seven years, arrest cannot be mechanical: the police must comply with s.41(1)(b) read with s.41-A Cr.P.C. if they propose to arrest, and a violation may be raised before the Magistrate. If the offence is compoundable, the accused may seek his remedy under the compounding provisions of the Supply Code, 2005.

ON THE FACTS FIR dated 28.05.2014, Case Crime No. 186 of 2014, u/s 135 Electricity Act, P.S. Nauhjhil, Mathura

DISPOSITION Writ petition disposed of; FIR not quashed; arrest to comply with s.41(1)(b)/41-A Cr.P.C.

SCJ-206 Smt. Urmila Devi v. Dakshinanchal Vidyut Vitran Nigam Ltd. & 3 Others

Supply Code 2005 §8.2

All HC 2014

2014 SCC OnLine All 4417

ISSUE

(Interim) Does a police final report (accepted by the court) exonerating the consumer of theft entitle her to have the theft assessment set aside under Clause 8.2(x)(h)?

RATIO

The Court held the matter requires consideration and, as interim relief, stayed recovery under the citation dated 30.1.2014 pending affidavits. No final view was expressed on whether the accepted final report entitles the consumer to relief under Clause 8.2(x)(h).

DISPOSITION Interim order — recovery stayed pending consideration of the Clause 8.2(x)(h) claim

SCJ-004 Ajmal v. State of U.P. & 2 Ors.

Supply Code 2005

All HC 2015

ISSUE

Theft (s.135) compounded through the Supply Code — theft/UUE-Code linkage

RATIO

The offence of electricity theft under Section 135 being compoundable, the accused's compounding remedy lies 'as provided under the provisions of the Electricity Supply Code, 2005' — the Code furnishing the machinery through which theft (Section 135) and, cognately, unauthorised use of electricity (Section 126) are assessed and compounded. Pending compounding, as the offence does not entail imprisonment beyond seven years, any arrest must comply with Section 41(1)(b) read with Section 41-A Cr.P.C.; the FIR, disclosing a cognizable offence, was not quashed.

DISPOSITION Writ petition disposed of (FIR not quashed; arrest to follow s.41 CrPC safeguards)

SCJ-081 Mobin Ahamad v. State of U.P. & 2 Ors.

Electricity Act 2003 §135

All HC 2015

ISSUE

Should an FIR under s.135 of the Electricity Act, 2003 be quashed on the ground that the offence carries a sentence of less than 7 years and is compoundable?

RATIO

No — the FIR discloses a cognizable offence and will not be quashed merely because the alleged offence attracts less than 7 years' imprisonment or is compoundable. However, since the sentence would not exceed 7 years, any arrest must comply with the safeguards under Section 41(1)(b) read with Section 41-A of the Cr.P.C.; if the offence is compoundable, the accused may seek his remedy under the provisions of the Electricity Supply Code, 2005 and Section 152 of the Electricity Act, 2003.

ON THE FACTS FIR registered as Case Crime No. 33 of 2014 under s.135 of the Electricity Act, 2003 at P.S. Mughalsarai, District Chandauli; petitioner sought quashing on the apprehension of mechanical arrest.

DISPOSITION Writ petition disposed of; prayer to quash FIR refused, but arrest (if any) directed to comply with s.41(1)(b)/41-A Cr.P.C. safeguards, with compounding remedy left open under the Supply Code/s.152

SCJ-082 Mohamad Aslam v. State of U.P. & 2 Ors.

Electricity Act 2003 §135

All HC 2015

ISSUE

Companion ruling to SCJ-081 (Mobin Ahamad) — identical holding on a parallel FIR from the same investigation

RATIO

As in SCJ-081: the FIR discloses a cognizable offence and is not quashed; any arrest must comply with Cr.P.C. s.41(1)(b)/41-A since the offence would not entail more than 7 years' imprisonment; a compoundable offence's remedy lies under the Supply Code, 2005 and s.152 of the Act.

ON THE FACTS FIR registered as Case Crime No. 34 of 2014 under s.135 of the Electricity Act, 2003 at P.S. Mughalsarai, District Chandauli — a companion FIR to the one in SCJ-081, arising from the same investigation, same date, same Bench.

DISPOSITION Writ petition disposed of; prayer to quash FIR refused, but arrest (if any) directed to comply with s.41(1)(b)/41-A Cr.P.C. safeguards, with compounding remedy left open under the Supply Code/s.152

SCJ-179 Paschimanchal Vidyut Vitaran Nigam Ltd. & Anr. v. Commissioner, Moradabad Region &

All HC 2015

Anr.

Supply Code 2005 §8.2

ratio 1 of 2

2015 SCC OnLine All 3916

ISSUE

(Interim) Could the Commissioner, on a remand limited to the effect of the criminal acquittal under Clause 8.2(X), reverse the High Court's final findings on the owner's liability and the validity of the assessment?

RATIO

Prima facie, no. The remand was for the limited purpose of examining the acquittal (SST No. 69/2008) under Clause 8.2(X)(G) and (H); the Commissioner travelled beyond it and recorded findings contrary to the High Court's final findings on the owner's liability and the validity of the assessment. The operation of the Commissioner's order is stayed pending the writ petition.

DISPOSITION Interim order — operation of the Commissioner's appellate order stayed

SCJ-179 Paschimanchal Vidyut Vitaran Nigam Ltd. & Anr. v. Commissioner, Moradabad Region &

All HC 2015

Anr.

Electricity Act 2003 §2(15)

ratio 2 of 2

2015 SCC OnLine All 3916

ISSUE

Owner of premises is a 'consumer' liable to theft assessment (reproduced from the 2011 judgment)

RATIO

Per the earlier final judgment (reproduced): a person whose premises are connected with anything capable of carrying the licensee's electricity is a 'consumer' under s.2(15); the owner of premises where theft is detected can be proceeded against under s.135 for revenue assessment even if the premises were let out, mens rea for the criminal offence being a matter for trial. On these facts the letting-out plea was disbelieved.

DISPOSITION Interim order — operation of the Commissioner's appellate order stayed

SCJ-117 Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. & Another

Supply Code 2005 §8.1

All HC 2017

AIR 2017 (NOC) 833 (All.); 2017 (4) ALJ 19; (2017) 6 ADJ 344

ISSUE

Can a licensee enforce payment of a provisionally assessed theft-related amount by issuing a 'final notice' after the consumer has filed objections, without giving any notice of personal hearing, considering the objections, or passing/serving a reasoned final assessment order?

RATIO

No. Section 126(1)'s provisional assessment requires the assessing officer's recorded conclusion of unauthorised use, which itself cannot be reached without a fair opportunity of hearing given the potential overlap with s.135 investigation. Clause 8.1(b) (iii) of the Supply Code specifically requires a personal hearing after the consumer files objections to the provisional assessment/show-cause notice, before any final order is passed. Here, after the petitioner filed timely objections (pursuant to an earlier court order permitting him to do so and deposit 50% of the provisional amount for restoration), the licensee neither gave notice of hearing nor considered the objections, yet issued 'final notice' letters (4.3.2017, repeated 17.3.2017) simply reiterating the original provisional-assessment figure as though finally established, without ever serving any actual reasoned final assessment order. This is *dehors* the statutory procedure (following Ashok Kumar, Kamil, and Hazi Mohd. Yaseen) — a consumer cannot be compelled to pay a provisional-assessment amount as if final, absent a proper final assessment after hearing. The two impugned notices were quashed, with liberty to the licensee to conduct the final assessment properly, in accordance with the Act and the Code.

ON THE FACTS The petitioner's LMV-1 (residential) connection was subjected to a s.135(1)(e) FIR and provisional assessment (Rs. 1,74,725) after an inspection alleged the premises was being run as a commercial girls'/boys' hostel (attracting LMV-2 commercial tariff); a prior writ petition secured restoration on 50% deposit and leave to object; objections were duly filed, but the licensee then issued 'final notice' letters demanding the full amount without any hearing or reasoned final order.

DISPOSITION Writ petition allowed; impugned 'final notice' letters quashed, licensee left free to make a proper final assessment

SCJ-128 Sri Chandra Mohan Goyal v. U.P. Power Corporation Ltd. & Others

Penalty

All HC 2018

ISSUE

Does the Supreme Court's ruling in U.P. Power Corporation Ltd. v. Lohia Brass (P) Ltd. (2006) 7 SCC 220 — holding that each Meter Reading Inspection Report violation of peak-hour restrictions attracts separate penalty, correcting a contrary Allahabad High Court interpretation — apply to the petitioner's penalty dispute, where demand notices were first issued in 2001 (before the Supreme Court ruling) but the matter was never finally and conclusively settled?

RATIO

Yes. It is settled law that judicial decisions are retrospective unless the court expressly makes them prospective; the doctrine of prospective overruling (traced through Golak Nath, Mohd. Ramzan Khan, B. Karunakar, Waman Rao, Atam Prakash) may only be invoked by the Supreme Court itself and only by express direction, which the Lohia Brass Court did not give. On the facts, the Executive Engineer's purported reduction of the petitioner's penalty liability (from over Rs. 42 lakh across seven consumers including the petitioner, down to under Rs. 6 lakh) was never shown to have been approved by the Chief General Manager (Commercial), the officer competent to finally settle such liability, and was in fact under internal challenge via a show-cause notice to the Executive Engineer for having acted without authority; no binding settlement therefore arose. The demand notices recalculating penalty per the Lohia Brass interpretation (and the later Bonds and Beyonds (India) ruling) were accordingly valid, and the Consumer Grievance Redressal Forum's and Electricity Ombudsman's orders upholding them were not infirm.

ON THE FACTS Petitioner held two electricity connections (his own and his mother's, later amalgamated in his name) for a Steel Rolling Mill; penalty demand notices for peak-hour-restriction violations, first issued in November 2001 per then-prevailing (and later Supreme-Court-corrected) circular interpretation, were allegedly reduced through an oral settlement with the Executive Engineer in 2003, but no written approval by the Chief General Manager was shown; fresh demand notices recalculating penalty per Lohia Brass were issued in 2007-2008 after the connection had already been permanently disconnected in 2005.

DISPOSITION Writ petition dismissed; orders of the Consumer Grievance Redressal Forum and Electricity Ombudsman upheld

SCJ-159 Pashchimanchal Vidyut Vitran Nigam Ltd. v. Permanent Lok Adalat, Moradabad &

All HC 2018

Anr. Electricity Act 2003 §135 ratio 2 of 2

2018 SCC OnLine All 6208

ISSUE

Theft is an 'offence' for the jurisdictional test even without an FIR

RATIO

Theft of electricity under s.135 is an offence giving rise to both civil and criminal consequences. For the s.22-C(8) jurisdictional test the mere allegation/existence of the offence is decisive; it is not necessary that an FIR be lodged or a criminal prosecution be launched, and the phrase 'to any offence' is not to be read restrictively. So long as the consumer was being proceeded against for theft (even in civil assessment proceedings), the dispute 'related to an offence'.

DISPOSITION Writ petition allowed; the Permanent Lok Adalat's award quashed as without jurisdiction**SCJ-191 Arvind Kumar v. Paschimanchal Vidyut Vitran Nigam Ltd. &**

All HC 2018

Another Supply Code 2005 §8.1(b)

2018 SCC OnLine All 3484

ISSUE

Is an order that merely 'considers' the consumer's objections, without a hearing, a valid final assessment under s.126(5)/Clause 8.1(b)?

RATIO

No. A final assessment under s.126(5) read with Clause 8.1(b) mandates an opportunity of hearing before it is passed. An order that only records that objections were considered and communicated, with no hearing, does not comply with the mandatory provisions, so no valid final assessment order has been passed. The Executive Engineer must pass a final assessment after affording a hearing within 15 days; the recovery/demand/bill are kept in abeyance meanwhile.

ON THE FACTS Theft case; provisional assessment 5.1.2018, purported final assessment 29.3.2018 for Rs. 64,44,961; the order showed no hearing was given.

DISPOSITION Writ petition disposed of; a fresh final assessment to be passed after hearing; recovery kept in abeyance**SCJ-042 West Bengal State Electricity Distribution Co. Ltd. (WBSEDCL) v. M/s Orion Metal Pvt.**

SC 2019

Ltd. Electricity Act 2003 §154 ratio 2 of 3

(2020) 18 SCC 588; Civil Appeal No. 6547 of 2019

ISSUE

The Section 126 assessment and the Special Court's Section 154(5) civil-liability determination are not parallel/mutually exclusive — both may proceed

RATIO

The Section 126(1) assessment power and the power to determine civil liability under Section 154(5) are not parallel to each other; the High Court erred in holding the two proceedings cannot operate parallelly. Where there is no theft (only unauthorised use), the loss is assessed under Section 126(1) alone; where the unauthorised use amounts to theft, a Section 126(1) assessment AND a Section 135 complaint may both proceed, with the Special Court determining civil liability under Section 154(5) and any excess deposit refunded. Merely because the Special Court is empowered to determine civil liability under Section 154(5) does not mean the authorities lack power to make a Section 126 assessment.

DISPOSITION Appeal allowed; High Court (Division Bench) order set aside — the Section 126 assessment restored**SCJ-042 West Bengal State Electricity Distribution Co. Ltd. (WBSEDCL) v. M/s Orion Metal Pvt.**

SC 2019

Ltd. Electricity Act 2003 §135 ratio 3 of 3

(2020) 18 SCC 588; Civil Appeal No. 6547 of 2019

ISSUE

Proof standard: civil for s.126 assessment, beyond reasonable doubt + mens rea for s.135 theft

RATIO

To prove theft in a criminal proceeding the case must be proved beyond reasonable doubt with mens rea established; such strict proof is not necessary for assessing liability under Section 126(1), which requires only civil proof.

DISPOSITION Appeal allowed; High Court (Division Bench) order set aside — the Section 126 assessment restored

SCJ-173 Shailendra Kumar v. State of U.P. & Another

Electricity Act 2003 §138

All HC 2019

2019 SCC OnLine All 4790

ISSUE

Does a Consumer Forum order setting aside an earlier bill bar prosecution under s.138 for unauthorised reconnection after disconnection?

RATIO

No. The s.138 offence of unauthorisedly reconnecting the line after disconnection is entirely different from the arrears/billing dispute (governed by Chapter 6 of the Code); the prosecution was for the reconnection, not for non-payment. A prior consumer-forum order on a different bill does not make the criminal proceedings an abuse of process, especially as the revised bill was neither paid nor challenged. At the pre-trial stage under s.482 the Court will not appreciate evidence; a prima facie s.138 case being made out, the proceedings and the non-bailable warrant were not quashed.

ON THE FACTS Supply disconnected on 13.3.2018 for non-payment of a revised bill; on inspection (30.5.2018) the line was found reconnected by the consumer; FIR under s.138 followed, charge-sheet filed, cognizance taken, NBW issued for non-appearance.

DISPOSITION Application under s.482 Cr.P.C. dismissed; non-bailable warrant and proceedings not quashed

SCJ-028 Gauri Shankar Gupta v. State of U.P. & 4 Others

Supply Code 2005 §8.1

All HC 2021

ISSUE

Can a recovery under the 1958 Dues Recovery Act proceed without a proper Section 126 / Clause 8.1 assessment made after notice and hearing?

RATIO

No. Clause 8.1(a)&(b) read with Section 126 require notice, service of the provisional assessment, and an opportunity of hearing before a final assessment; only on such an assessment, and non-payment of the demand thereunder, can recourse be had to the 1958 Act. The department failed to show the demand notice was served or that any assessment order was passed; the recovery order and citation are quashed, with liberty to reassess after hearing.

ON THE FACTS An FIR under s.135 alleged commercial use of a 5 H.P. agricultural connection; the department could not show service of the demand notice or any final assessment order.

DISPOSITION Writ petition allowed (recovery order and citation quashed; liberty to reassess)

SCJ-035 Jharkhand State Electricity Board & Others v. M/s Ramkrishna Forging Limited

Jharkhand Code 2005 §9.2

SC 2021

AIR 2021 SC 2184

ISSUE

For the proviso barring reduction of load before the 'initial period of agreement', is the initial agreement or the last load-enhancement agreement to be reckoned?

RATIO

The initial agreement. Enhancement 'fresh agreements' for the same connection are merely supplementary amendments of the initial agreement (contract demand can be varied even by written communication, Reg. 2(l); reduction itself is by supplementary agreement, Reg. 9.2.6). So the three-year 'initial period' runs from the initial agreement (2004), not the last enhancement (2007); the 2007 reduction application was beyond it and is deemed allowed under Reg. 9.2. The Regulations are liberally construed for the consumer.

ON THE FACTS Load was enhanced 325 -> 1325 -> 3500 -> 4000 KVA by successive agreements (last 7.7.2007); the reduction application (20.9.2007) was rejected as within three years of the 2007 agreement and treated as a determination of the agreement under Clause 9B.

DISPOSITION Appeal dismissed (reduction-of-load application deemed allowed under the Regulations)

K. Fora, Jurisdiction & Appeals

41 RATIOS · 41 JUDGMENTS

SCJ-076 Maharashtra Electricity Regulatory Commission v. Reliance Energy Ltd. &**SC** 2007**Ors.** Electricity Act 2003 §42

(2007) 8 SCC 381; AIR 2008 SC 976

ISSUE

(a) Can a licensee raise a supplementary/amended bill years later on a basis other than actual meter reading (e.g. presumed average consumption on suspicion of a defective meter)? (b) Can a State Electricity Regulatory Commission, on receiving mass consumer complaints, issue a blanket direction compelling licensees to withdraw all such bills and refund all amounts collected, without an investigation under Section 128?

RATIO

(a) No — billing must be on the basis of actual meter reading; the licensee bears responsibility for meter maintenance/replacement, and any additional/amended billing must follow due statutory process, not an unexplained years-later reassessment on a presumed basis. (b) The Commission does have a general power under Section 128(6) to direct licensees to bring billing practices into conformity with the statute, but exercising that power via a blanket direction to refund all amounts collected — without first conducting an investigation and obtaining a report under Section 128(1)/(5) — exceeds its jurisdiction; and in any event the Commission's own adjudicatory function under Section 86(1)(f) is limited to licensee-generator disputes, not individual consumer grievances. The correct route for individual billing grievances is the Section 42(5) Consumer Grievance Redressal Forum, with a further remedy before the Section 42(6) Ombudsman. In substitution of the Commission's blanket refund order, the Court directed licensees to publish notice inviting affected consumers to make representations for redress (decided after a hearing), with a further remedy via ss.42(5)/(6) for those still dissatisfied.

ON THE FACTS The Maharashtra Commission, on receiving mass complaints of 'amendment'/supplementary' bills raised by licensees years after the relevant billing period on a basis other than actual meter readings (often via automated computerised systems, on suspicion of faulty meters), directed (23.2.2005 and 23.8.2005 orders) that such bills be withdrawn and all amounts collected refunded (with or without interest depending on the circumstances), without conducting a Section 128 investigation; the Appellate Tribunal set aside these orders, directing consumers to the s.42(5) Forum instead.

DISPOSITION Appeal disposed of; blanket refund direction set aside, replaced with a public-notice/individual-hearing mechanism, with grievances thereafter routed via ss.42(5)/(6)

SCJ-260 Purvanchal Vidyut Vitran Nigam Ltd., Bhikaripur & Anr. v. Vidyut Lokpal (Electricity Ombudsman) & Anr.**All HC** 2008

Electricity Act 2003 §42

ratio 1 of 2

2008 SCC OnLine All 376 : AIR 2008 All 127 : (2008) 5 All LJ 683

ISSUE

On what grounds may the High Court interfere with an Electricity Ombudsman's settlement or award?

RATIO

Only on limited grounds. Where the Ombudsman settles the dispute by conciliation/mediation, the proceedings are not challengeable except for want of jurisdiction or fraud; where he makes an award, the scope of interference is confined to grounds akin to Section 34 of the Arbitration and Conciliation Act, 1996 (incapacity, want of notice, matters beyond or excepted from the reference, subject-matter not arbitrable, or conflict with public policy). The Court drew the analogy from Section 34 as the measure of permissible challenge.

ON THE FACTS The licensee challenged the award only on the merits of Clause 3.4(a), raising no jurisdictional, natural-justice, fraud or public-policy ground.

DISPOSITION Writ petition dismissed; the Electricity Ombudsman's award directing temporary connection by tapping upheld

SCJ-218 M/s Paliwal Alloys (Pvt.) Ltd. v. U.P. Power Corporation Ltd. &**All HC** 2009**Ors.** Electricity Act 2003 §127

ratio 2 of 3

2009 SCC OnLine All 829

ISSUE

Recovery of a theft assessment cannot proceed while the s.127 appeal is pending under a restraint

RATIO

The Corporation could not recover the theft assessment (Rs. 84,33,146) while the consumer's s.127 appeal — permitted by an earlier Division Bench (3.8.2006) on a Rs. 10 lakh deposit, with recovery restrained until the appeal was disposed of — was pending, the Corporation's SLP having obtained no interim stay. It ought instead to have pursued early disposal of the appeal.

DISPOSITION Writ petition disposed of; recovery notice and citation quashed; s.127 appeal to be decided in three months

SCJ-031 Haryana State Electricity Board v. M/s Hanuman Rice Mills, Dhanauri & Ors. CPC ratio 2 of SC 2010

2

AIR 2010 SC 3835; (2010) 9 SCC 145

ISSUE

Second suit on a different subject-matter/relief not barred

RATIO

The second suit (challenging the 1998 disconnection threat and disconnection for the previous owner's arrears) was not barred by res judicata by the dismissal of the earlier suit (for a permanent injunction against the 1995 demand), the matters directly in issue and the reliefs being different.

DISPOSITION Appeal dismissed (auction-purchaser not liable for the previous owner's arrears)

SCJ-138 U.P. Power Corporation Limited Thru' Executive Engineer v. Electricity Ombudsman & Ors. (M/S Suresh Automobiles) All HC 2010 Electricity Act 2003 §42(6)

ISSUE

Is a Special Appeal under Rule 5, Chapter VIII of the Allahabad High Court Rules, 1952, against a Single Judge's order disposing of a writ petition challenging an Electricity Ombudsman award, barred on the ground that the Ombudsman exercises appellate/revisional jurisdiction (over the Consumer Grievance Redressal Forum) or is a Tribunal (over which the Single Judge exercised Article 227 superintendence)?

RATIO

No, the Special Appeal is maintainable. On the 'Appellate Authority' question: though a party's approach to the Ombudsman under Regulation 8.1 is loosely termed a 'representation' against the Forum's decision, and the Ombudsman must pass a reasoned order under Regulation 11(b) (facilitating settlement by agreement, conciliation, mediation, or passing an award), Regulation 12.8 expressly permits either party, aggrieved by the Ombudsman's decision, to approach 'any Court or Tribunal having jurisdiction' — meaning there is no hierarchical finality of the kind that defines an 'appeal' (per Shiv Shakti Cooperative Housing Society v. Swaraj Developers, Tirupati Balaji Developers v. State of Bihar, and Snehadeep Structures v. Maharashtra SSIDC: an appeal requires removal of a cause from an inferior to a superior forum with corrective, binding authority). The Ombudsman is accordingly not an Appellate Authority. On the 'Tribunal' question: applying the features enumerated in Union of India v. R. Gandhi, President, Madras Bar Association, and the 'trappings of a Court' test (Committee of Management v. Regional Deputy Director of Education, Agra), the Ombudsman lacks power to compel witness attendance and examine on oath, does not sit in public, and its award (an alternative-dispute-resolution outcome akin to a private conciliation/mediation, not an Arbitration and Conciliation Act award) carries no finality. It is accordingly not a Tribunal, and the Single Judge, in deciding the writ petition, did not exercise Article 227 superintendence over a Tribunal. Rule 5's exclusion is therefore inapplicable, and the Special Appeal is maintainable.

ON THE FACTS Respondent no. 3's petition before the Consumer Grievance Redressal Forum (seeking interim relief regarding a billing dispute over the difference between main-meter and check-meter KVAH readings) was dismissed; on representation to the Electricity Ombudsman, the Ombudsman held the consumer not liable for the meter-reading difference and directed billing per the specified main meters; the licensee's writ petition against the Ombudsman's award was dismissed by a Single Judge (2008), and a subsequent review petition and recall application also failed; the licensee then filed this Special Appeal against all three orders, met with a preliminary maintainability objection.

DISPOSITION Preliminary objection to maintainability of the Special Appeal overruled; appeal held maintainable and to be listed for hearing on merits

SCJ-258 Executive Engineer, Electricity Urban Distribution Division IInd v. Electricity Ombudsman, Lucknow & Ors. Electricity Act 2003 §42 ratio 2 of 2

All HC 2010

2010 SCC OnLine All 2611 : (2010) 6 All LJ 446

ISSUE

On what grounds may the High Court interfere with an award of the Electricity Ombudsman?

RATIO

Only on limited grounds. The Ombudsman (appointed under s.42(6) and the Regulations) resolves grievances by conciliation/mediation or, failing that, by an award that has the flavour of an arbitral award; it is challengeable only on grounds akin to Section 34 of the Arbitration and Conciliation Act, 1996 - jurisdictional error, breach of natural justice, violation of an express provision of the Act/Code/Rules/rate schedule, fraud, or conflict with public policy - reiterating *Purvanchal Vidyut Vitran Nigam Ltd. v. Vidyut Lokpal*. As none of these grounds was made out, the writ was dismissed.

ON THE FACTS EE challenged the Ombudsman's award only on the merits of the feeder/estimate direction, raising no jurisdictional, natural-justice, fraud or public-policy ground.

DISPOSITION Writ petition dismissed; the Electricity Ombudsman's award (upholding the CGRF's directions) sustained

SCJ-023 Dr. Santosh Kumar Awasthi v. State of U.P. & Others

Supply Code 2005 §6.8(d)

All HC 2011

ISSUE

Remedy against a final theft assessment — statutory appeal under s.127 / Clause 6.8(d)

RATIO

The remedy against a final order of assessment is the statutory appeal under Section 127 read with Clause 6.8(d) of the Code, on deposit of half the assessed amount; the writ court relegated the consumer to that appeal, directing it be entertained without a limitation objection, staying recovery for 30 days, and leaving the merits and any stay to the appellate authority.

ON THE FACTS The consumer's objections to the provisional assessment had been disposed of by the Executive Engineer's order dated 27.11.2010; a demand notice followed.

DISPOSITION Writ petition disposed of (relegated to the Section 127 appeal; recovery stayed 30 days)

SCJ-041 Executive Engineer, Southern Electricity Supply Co. of Orissa Ltd. (SOUTHCO) v. Sri Seetaram Rice Mill Electricity Act 2003 §127 ratio 3 of 3

SC 2011

(2012) 2 SCC 108

ISSUE

Sections 126-127 form a complete code; only a final Section 126(3) order is appealable; the High Court should not ordinarily interfere with a final assessment

RATIO

Sections 126 and 127 together constitute a complete code. Only a final order of assessment under Section 126(3) is appealable under Section 127; a notice-cum-provisional assessment under Section 126(2) is not appealable. The High Court should normally decline to interfere under Article 226 with a final assessment — it may examine a jurisdictional challenge but must not travel into the assessing officer's exclusive domain of assessment and fact-finding.

DISPOSITION Appeal allowed; High Court judgment set aside and remanded to the assessing officer to pass a final Section 126(3) assessment after affording the consumer an opportunity to file objections

SCJ-047 Lalit Kumar Kapoor v. Kanpur Electricity Supply Company & Anr. Electricity Act 2003 §127 ratio 3 of 3

All HC 2011

ISSUE

Challenge to a final theft assessment relegated to the statutory appeal; pre-deposit not relaxed

RATIO

Whether inspection or provisional assessment was properly made, and whether reasonable opportunity was given, are matters merged into the earlier writ proceeding that directed consideration of the representation (itself equivalent to the provisional stage) and cannot be reopened by a fresh writ against the final assessment; the final assessment must be challenged before the appellate authority under Section 127, and in a theft matter — given the public interest in the essential service of electricity — the Court will not relax the statutory deposit condition to enable the petitioner to avoid it.

DISPOSITION Writ petition disposed of (relegated to the statutory appeal under Section 127, subject to the amended deposit condition)

SCJ-055 M/S Hind Industries Limited v. State of U.P. & Ors.

Supply Code 2002

ratio 1 of 3

All HC 2011

ISSUE

Which authority under the U.P. Electricity Supply Code, 2002 had jurisdiction to decide a consumer's representation against a theft-based assessment of over Rs. 1.22 crore — the Superintending Engineer (as an earlier court order had directed) or the Area Level Committee/CGM?

RATIO

The Area Level Committee/CGM had jurisdiction, since under the Code, 2002 the Committee at circle level/DGM (Superintending Engineer) could decide representations only up to Rs. 2 lakh, while representations concerning recoveries above Rs. 10 lakh had to be decided by the Committee at area level/CGM; a 2010 modification order accordingly directed the representation to the Area Level Committee instead. However, even accepting the petitioner's own contention that the Superintending Engineer lacked jurisdiction, this meant only that the representation itself had been filed before an incompetent authority and any order thereon was of no consequence — it did not excuse the petitioner from approaching the Area Level Committee, which he never did even after the modification order, leaving the original assessment order unchallenged before any competent authority.

ON THE FACTS A theft-based assessment of Rs. 1,22,55,783 (17.8.2002) went unrecovered for over nine years; a 2002 court order granting six weeks' interim protection to enable a representation before the Superintending Engineer lapsed, but the petitioner neither paid nor approached the correct forum, instead relying on a pending 'modification application' that (unknown to the Court until mid-hearing) had in fact already been decided over a year earlier; the petitioner meanwhile obtained a fresh connection for the same premises on furnishing a bank guarantee.

DISPOSITION Writ petition dismissed with directions (interest at not less than bank rate; departmental inquiry directed)

SCJ-096 Om Prakash v. State of U.P. & Others

Supply Code 2005 §7.10

All HC 2011

ISSUE

Is the District Consumer Forum (under the general consumer protection framework) the appropriate forum for an electricity billing grievance, or must the consumer instead invoke the Clause 7.10 Consumer Grievance Redressal Forum/Ombudsman mechanism?

RATIO

The petitioner was permitted to withdraw his writ petition and his pending District Consumer Forum complaint in order to approach the Consumer Grievance Redressal Forum under Clause 7.10 of the Supply Code; the concerned authority was directed to decide the grievance, if presented within 15 days, as expeditiously as possible and not later than 8 weeks from presentation of a certified copy of the order.

ON THE FACTS The petitioner's billing grievance had been pending before the District Consumer Forum since 30.10.2010 without decision; the licensee objected to that forum's maintainability, urging the Clause 7.10 route instead.

DISPOSITION Writ petition disposed of; petitioner permitted to withdraw and approach the Consumer Grievance Redressal Forum under Clause 7.10

SCJ-235 Foran Singh v. Executive Engineer, Dakshiranchal Vidyut Vitaran Distribution Division, Firozabad and Another

Supply Code 2005 §7.10

All HC 2011

2011 SCC OnLine All 639 : (2011) 87 ALR 800

ISSUE

After the consumer's representation against a recovery has been decided during the writ's pendency, what remedy remains?

RATIO

The writ prayers become infructuous, and the consumer's remedy against the order deciding the representation lies under Clause 7.10 r/w Clauses 7.7.1 to 7.7.5 of the Code: a complaint to the licensee and, if the licensee fails to settle or the consumer is dissatisfied, a complaint before the Consumer Grievance Redressal Forum. The Court disposed of the writ leaving that remedy open.

ON THE FACTS Recovery notice (24.7.2009) and demand notice (20.12.2010) in the deceased father's name for a tube-well connection believed disconnected; representation decided by order dated 4.4.2011 during pendency.

DISPOSITION Writ petition disposed of; prayers rendered infructuous by the disposal of the representation, with liberty to pursue the Code's grievance remedy

SCJ-008 Aruna Bhargava v. PuVVNL & Another

Electricity Act 2003 §127

All HC 2012

ISSUE

Does Section 127 of the 2003 Act (and its pre-deposit condition in s.127(2)) govern an appeal against an assessment made before the 2003 Act, under the U.P. Regulations 1984 / U.P. Supply Code 2002?

RATIO

No. Section 127(1) confines the appeal to a final order 'made under Section 126' of the 2003 Act; a pre-2003 assessment is not such an order, so neither Section 127 nor its pre-deposit condition applies. Section 185(2) & (5) (with Section 6 of the General Clauses Act) preserve the pre-2003 assessment and its appellate forum. The Commissioner's rejection under s.127(2) was without jurisdiction; the appeal is remitted to the forum under Regulations 1984 / Code 2002.

ON THE FACTS Assessments for excess load were made on 3.4.2002 (under Regulations 1984) and 13.12.2002 (under Code 2002); the appeal was filed in 2003 before the appellate committee (which required no pre-deposit) and only later transmitted to the Commissioner, who demanded a one-third pre-deposit under s.127(2).

DISPOSITION Writ petition partly allowed (Commissioner's order set aside; appeal remitted to the pre-2003 forum)

SCJ-049 M.D., Pakshimanchal Vidyut Vitran Nigam Ltd. v. Electricity Ombudsman &

All HC 2012

Anr.

Electricity Act 2003 §42

ratio 3 of 3

ISSUE

A licensee has no remedy of representation before the Ombudsman against a CGRF order

RATIO

The licensee has no remedy to file a representation under Clause 8 of the 2007 Regulations read with Section 42(6) of the Act before the Ombudsman against an order of the CGRF, following Dakshinanchal Vidyut Vitran Nigam Ltd. v. Vidyut Lokpal, Lucknow (which struck down Clause 8 to that extent).

DISPOSITION Writ petition allowed; CGRF and Ombudsman proceedings quashed as without jurisdiction (liberty to pursue the Section 126/127 remedy)

SCJ-069 M/S Trikoot Iron & Steels Castings Ltd. v. State of U.P. & Ors.

Electricity Act 2003 §127

All HC 2012

ISSUE

Does an appeal under Section 127 lie against an assessment made on an allegation of theft of electricity, or is such an assessment made under Section 135 (a purely penal provision) and therefore non-appealable?

RATIO

An appeal always lies. Section 135 creates the criminal offence of theft but no independent assessment mechanism; its third proviso to sub-section (1A) (requiring restoration of supply on deposit of the 'assessed amount') itself presupposes that the assessment is made under Section 126. The Supply Code merely prescribes distinct procedures — para 8.1-8.3 for theft-based assessments, para 6.8 for other unauthorised use — but both are Section 126 assessments; the appeal lies under Section 127 in either case. Since Section 127 provides no separate parameters for deciding the appeal, the Appellate Authority's power is co-extensive with the Assessing Officer's, empowering it to examine on the merits whether the assessment (theft or otherwise) was correctly made. The Appellate Authority's rejection of the appeal on the ground that a theft-based assessment falls under Section 135 (and is hence non-appealable) was a jurisdictional error; the matter was remanded for decision on merits.

ON THE FACTS The Appellate Authority (Commissioner and Superintending Engineer) rejected the consumer's appeal against a theft-based assessment solely on the ground that, being made under Section 135, no appeal lay under Section 127.

DISPOSITION Writ petition partly allowed; appellate order set aside and remanded for decision on merits

SCJ-126 Smt. Vimla Tiwari v. State of U.P. And Others

Electricity Act 2003 §127

ratio 3 of 3

All HC 2012

AIR 2012 Allahabad 142

ISSUE

Does an appellate order under s.127 satisfy the requirements of a genuine appeal where the Commissioner, who presides as the Appellate Authority, effectively abdicates independent assessment to the Superintending Engineer (technical member) rather than exercising his own judgment on the record, including the contested checking report?

RATIO

No. The Court critiqued the structural functioning of the s.127 Appellate Authority as constituted, observing that the Commissioner routinely defers wholesale to the Superintending Engineer on technical questions without independent application of mind, which defeats the object of a genuine, independent appellate review distinct from the original assessment. On the facts, the appellate order simply affirmed the assessment without meaningfully grappling with the checking report's internal inconsistencies, and was accordingly quashed along with the assessment order.

ON THE FACTS The Commissioner's appellate order affirmed the Assessing Officer's order relying on the Superintending Engineer's technical view, without independently addressing the inconsistencies in the underlying checking report that the petitioner had raised.

DISPOSITION Writ petition allowed; s.126 assessment order and s.127 appellate order quashed; Rs. 10,000 costs awarded against respondents, recoverable from responsible officials personally, with direction for entry of censure in their Annual Character Roll

SCJ-242 Gopali v. State of U.P. through Secretary and others

Electricity Act 2003 §127

All HC 2012

2012 SCC OnLine All 3759 : (2013) 99 ALR 291

ISSUE

Should a writ against a final Section 126 assessment be entertained where the controversy is factual and an appeal under Section 127 r/w Clause 6.8 is available?

RATIO

No. Section 126 provides for provisional assessment, objections and a final order after hearing; Section 127(1) gives a right of appeal against the final order, and Clause 6.8 likewise provides for an appeal. As the controversy was basically factual and better decided in appeal, the Court accepted the preliminary objection and dismissed the writ on the ground of the available alternative remedy.

ON THE FACTS Checking 24.3.2011; provisional assessment 4.7.2011; objection dismissed by EE on 26.9.2012 after an earlier writ directed its disposal; challenge basically factual.

DISPOSITION Writ petition dismissed on the ground of availability of the alternative remedy of a statutory appeal

SCJ-163 Jai Laxmi Cement Company Ltd. v. State of U.P. & 3 Others

Electricity Act 2003 §127

ratio 2

All HC 2013

of 2

2013 SCC OnLine All 9880

ISSUE

Writ against a provisional assessment normally declined; only the final s.126(3) order is appealable

RATIO

A provisional assessment under s.126(2) is not appealable under s.127 — only a final order under s.126(3) is — and the High Court should normally decline to interfere with a provisional assessment under Article 226, exercising jurisdiction only within the Whirlpool exceptions (a jurisdictional challenge, vires, or natural-justice breach). This case fell in none of those exceptions, so it was not fit to be entertained at the provisional stage; the petitioner's remedy is to file objections.

DISPOSITION Writ petition disposed of with directions; interference at the provisional-assessment stage declined

SCJ-164 Parmarth Steels & Alloys (Pvt.) Ltd. & Anr. v. U.P. Power Corporation Ltd. (Transco) & Others

Electricity Act 2003 §127

ratio 2 of 2

All HC 2013

2013 SCC OnLine All 11490

ISSUE

Alternative remedy is self-imposed discipline; not a bar after long pendency and completed pleadings

RATIO

The s.127 appeal does not bar the writ. The bar of alternative remedy is a self-imposed discipline, a matter of discretion not jurisdiction; where the writ was entertained, pleadings exchanged, an interim order granted, and it remained pending over five years, it is not fit to be dismissed on that ground and should be decided on merits.

DISPOSITION Writ petition allowed to the extent indicated; rejection order set aside; matter remitted for fresh final assessment

SCJ-197 Gaya Prasad v. U.P. Power Corporation Ltd. & 3 Others

Supply Code 2005 §7.10

All HC 2013

2013 SCC OnLine All 12913

ISSUE

Can the writ court decide whether a consumer continued to use electricity after a permanent disconnection, or is that for the Clause 7.10 forum?

RATIO

It is a disputed question of fact (a spot inspection found the meter missing but the consumer residing and using supply) that the writ court will not decide. Clause 7.10 provides the first-instance CGRF/Ombudsman route for such billing grievances. The Court declined interference but gave liberty to approach the Executive Engineer with a Rs. 25,000 draft, on which the recovery would be stayed pending a reasoned decision, to be recovered only if usage is found.

ON THE FACTS Consumer claimed permanent disconnection on paying the fee and no subsequent use; spot inspection found no meter but the consumer residing and using electricity; Rs. 1,40,848 sought as arrears of land revenue.

DISPOSITION Writ petition disposed of; consumer relegated to the authority; recovery stayed on deposit

SCJ-224 Moolchand Saini v. State of U.P. through Secretary, Power Corporation & Others

Electricity Act 2003 §127

All HC 2013

2013 SCC OnLine All 13477 : (2013) 99 ALR 754

ISSUE

Should a writ petition against a final Section 126 assessment order be entertained where an appeal under Section 127 read with Clause 6.8 of the Code is available?

RATIO

No, ordinarily not. Section 126 provides for provisional assessment, objections and a final order after hearing; Section 127(1) gives any person aggrieved by the final order a right of appeal, and Clause 6.8 of the Code likewise provides for an appeal against the final assessment. Having regard to the nature of the controversy the Court accepted the licensee's preliminary objection and dismissed the writ petition on the ground of the availability of that alternative remedy, without deciding the merits.

ON THE FACTS Challenge was to the Executive Engineer's final order dated 26.9.2012 deciding the consumer's representation against a theft-based provisional assessment; the statutory appeal under s.127 r/w Clause 6.8 was available and untried.

DISPOSITION Writ petition dismissed on the ground of availability of the alternative remedy of a statutory appeal

SCJ-026 Executive Engineer, Electricity Urban Distribution Division v. The Electricity Ombudsman & 2 Others

Electricity Act 2003 §42

ratio 1 of 2

All HC 2014

ISSUE

Can the statutory ECGRF/Ombudsman decline to decide a consumer's dispute and relegate the parties to arbitration under the supply agreement?

RATIO

No. Under Section 42(5)-(8) and the Regulations, 2007, the ECGRF and Ombudsman are under a statutory duty to decide a consumer's grievance on merits; an arbitration clause in the agreement is at most an additional forum (Section 42(8) — without prejudice to other rights; right of election) and does not oust the statutory forum. The special statute overrides the general Arbitration Act. Regulation 5.1 bars the Forum only from matters under ss.126, 127, 128, 135-139, 143, 152 and 161; other disputes (Reg. 5.2) it must decide. The ECGRF erred in diverting the dispute to arbitration.

DISPOSITION Writ petition dismissed with Rs. 25,000 costs (Ombudsman's order upheld)

SCJ-040 Kapil Gupta v. U.P. Power Corpn. Ltd. & Anr.

Electricity Act 2003 §127

ratio 1 of 2

All HC 2014

ISSUE

Should a writ against a Section 126 assessment be entertained, or the consumer relegated to the Section 127 appeal?

RATIO

Relegated to the appeal. Where the challenge to a Section 126 assessment raises only disputed questions of fact and no question of jurisdiction, vires, or breach of natural justice/fundamental rights, the writ court will not bypass the Section 127 appeal; the earlier decision on merits in this consumer's case turned on a four-year pendency, not any absolute rule, and Ashok Kumar (vires/jurisdiction) is distinguishable.

ON THE FACTS The petitioner challenged a Section 126 provisional/final assessment (~Rs. 1.28 crore) on the facts; no vires or jurisdictional question was raised, and the dispute involved complex questions of fact.

DISPOSITION Writ petition dismissed (relegated to the Section 127 appeal)

SCJ-061 M/S Om Ice Factory Thru' Its Partner Satyapal Singh v. Paschimanchal Vidyut Vitran Nigam Ltd. & Anr.

Electricity Act 2003 §127

All HC 2014

ISSUE

Should a writ petition challenging a provisional assessment (alleging non-compliance with Clauses 4.30/4.31, 6.8 and 8.0(5)/8.1 of the Supply Code on checking-authorisation, notice and procedure) be entertained, or should the petitioner be relegated to the Section 127 appeal, where the assessing authority had already considered the petitioner's objections pursuant to an earlier writ order?

RATIO

The petitioner must be relegated to the Section 127 appeal. None of the three recognised exceptions to the alternative-remedy rule (want of jurisdiction, breach of natural justice, violation of fundamental rights) was made out: the assessing authority had already considered the petitioner's objections as directed in an earlier writ (disposed of 6.8.2013) and taken a decision not shown to be de hors the law or established procedure; mere allegation of a factual/procedural flaw in that decision does not permit bypassing the statutory remedy. Ashok Kumar is distinguishable since it involved a pure legal/jurisdictional challenge (validity of the notification appointing the assessing officer) that neither the assessing officer nor the appellate authority could decide — here, by contrast, only the correctness of the provisional assessment on facts was at issue. The governing precedent is Southco v. Sri Seetaram Rice Mill: the High Court may examine a jurisdictional challenge to a provisional assessment but must remand rather than decide the assessment itself, and should normally decline to interfere with a final assessment under Article 226.

ON THE FACTS After a truck collision damaged a transformer causing anomalous billing, and after two earlier rounds of writ litigation (each relegating the consumer to the departmental process — deposit-and-representation, then objections-before-finalisation), a surprise checking (4.6.2013) found tampered seals; a provisional theft assessment of Rs. 1,09,33,708 was made, objections were invited and considered pursuant to the second writ order, and the present writ challenged the resulting order (14.5.2012 letter and 29.3.2014 rejection of representation) alleging breach of Clauses 4.30/4.31 (checking authorisation), 6.8 and 8.0(5)/8.1 (procedure/certification) of the Supply Code.

DISPOSITION Writ petition dismissed on the ground of alternative remedy under Section 127

SCJ-153 Mohd. Sagir v. Dakshinanchal Vidyut Vitran Nigam Ltd. &

All HC 2014

Ors. Electricity Act 2003 §127

ratio 4 of 4

2014 SCC OnLine All 8462

ISSUE

Alternative statutory appeal as a bar to writ jurisdiction

RATIO

The existence of a s.127 appeal against a s.126 final assessment does not bar a writ petition where the order is assailed for violation of natural justice; the rule of exhaustion is one of policy and discretion, not law. The Court also declined to relegate the petitioner because the writ had been entertained, an interim order passed, and it had been pending for about five years.

DISPOSITION Writ petition disposed of; final assessment order set aside; matter remitted

SCJ-256 Suresh Chand Bansal v. Electricity Ombudsman & Others

Electricity Act 2003 §42

All HC 2014

2014 SCC OnLine All 13588

ISSUE

Can the CGRF award compensation for loss to property caused by an accident in transmission lines, and is the affected person a 'consumer' in that respect?

RATIO

No. Transmission lines are, by Section 2(72), not an essential part of a licensee's distribution system, so the affected person is not a 'consumer' (Section 2(15)) qua those lines - the presence of a transformer tapped off the line does not alter this. The CGRF's jurisdiction under Section 42 r/w Section 181 and the 2007 Regulation (cl. 2.1(e)/cl. 5) is confined to defects/deficiency in supply, billing and tariff, and does not extend to loss of public property from a transmission-line accident; the Section 161 accident-inquiry mechanism concerns loss to human/animal life, not property. The Ombudsman rightly held the CGRF without jurisdiction and set aside its compensation award.

ON THE FACTS 11,000-volt overhead transmission lines over the petitioner's house fell in the rains, destroying appliances and causing a fire; CGRF had awarded Rs. 89,572 compensation.

DISPOSITION Writ petition dismissed; the Ombudsman's order holding the CGRF without jurisdiction over accident-related property loss upheld

SCJ-165 Kamil v. State of U.P. & Others

Electricity Act 2003 §127

ratio 3 of 3

All HC 2016

2016 SCC OnLine All 2684

ISSUE

Alternative remedy no bar where assessment breaches natural justice

RATIO

The s.127 appeal does not bar the writ: an order passed in violation of natural justice is an established exception to the alternative-remedy rule (Whirlpool), and the writ had in any event been entertained with a conditional interim order and remained pending for six years. The petitioner was not relegated to the appeal.

DISPOSITION Writ petition allowed; assessment/representation-rejection order and s.3 (1958 Act) demand notice quashed

SCJ-240 Ishwar Chandra v. U.P. Power Corporation Limited Thru' its M.D. & Another

Electricity Act 2003 §127

All HC 2016

2016 SCC OnLine All 1513

ISSUE

Where the parties dispute whether an objection to the provisional assessment was filed and considered before the final assessment, should the writ court adjudicate it or relegate the consumer to the s.127 appeal?

RATIO

Relegate to the s.127 appeal. Whether the consumer filed an objection and whether it was considered is a disputed question of fact not amenable to Article 226. The Electricity Act, 2003 and the Supply Code, 2005 are a self-contained scheme with a remedy of appeal under s.127 against the final assessment; every contention raised in the writ can be raised in that appeal. The writ was disposed of on the ground of alternative remedy, leaving the consumer free to pursue it.

ON THE FACTS Load found enhanced 2 KW to 8 KW on raid; provisional assessment 1.1.2015, final assessment 23.5.2015, demand 11.6.2015; consumer claimed an objection dated 27.1.2015 was ignored, licensee said none was filed.

DISPOSITION Writ petition disposed of on the ground of alternative remedy (s.127 appeal), leaving the consumer free to pursue it

SCJ-205 Mahboob Ahmad v. Commissioner, Moradabad & Another

Electricity Act 2003 §127

All HC 2017

2017 SCC OnLine All 2112

ISSUE

Should the writ court re-examine a s.126 assessment that the s.127 appellate authority has already examined and reduced?

RATIO

No. The appellate authority having examined the assessment and reduced it from Rs. 73,920 to Rs. 17,520, the Court was not inclined to interfere with the quantum. The petition was disposed of allowing the consumer three months to deposit the reduced amount and directing regular bill payment.

ON THE FACTS s.135 FIR and s.126 assessment of Rs. 73,920; reduced to Rs. 17,520 on the s.127 appeal by the Commissioner.

DISPOSITION Writ petition disposed of; interference declined; time granted to deposit the reduced amount

SCJ-207 Executive Engineer, Distribution Division & Anr. v. Pacific

All HC 2017

Promoter Electricity Act 2003 §145 ratio 1 of 2

2017 SCC OnLine All 3167

ISSUE

Can a civil court entertain a suit challenging a s.126 assessment (excess-load demand) as illegal and void?

RATIO

No. Section 145 expressly bars the civil court's jurisdiction over matters of assessment under ss.126/127; civil liability for unauthorised use is imposed only through a s.126 assessment (appealable under s.127), and s.9 CPC excludes the civil court where jurisdiction is so barred. A suit for a declaration that the checking report and the consequent assessment are illegal/void is barred; the plaint is rejected and the suit dismissed. The plea of lack of jurisdiction can be raised at any stage, even after long pendency.

ON THE FACTS Suit (OS 58/2009) for injunction/declaration against a s.126 assessment dated 21.8.2007 arising from inclusion of excess load (24.5 KW to 51.9 KW) and the demand thereon; pending about ten years.

DISPOSITION Petition allowed; civil suit dismissed as barred by s.145; plaint rejected

SCJ-019 Divisional Engineer, Electricity Distribution Division-I v. Raman Singh &

All HC 2018

Another Electricity Act 2003 §145

ISSUE

Does the Permanent Lok Adalat have jurisdiction over a non-consumer's claim for damages for electrocution of livestock by the licensee's line, or is it barred by the Electricity Act / Supply Code scheme?

RATIO

For a consumer's dispute, the Act and the Supply Code are comprehensive and civil-court jurisdiction is barred by Section 145. A non-consumer's claim for tort damages against the licensee is not a Code/CGRF matter; 'supply of power' is a 'public utility service' under Section 22-A of the LSA Act, 1987, so the Permanent Lok Adalat has jurisdiction, and the CGRF/Ombudsman Regulations, 2007 (covering only consumer grievances) do not apply. The compensation award is upheld.

ON THE FACTS An unattended snapped 11 KV line electrocuted the claimant's buffalo (his livelihood); the claimant was not a consumer; the licensee stalled even the admitted compensation for ~3 years on a jurisdiction plea.

DISPOSITION Writ petition dismissed (Permanent Lok Adalat compensation upheld)

SCJ-025 Executive Engineer, Electricity Distribution Division-II v. State of U.P. & 2

All HC 2018

Others Electricity Act 2003 §145 ratio 1 of 2

ISSUE

Does the Permanent Lok Adalat have jurisdiction over a non-consumer's damages claim for electrocution by the licensee's line, given the Electricity Act / Supply Code scheme?

RATIO

Yes. 'Public utility service' (LSA Act s.22-A) means supply of power to the public and needs no consumer relationship; the Permanent Lok Adalat has adjudicatory power under s.22-C(8) where conciliation fails. A consumer's electricity dispute is cognizable only by the statutory authorities under the Act/Code, civil-court jurisdiction being barred by Section 145; but a non-consumer's tort claim for electrocution is a civil dispute the Lok Adalat may decide, and a weaker-section claimant cannot be relegated to a civil suit.

ON THE FACTS A 20-year-old non-consumer was electrocuted by an unattended live HT line in a field and suffered 100% disability; the department pleaded storm/force majeure and lack of a consumer relationship.

DISPOSITION Writ petition dismissed (Permanent Lok Adalat award of ~Rs. 21 lakh upheld)

SCJ-050 M.K. Pathak, Executive Engineer v. The Electricity Ombudsman &

All HC 2018

Ors. Supply Code 2005 §7.10

ISSUE

Can the Electricity Distribution Licensee (or its officer) file a representation/appeal before the Electricity Ombudsman against an order of the Consumer Grievance Redressal Forum?

RATIO

No. Clause 7.10 of the Code and Section 42(5)-(7) of the Act, on a plain reading, entitle only the consumer to file a complaint before the Forum and, if aggrieved by non-redressal, a representation before the Ombudsman; this right is not given to the Electricity Distribution Licensee. The licensee/its officers therefore have no authority in law to approach the Ombudsman once the Forum has decided the consumer's complaint, and the Ombudsman commits no error of law in dismissing such a representation, even on its merits.

ON THE FACTS The Forum allowed the consumer's complaint; the Executive Engineer (licensee's officer) appealed to the Ombudsman, who dismissed the appeal; the licensee then challenged both orders by writ.

DISPOSITION Writ petition dismissed

SCJ-068 M/S Three Star Paper Mills Pvt. Ltd. v. State of U.P. & 5 Ors.

Supply Code 2005 §7.10

ratio 1

All HC 2018

of 2

ISSUE

Can a consumer, having accepted the licensee's One Time Settlement scheme (paying an agreed principal in exchange for waiver of accrued surcharge across several long-pending billing disputes), later pursue a separate, decades-old claim (10% development rebate) through the Consumer Redressal Forum and Electricity Ombudsman under Clause 7.10 of the Code, treating it as still 'pending'?

RATIO

No. The consumer's own representation accepting the One Time Settlement made clear it was 'ready to settle its ALL pending matters' by paying the agreed principal sum; the licensee accepted this and waived more than Rs. 78 lakh of accrued surcharge. Having obtained that benefit on the basis that all disputes stood settled, the consumer is estopped from raising the 10%-rebate dispute afresh before the Redressal Forum/Ombudsman; both correctly rejected the claim.

ON THE FACTS Multiple writ petitions over 1989-1993 had challenged various demand notices; a cumulative outstanding sum (principal plus surcharge) of about Rs. 98.56 lakh was compromised via a 2010 One Time Settlement circular, under which the consumer paid Rs. 20,46,588.49 principal in instalments and the licensee waived Rs. 78,09,444.07 of surcharge; years later the consumer sought a separate refund for a 10% development rebate denied for October 1986-May 1988.

DISPOSITION Writ petition dismissed with Rs. 10,000 costs

SCJ-159 Pashchimanchal Vidyut Vitran Nigam Ltd. v. Permanent Lok Adalat, Moradabad &

All HC 2018

Anr. Legal Services Act §22-C(8)

ratio 1 of 2

2018 SCC OnLine All 6208

ISSUE

After conciliation fails, can a Permanent Lok Adalat adjudicate an electricity-theft dispute on merits because theft is compoundable?

RATIO

No. The first proviso to s.22-C(1) preserves only conciliatory jurisdiction (ousted only for non-compoundable offences), so the PLA could conciliate the theft dispute. But once conciliation fails, adjudicatory jurisdiction under s.22-C(8) does not arise if the dispute 'relates to an offence', and — in contrast to the first proviso — compoundability is irrelevant under s.22-C(8). The award adjudicating the dispute was therefore without jurisdiction and a nullity, and is quashed.

DISPOSITION Writ petition allowed; the Permanent Lok Adalat's award quashed as without jurisdiction

SCJ-181 Amrita Arya v. Uttar Pradesh Power Corporation Ltd. & 2 Ors.

Electricity Act 2003 §42

All HC 2018

2018 SCC OnLine All 302

ISSUE

Can a consumer contesting liability before the CGRF simultaneously obtain a writ directing the licensee to accept payment and restore supply?

RATIO

No. A consumer who is contesting her liability before the CGRF cannot simultaneously seek a mandamus to pay the recovery and restore supply — the two are inconsistent, and a litigant cannot avail two remedies simultaneously for the same cause. The writ was not entertained; but if the consumer tenders the amount, the Executive Engineer may accept it and pass an appropriate order under the Code.

ON THE FACTS Complaint No. 304 of 2017 about an inflated bill pending before the CGRF; an earlier writ dismissed for simultaneous remedies and another directing the CGRF to decide within three months; nothing showing waiver of the Forum remedy.

DISPOSITION Writ petition not entertained; consigned to record

SCJ-215 Vikas Gupta & Another v. State of U.P. & 2 Others

Electricity Act 2003 §127

All HC 2018

2018 SCC OnLine All 3174

ISSUE

Should the writ court decide a disputed question of service of the assessment notice, or is that for the s.127 appeal?

RATIO

The disputed question of service of notice depends on facts more appropriately dealt with in a s.127 appeal against the final assessments; and instalments, if desired, are for the Executive Engineer under Clause 6.14. Given these alternative remedies, the writ was dismissed with liberty to avail them.

ON THE FACTS Two checkings (7.9.2017, 19.1.2018) alleged theft; provisional assessments treated as final for want of objection; demand notices sent by registered post; consumer alleged non-service.

DISPOSITION Writ petition dismissed on the ground of alternative remedy

SCJ-043 Kisan Cold Storage & Ice Factory v. Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. (Full Bench reference)

Electricity Act 2003 §42

ratio 1 of 2

All HC 2019

AIR 2019 Allahabad 79; AIRONLINE 2019 ALL 1646; (2019) 4 ADJ 565

ISSUE

Can a Regulation framed under Section 181 give a Distribution Licensee (in addition to the consumer) a remedy of representation to the Electricity Ombudsman against an order of the Consumer Grievance Redressal Forum?

RATIO

No. Section 42(5) constitutes the Forum for redressal of consumer grievances; Section 42(6) gives only a 'consumer' aggrieved by non-redressal the right to represent to the Ombudsman; Section 42(7) requires the Ombudsman to settle 'the grievance of the consumer'. The Act and Rule 7 of the Electricity Rules, 2005 nowhere contemplate a grievance-redressal remedy for the Distribution Licensee. Regulation 8.1(i) of the 2007 Regulations, in extending the Ombudsman remedy to the Distribution Licensee as well, is inconsistent with and therefore ultra vires Section 42(5)-(7) and Section 181(1) (regulations must be consistent with the Act); a statutory right of appeal/representation must be found in the statute itself, not manufactured by subordinate regulation.

ON THE FACTS A Division Bench referred a conflict between Jindal Poly Films Ltd. (DB, 2011, upholding Regulation 8.1(i) as intra vires) and two Single-Judge decisions (Dakshinanchal Vidyut Vitran Nigam v. Vidyut Lokpal; Pachimanchal Vidyut Vitran Nigam v. Electricity Ombudsman) to a Full Bench.

DISPOSITION Reference answered; special appeal remitted to the Division Bench for decision in light of the answers

SCJ-217 Veerendra Kumar Jain v. State of U.P. & Others

Supply Code 2005 §7.10

All HC 2019

2019 SCC OnLine All 3289

ISSUE

Should the writ court adjudicate a complaint of two simultaneous bills, or is it for the Clause 7.10 forum?

RATIO

It is for the Clause 7.10 forum. The consumer is relegated to the CGRF/Ombudsman under Clause 7.10 (the forum being noted on the bill), his application to be decided on merits within 45 days; the interim order continues until then.

ON THE FACTS Two bills raised simultaneously for one connection (No. 068335).

DISPOSITION Writ petition disposed of; consumer relegated to the Clause 7.10 CGRF/Ombudsman remedy

SCJ-209 Abdul Aji v. State of U.P. & Others

Electricity Act 2003 §127

All HC 2020

2020 SCC OnLine All 538

ISSUE

(Listing) Does depositing the amount prescribed under the Supply Code satisfy the s.127(2) requirement of depositing half the assessed amount to maintain a s.127 appeal?

RATIO

Not decided. The appeal had been rejected below for non-deposit of half the assessed amount under s.127(2); the petitioner claimed to have deposited the Code-prescribed amount. The Court merely listed the matter and directed affidavits, expressing no view on the point.

DISPOSITION Listing order — matter listed for hearing; affidavits to be filed

SCJ-222 Daya Nand Sharma v. State of U.P. & Others

Contempt

ratio 2 of 2

All HC 2022

2022 SCC OnLine All 598

ISSUE

Special appeal lies where a contempt court exercises writ-court powers beyond the writ order

RATIO

A special appeal is maintainable, notwithstanding that no punishment order was passed, where the contempt court issues a direction in the nature of the exercise of writ-court powers, even beyond the scope of the order passed by the writ court.

DISPOSITION Interim order — contempt-court direction and contempt proceedings stayed

L. Writ & Public-Law Doctrines

12 RATIOS · 12 JUDGMENTS

SCJ-095 Om Prakash s/o Gauri Shankar v. Dakshinanchal Vidyut Vitran Nigam Ltd. &

All HC 2006

Ors.

off-topic

ratio 2 of 2

2006 (4) AWC 3445

ISSUE

A writ court has no jurisdiction to grant interim protection for the interregnum once a petition is dismissed as withdrawn or the party is relegated to another forum, since Article 226 interim relief is only ancillary to a final relief obtainable on merits in a proceeding still pending before that court

RATIO

Following the Constitution Bench in *State of Orissa v. Madan Gopal Rungta* (and its consistent subsequent approval), the Court held it lacks jurisdiction to grant interim relief (such as a stay of recovery) for the period during which a petitioner intends to approach the Clause-based Supply Code authority, once the writ petition itself has been dismissed as withdrawn; interim relief under Article 226 can only be granted as ancillary to final relief in a matter still pending before the court on merits.

DISPOSITION Writ petition dismissed as withdrawn; prayer for interim protection during the interregnum rejected

SCJ-078 Mahendra Pratap Singh v. State of U.P.

off-topic

All HC 2011

ISSUE

Bare adjournment order with no substantive content

RATIO

The order merely records that a counter affidavit filed by the complainant's counsel was taken on record and lists the bail application for a future date (19.4.2011); it contains no reasoning, holding, or discussion of any Supply Code or Electricity Act provision.

DISPOSITION Listed for a future date (adjournment order; no substantive order passed)

SCJ-049 M.D., Pakshimanchal Vidyut Vitran Nigam Ltd. v. Electricity Ombudsman &

All HC 2012

Anr.

off-topic

ratio 2 of 3

ISSUE

Jurisdiction of a tribunal of limited/statutory jurisdiction cannot be conferred by consent, acquiescence, or an unreasoned prior order

RATIO

A tribunal or forum of limited/statutory jurisdiction cannot derive jurisdiction beyond the statute; no acquiescence, consent, or waiver can confer it, and a defect of jurisdiction cannot be cured even by consent, rendering any resulting order a nullity.

DISPOSITION Writ petition allowed; CGRF and Ombudsman proceedings quashed as without jurisdiction (liberty to pursue the Section 126/127 remedy)

SCJ-051 M/S Beeco Electrical India & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. &

All HC 2012

Ors.

off-topic

ratio 3 of 3

2012 AIR CC 3143 (All); (2012) 6 ADJ 622

ISSUE

A plea of mala fide cannot be entertained unless the official against whom it is alleged is impleaded eo nomine

RATIO

It is settled law that a plea of mala fide/bias against a named official cannot be entertained unless that official is impleaded eo nomine and given an opportunity to meet the allegation; the petitioner's mala fide plea failed for want of such impleadment.

DISPOSITION Writ petition dismissed (assessment upheld on merits despite the availability of the s.127 alternative remedy)

SCJ-029 Gaya Prasad v. State of U.P. & Others

off-topic

All HC 2013

ISSUE

Empty listing order

RATIO

At the petitioner's request the case was passed over for the day and listed in the next cause list; nothing was decided.

DISPOSITION Listing order (case passed over for the day)

SCJ-107 Rajesh & Others v. State of U.P. & Another

off-topic

All HC 2014

ISSUE

Bare adjournment order with no substantive content

RATIO

The order merely records that the applicant's counsel is reported dead, grants an opportunity to engage new counsel, and lists the matter after one month; it contains no reasoning, holding, or discussion of any Supply Code or Electricity Act provision.

DISPOSITION Listed for a future date (adjournment order; no substantive order passed)

SCJ-146 Vinod Kumar Kanaujiya v. State of U.P.

off-topic

All HC 2014

ISSUE

Procedural adjournment of a bail application at the applicant's request, with no substantive content

RATIO

"As prayed by learned counsel for the applicant, list after one month." No reasons, facts, or legal determination of any kind are recorded.

ON THE FACTS None disclosed on the face of the order beyond the case caption (a criminal bail application).

DISPOSITION Matter adjourned; listed after one month, no substantive order

SCJ-148 Vinod Kumar Singh v. State of U.P. Thru' Secy. Cooperative & 5 Ors.

off-topic

All HC 2014

ISSUE

Dismissal of a decade-old writ petition for want of prosecution when no one appeared for the petitioner

RATIO

"None responds for the petitioner to press this writ petition. The writ petition is quite old and pertains to the year 2003. Accordingly, the writ petition is dismissed for want of prosecution. Interim order, if any, stands vacated." No facts or legal determination beyond this are recorded.

ON THE FACTS None disclosed on the face of the order beyond the case caption (State of U.P. Thru' Secy. Cooperative & 5 Ors. as respondents, suggesting the matter may not have had a direct electricity-law subject matter).

DISPOSITION Writ petition dismissed for want of prosecution; interim order vacated

SCJ-149 Vinod Kumar Singh v. State of U.P. & 2 Ors.

off-topic

All HC 2014

ISSUE

Relisting of a criminal revision/appeal petition before the appropriate court after counsel confirmed the matter had not become infructuous

RATIO

"Learned counsel for the petitioner states that the matter has not become infructuous. List in the next cause list before the appropriate court. Till the next date of listing, interim order, if any, shall continue." No facts or legal determination beyond this are recorded.

ON THE FACTS None disclosed on the face of the order; no electricity-law subject matter apparent from the caption or text.

DISPOSITION Matter listed before appropriate court; interim order to continue till next listing

SCJ-150 Vinod Kumar v. State of U.P. & Another

off-topic

All HC 2014

ISSUE

Adjournment of an application for early listing of a second bail application, pending preparation of the paper book

RATIO

"Learned counsel for the applicant states that the applicant/appellant is suffering for illness. Learned AGA shall seek necessary instructions... The paper book is stated to have not been prepared till date. List this matter after two weeks." No facts or legal determination beyond this are recorded.

ON THE FACTS None disclosed on the face of the order beyond the case caption; no electricity-law subject matter apparent.

DISPOSITION Matter listed after two weeks for early hearing of second bail application; no substantive order

SCJ-025 Executive Engineer, Electricity Distribution Division-II v. State of U.P. & 2 Others

Tort

ratio 2 of 2

All HC 2018

ISSUE

Assessment of damages for electrocution disability

RATIO

Damages for loss of limb/life flow from tort principles (restitutio in integrum); the Permanent Lok Adalat rightly took guidance from the Motor Vehicles Act, 1988 second schedule / multiplier method to compute compensation for a 100% disability, and ~Rs. 21 lakh was not excessive. A departmental circular capping compensation at Rs. 2 lakh binds the Corporation's officials but not the court.

DISPOSITION Writ petition dismissed (Permanent Lok Adalat award of ~Rs. 21 lakh upheld)

SCJ-068 M/S Three Star Paper Mills Pvt. Ltd. v. State of U.P. & 5 Ors.

off-topic

ratio 2 of 2

All HC 2018

ISSUE

A consumer who did not timely challenge withdrawal of a benefit cannot invoke a later favourable judgment obtained by other litigants more than two decades afterward

RATIO

Those who were vigilant and raised their dispute in time are entitled to the benefit of a subsequent favourable judgment (here, Pawan Alloys, 1997, on promissory estoppel for a development rebate); a consumer who accepted withdrawal of the rebate without protest, and made no claim until a year after the judgment (1998) and pursued it in this writ only decades later, is guilty of extraordinary delay and laches disentitling equitable relief under Article 226, irrespective of being similarly situated to successful litigants.

DISPOSITION Writ petition dismissed with Rs. 10,000 costs

M. Adjacent Electricity-Law Matters

13 RATIOS · 13 JUDGMENTS

SCJ-091 Naresh Kumar Madan v. State of Madhya Pradesh

off-topic

SC 2007

AIR 2008 SC 385

ISSUE

An Electricity Board employee is a 'public servant' under the Prevention of Corruption Act, 1988 independently of the 1948 Act's IPC-specific deeming provision, since the Board is a statutory corporation within s.2(1)(c)(iii) of the 1988 Act

RATIO

A term defined in one statute cannot be construed solely by reference to its definition in a different statute; s.81 of the Electricity (Supply) Act, 1948 deems Board employees 'public servants' only for purposes of s.21 IPC, but that does not exhaust the question of their status under the differently-and-more-broadly-worded 'public servant' definition in s.2(1)(c) of the Prevention of Corruption Act, 1988, which independently captures any person in the service or pay of a corporation established by or under a Central, Provincial or State Act. The appellant, a Board employee, therefore answered the description of 'public servant' under the 1988 Act, and his prosecution for taking illegal gratification in connection with grant of an electrical connection was maintainable. The single-judge decision in Bimal Kumar Gupta v. Special Police Establishment Lokayukt holding otherwise was overruled as not laying down the correct law.

DISPOSITION Appeal dismissed; prosecution under the Prevention of Corruption Act, 1988 upheld

SCJ-093 North Delhi Power Ltd. v. Govt. of N.C.T. of Delhi & Ors. (with BSES Rajdhani Power Ltd. v. Govt. of N.C.T. of Delhi & Anr.)

off-topic

SC 2010

AIR 2010 SC 2302

ISSUE

Successor DISCOM liability for pension/terminal-benefit claims of Delhi Vidyut Board employees who had already retired/been dismissed before unbundling — an employer-succession dispute among privatised distribution companies, unrelated to consumer billing/Supply Code

RATIO

Rule 6 of the Transfer Scheme Rules, 2001 is a complete, self-contained code governing 'personnel and personnel-related matters' (Rule 3(2)), broad enough to cover retired, dismissed, and deceased employees, not merely those formally on the transfer list; under Rule 6(8), the relevant successor DISCOM stands substituted for the Board for all statutory/employment-related schemes including pension and superannuation funds for 'existing pensioners'. The litigation-liability cap in Rule 8(3) (Rs. 1 crore per annum per DISCOM) applies equally to personnel-related claims, not only third-party/consumer litigation. The successor DISCOMs (NDPL, BSES Rajdhani) were accordingly held liable for the pension/terminal-benefit claims of pre-unbundling retirees/dismissed employees of the erstwhile DVB, subject to the Rule 8(3) cap.

DISPOSITION Appeals dismissed; successor distribution companies held liable for retired/terminated Delhi Vidyut Board employees' pension/terminal benefits

SCJ-106 PTC India Ltd. v. Central Electricity Regulatory Commission, thr. Secy. (and connected appeals)

off-topic

SC 2010

AIR 2010 SC 1338; (2010) 4 SCC 603

ISSUE

APTEL has no jurisdiction under s.111 to decide the vires of CERC Regulations made under s.178 (a delegated-legislation function reviewable only via Article 226); s.121 does not confer judicial-review power on APTEL; CERC was empowered under the residuary s.178(1)/(2)(ze) to cap electricity-trading margins by Regulation

RATIO

(i) Section 178 (CERC's regulation-making power) is wider than the enumerated Order/decision-making functions under s.79(1). (ii) A s.178 Regulation, as delegated legislation, intervenes in and can override existing contracts between regulated entities. (iii) Because a s.178 Regulation is delegated legislation, its validity can be tested only by judicial review before the courts (Article 226), not by appeal to APTEL under s.111. (iv) Section 121 does not confer a power of judicial review on APTEL — the words 'orders', 'instructions', or 'directions' therein do not extend to invalidating subordinate legislation. (v) Where a dispute concerns the interpretation (not the validity) of a s.178 Regulation, an appeal lies to APTEL under s.111, but no appeal lies on the Regulation's validity. (vi) Applying the 'generality versus enumeration' principle, CERC was empowered, under the residuary s.178(1) read with s.178(2)(ze), to cap trading margins in inter-State electricity trading by Regulation. The reference was accordingly answered: APTEL has no jurisdiction to decide the validity of CERC Regulations framed under s.178; such validity may only be challenged by judicial review under Article 226. All appeals dismissed.

DISPOSITION Appeals dismissed; reference answered against the appellants

SCJ-073 M/S NTPC Ltd. v. M.P. State Electricity Board & Ors. (with connected appeals)

off-topic

SC 2011

Civil Appeal Nos. 2451, 2452, 2493, 3972 & 4231 of 2007

ISSUE

Section 62(6) interest does not extend to the interim/provisional tariff period pending final determination, absent an express regulation; equity/restitution principles do not independently justify interest absent any statutory, contractual, or customary basis

RATIO

Section 62(6) only prohibits recovery of a price 'exceeding the tariff determined under this section' — it does not address the interim period during which tariff determination is pending, nor deem a subsequently-reduced final tariff to retroactively convert prior lawful interim charges into 'excess' charges attracting interest. CERC's 2006 Regulation 5A (providing simple interest on provisional-vs-final tariff differentials) could not apply retrospectively to the 2001-2004 period in issue. The Appellate Tribunal erred in awarding interest on equity/justice/fair-play grounds, since there was no contractual, statutory, or regulatory basis for interest, no industry practice of paying it, and no finding that the generating company had coercively or unjustly extracted the interim tariff (which was charged strictly per the Commission's own continuing notifications).

ON THE FACTS The Central Electricity Regulatory Commission determined final tariffs (in 2005-2006) for NTPC's power supply to state Electricity Boards for the period 2001-2004 at rates lower than the interim tariff continued by the Commission's own notifications pending determination; NTPC promptly adjusted the resulting excess in subsequent bills, but the Boards claimed interest on the differential for the intervening years.

DISPOSITION NTPC's appeals allowed; Electricity Boards' appeals dismissed (no interest on the tariff-determination differential)

SCJ-141 V.S. Achuthanandan v. R. Balakrishna Pillai & Ors.

off-topic

SC 2011

ISSUE

The Minister for Electricity's persistent interference in a State Electricity Board's tender/contract-award process for a hydroelectric project (steering the contract to a favoured, unqualified late tenderer at 162-188% above the estimated rate, disadvantaging lower and more experienced tenderers) sustains criminal breach-of-trust and corruption convictions, notwithstanding the Board's formal 'collective decision' framing and the absence of direct evidence of personal monetary benefit to the Minister

RATIO

Reversing the High Court's acquittal and restoring (with a moderated sentence, given nearly two decades' delay) the Special Court's conviction of the Minister (A1), a contractor's associate (A3) and a Board Member (A6), the Supreme Court held that s.78A of the Electricity (Supply) Act, 1948 confines the State Government's role to policy directions, not operational contract-award decisions; extensive witness evidence (of disadvantaged/excluded tenderers) established that the Minister pre-selected the eventual contractor before he even submitted a tender, procedurally manipulated the tendering timeline (repeated tender cancellations/re-invitations, selective notice to favoured tenderers, denial of a hearing opportunity to a disqualified rival tenderer) to eliminate more competitive bids, and rebuffed workers'/lower-cost alternatives, resulting in contracts awarded at 162-188% above the estimated rate with special conditions heavily favouring the contractor; the Board's 'collective decision' framing did not exculpate the accused given the absence of genuine deliberation (minutes dictated by the Chairman) and documented internal objections (Financial Adviser, Law Secretary) that were disregarded. An Appellate Court reviewing an acquittal has full power to reappraise evidence, subject to the double presumption of innocence, but need not defer to a High Court's contrary conclusion where that conclusion is not borne out by the evidence.

ON THE FACTS The Idamalayar Hydro Electric Power Project (Kerala) developed leaks/cracks in 1985 necessitating extensive remedial works; the underlying power-tunnel and surge-shaft construction contracts (1982) had been awarded, after prolonged tendering irregularities during R. Balakrishna Pillai's (A1) tenure as Minister for Electricity, to K.P. Poulose (A4, since deceased) at 188% and 162% above the Probable Amount of Contract respectively; a judicial Commission of Inquiry (1988) recommended criminal investigation; trial resulted in conviction (1999), reversed by the Kerala High Court (2003) and challenged by the original public-interest objector before the Supreme Court.

DISPOSITION Appeal allowed in part; High Court's acquittal reversed, convictions of A1, A3 and A6 restored (sentence moderated to 1 year RI plus fine given two decades' delay)

SCJ-097 Orissa Power Transmission Corporation Ltd. & Ors. v. Asian School of Business Management Trust & Ors.

off-topic

SC 2013

ISSUE

A subsequent land purchaser who neither made nor inherited a timely representation against a validly-published transmission scheme cannot belatedly seek re-alignment of an already-substantially-executed scheme; parallel pursuit of a civil suit and writ petition for the same relief is an abuse of process

RATIO

The scheme (notified 1991, modified 1996) was validly published under ss.28/29 with full technical details available for inspection as specified; since neither the original landowner nor the respondent trust (which purchased the land and built on it 14+ years after publication) made any representation within the statutory window, they had no locus to belatedly challenge the scheme or seek re-alignment after ~150 towers had already been erected at a cost of over Rs. 14 crore. The Division Bench of the High Court erred in ordering re-alignment, having overlooked that the respondent stepped into the shoes of a party with no grievance, and in applying a half-baked feasibility analysis over the appellants' unrebutted technical objections. Additionally, pursuing a civil suit for injunction in parallel with two successive writ petitions seeking substantially the same relief, and withdrawing the suit only once the writ appeal was entertained, constituted an abuse of process; the second writ petition should have been dismissed on this ground, distinguishing S.J.S. Business Enterprises (which involved a suit withdrawn early, not maintained in parallel through appeal).

DISPOSITION Appeal allowed; High Court Division Bench judgment set aside, Writ Petition No. 20659/2009 dismissed with costs of Rs. 10 lakh against the respondent

SCJ-062 M/S Pashupati Castings Ltd. & Ors. v. State of U.P. & Ors. (batch of ~85 connected writ petitions)

All HC 2014

off-topic

ISSUE

Validity of electricity duty on 'rate of charge' (including demand charge) under the U.P. Electricity Duty Act, 1952

RATIO

The Court rejected the challenge to the notification dated 13.9.2012 levying electricity duty on the 'rate of charge' (including demand charges, not merely energy/consumption charges) and to the vires of Section 3(2) of the U.P. Electricity Duty Act, 1952 against Entry 53, List II of the Seventh Schedule; all ~85 connected writ petitions were dismissed.

ON THE FACTS A batch of industrial/commercial consumers (steel, paper, cold storage, and other units) challenged a State notification increasing electricity duty (allegedly up to 500%) and its extension to demand charges, seeking a declaration that Section 3(2) of the 1952 Act was ultra vires and a refund of duty collected.

DISPOSITION Writ petitions dismissed

SCJ-074 M/S Sesa Sterlite Ltd. v. Orissa Electricity Regulatory Commission & Ors.

off-topic

SC 2014

Civil Appeal No. 5479 of 2013

ISSUE

A single-unit SEZ developer deemed a distribution licensee under s.14(b) remains liable, as a 'consumer', to pay Cross Subsidy Surcharge to the area distribution licensee when procuring its entire power for captive use from another generator

RATIO

The deeming fiction in the proviso to Section 14(b) (SEZ developer = deemed distribution licensee) presupposes actual distribution of power to others; it cannot be stretched to exempt a developer who establishes an SEZ solely for its own single unit and consumes the entire power itself, from CSS liability as a 'consumer' under Section 2(15). CSS compensates the area distribution licensee for the loss of cross-subsidy revenue when a consumer situated in its area procures power from elsewhere via open access, regardless of whether the licensee's own line is physically used, and applies whether or not the deemed-licensee status is held. The appellant's transmission line was found (on the facts) not to be a 'dedicated transmission line' exempting it from this liability. The appeal was dismissed.

ON THE FACTS The appellant, an aluminium-smelter developer in a single-unit SEZ (VAL-SEZ) within WESCO's area of supply, entered a power purchase agreement with a sister generating company (Sterlite) for its entire captive power requirement and sought exemption from CSS on the strength of a Section 14(b) deemed-distribution-licensee notification for SEZ developers; the State Commission and Appellate Tribunal held it liable to pay CSS as a consumer.

DISPOSITION Appeal dismissed; the appellant SEZ developer held liable to pay Cross Subsidy Surcharge (CSS) to WESCO

SCJ-130 State of Gujarat & Ors. v. Utility Users' Welfare Association & Ors.

off-topic

SC 2018

(2018) 6 SCC 21

ISSUE

Must the Chairperson of a State Electricity Regulatory Commission under s.84(2) of the Electricity Act, 2003 be a sitting/former High Court Judge, given the word 'may' in the provision and the SERC's quasi-judicial dispute-adjudication function under s.86(1)(f)?

RATIO

No, s.84(2) is only an enabling provision permitting (not requiring) appointment of a Judge as Chairperson. But because the SERC discharges adjudicatory functions (chiefly under s.86(1)(f), adjudicating licensee-generating-company disputes) with civil-court-like powers under ss.94-96 and thus has the 'trappings of a court' (following the Constitution Bench's basic-structure reasoning in *Madras Bar Association v. Union of India* on separation of powers, rule of law, and judicial review), it is mandatory that the Commission include, as a Member, a person who is or has been holding judicial office or who possesses professional legal qualifications with substantial practice experience sufficient to qualify for appointment as a High Court or District Judge; and any Bench exercising adjudicatory functions must include such a legally-qualified Member. Prospective operation was directed (no disturbance of past Commission orders); vacancies must prospectively be filled to satisfy this requirement. The Tamil Nadu State Commission's specific appointments and its suo motu tariff-revision exercise were separately upheld on the facts (no established financial-bias disqualification under *Rajesh Awasthi/Mor Modern Cooperative Transport Society*).

ON THE FACTS Consolidated appeals/transfer petitions arising from conflicting Madras and Gujarat High Court rulings on whether s.84(2) mandates a judicial Chairperson for SERCs; the Union of India and several State Commissions argued for a purely enabling reading (functions being largely technical/tariff-related), while consumer/activist interveners and the Gujarat High Court's view favoured a mandatory judicial-mind requirement given the Commission's adjudicatory powers.

DISPOSITION Appeals and transferred cases disposed of per the conclusions below; challenge to Tamil Nadu State Commission appointments and suo motu tariff revision rejected; parties to bear own costs

SCJ-043 Kisan Cold Storage & Ice Factory v. Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. (Full Bench reference)

off-topic

ratio 2 of 2

All HC 2019

AIR 2019 Allahabad 79; AIRONLINE 2019 ALL 1646; (2019) 4 ADJ 565

ISSUE

Jindal Poly Films Ltd. overruled

RATIO

The Division Bench in *Jindal Poly Films Ltd. v. U.P. Electricity Regulatory Commission* (15.4.2011) upheld Regulation 8.1(i) as intra vires on a general assertion that the Act should be read as a whole rather than section by section, without specifically engaging Section 42(5)-(7); that reasoning does not lay down the correct principle of law and is overruled.

DISPOSITION Reference answered; special appeal remitted to the Division Bench for decision in light of the answers

SCJ-077 Maharashtra State Electricity Distribution Co. Ltd. v. Maharashtra Electricity Regulatory Commission & Ors.

off-topic

SC 2021

Civil Appeal No. 1843 of 2021

ISSUE

RBI's replacement of PLR with Base Rate/MCLR did not entitle the distribution company to recompute LPS at the new (lower) rate, given concurrent factual findings and the company's own prior acceptance of invoices

RATIO

The Supreme Court declined to disturb the concurrent findings of MERC and APTEL rejecting the distribution company's claim that the RBI's introduction of the Base Rate (2010) and MCLR (2016) systems, replacing the PLR methodology, constituted a 'Change in Law' under the Power Purchase Agreements entitling it to pay Late Payment Surcharge at the lower Base Rate/MCLR-linked rate instead of the PLR-based SBAR rate defined in the agreements; the distribution company had accepted and reconciled the invoiced LPS without dispute for years, and could not introduce fresh material in a second appeal under Section 125 not tendered before the regulatory authorities below.

ON THE FACTS The distribution company (MSEDCL) sought retrospective recalculation of Late Payment Surcharge payable to several independent power producers under Power Purchase Agreements, relying on RBI notifications replacing the PLR benchmark with the Base Rate (2010) and then MCLR (2016) systems as a 'Change in Law'.

DISPOSITION Appeal dismissed; concurrent MERC/APTEL findings against the distribution company affirmed

SCJ-056 M/S Jindal Steel & Power Ltd. v. Chhattisgarh State Electricity Regulatory Commission & Ors. SC 2022 off-topic

Civil Appeal Nos. 3607-3610 of 2008, with C.A. Nos. 4104-4107 of 2008

ISSUE

Distribution licence grant/cancellation; minimum-area Explanation is a guideline, not a rigid bar, on these unusual facts; penalty requires a hearing

RATIO

The Supreme Court restored a distribution licence earlier granted to JSPL (a captive-power-plant owner, governed by s.9 not s.10 of the Act) to supply a private industrial estate it had itself developed under a State Government MoU/permission predating the 2003 Act's full commencement and the 2005 Rules. The Appellate Tribunal had wrongly treated the Explanation to Rule 3 (minimum area of supply = a municipal area or revenue district) as an inflexible bar to a second/parallel licence in a smaller area; the Court held the historical background — investment made, the State's own power shortage, CSEB's admitted inability to supply the area, and long-term supply contracts already in place before the Rules existed — justified treating the case as an exception, and estoppel/vested-rights principles militated against retrospectively invalidating the licence. Separately, the Commission's Rs. 1 lakh penalty under s.142 for supplying without a licence was rightly set aside by the Tribunal for want of a hearing, since the licensing proceeding itself never framed the question of JSPL's liability to penalty.

ON THE FACTS JSPL, a captive power plant, supplied electricity from 1.3.2004 to industries in a private industrial estate it had developed with State Government concurrence predating the 2003 Act's full force; the State Electricity Regulatory Commission granted it a distribution licence in 2005 for two villages, which the Appellate Tribunal cancelled in 2008 (applying the 'minimum area' Explanation to Rule 3), disrupting supply to ~30 industries and ~4000 employees.

DISPOSITION Appeals allowed; Appellate Tribunal's order cancelling JSPL's distribution licence set aside (licence restored)

SCJ-110 Ramayana Ispat Pvt. Ltd. & Anr. v. State of Rajasthan & Ors. (with connected appeals) SC 2025 off-topic

2025 INSC 424

ISSUE

State Electricity Regulatory Commissions retain jurisdiction to regulate the intra-state aspects of open access (including deviation penalties and advance-scheduling requirements for captive power plants and inter-state consumers) even where the power originates outside the state; such regulatory measures are not ultra vires or unreasonable restrictions on the statutory open-access right

RATIO

The Court held: (i) RERC had jurisdiction to regulate the intra-state aspects of open access transactions under ss.42(2)/(3), 86(1)(c) and 181 of the Act of 2003, notwithstanding that the power might originate from outside Rajasthan or that CERC has jurisdiction under s.79(1)(c) over inter-state transmission — the key determinant is delivery/consumption within the state's intra-state grid, not the power's source; (ii) penalties under Regulation 21 for deviation/under-injection by captive power plants are a legitimate, uniformly-applied grid-discipline measure serving the Act's objectives (preventing gaming, ensuring frequency stability), not a discriminatory or unreasonable restriction on the s.9(1) proviso right to captive generation; (iii) Regulation 26(7)'s 24-hour advance-notice requirement for short-term inter-state open access is a reasonable procedural safeguard for grid stability and scheduling discipline, not an ultra vires or arbitrary barrier to open access, particularly since real-time/day-ahead market alternatives remain available for urgent procurement; and (iv) courts must exercise judicial restraint and defer to specialized regulatory commissions' technical/economic determinations, interfering only where a regulation is shown to be wholly irrational, ultra vires the parent statute, or violative of fundamental rights. All three appeals were accordingly dismissed and the High Court judgments upholding the Regulations of 2016 affirmed.

DISPOSITION Appeals dismissed; validity of the Rajasthan Regulations of 2016 upheld

N. Off-topic / Mis-indexed (recorded for completeness)

17 RATIOS · 17 JUDGMENTS

SCJ-233 Rishipal v. State of U.P.

off-topic

All HC 2005

2005 SCC OnLine All 576 : (2005) 53 ACC 104 (1) : (2005) 34 AIC 450 (All)

ISSUE

Not an electricity-law matter.

RATIO

Bail application under s.376 IPC rejected on the facts; no Supply Code or Electricity Act issue arises. File mis-indexed into the electricity corpus.

ON THE FACTS Rape prosecution; bail stage; no electricity connection, assessment, or Supply Code provision involved.

DISPOSITION Bail application rejected

SCJ-018 Dipali Dey (Baxi) v. Mira Das

off-topic

SC 2009

ISSUE

Restoration of a tenant's electric supply by civil injunction

RATIO

Where a tenant in possession has had supply disconnected by the landlord, the civil court may by injunction direct restoration pending the tenancy suit; the High Court should not interfere with such concurrent orders under Article 227. The tenancy dispute abides the trial.

DISPOSITION Appeal allowed (courts-below injunction restoring supply restored; HC order set aside)

SCJ-055 M/S Hind Industries Limited v. State of U.P. & Ors.

off-topic

ratio 3 of 3

All HC 2011

ISSUE

Nine-year evasion of a lawful assessment, including grant of a fresh connection without full payment, warranted a departmental inquiry

RATIO

Where the record showed apparent collusion between the consumer and the licensee's officers — a modification application concealed as 'pending' when it had in fact been decided over a year earlier, and a fresh connection released to a nine-year defaulter on a bank guarantee rather than full payment — the Court, while dismissing the writ petition as an abuse of process, directed the Principal Secretary (Energy) to hold a detailed inquiry into the officers' and the petitioner's conduct and take consequential action against those responsible.

DISPOSITION Writ petition dismissed with directions (interest at not less than bank rate; departmental inquiry directed)

SCJ-024 Dr. Vinod Kumar Bassi v. The State of U.P. & Anr.

off-topic

All HC 2014

ISSUE

Interlocutory stay in a s.482 complaint-quashing petition

RATIO

On the applicant's contention that the complaint was proceeded with without the Section 202(1) Cr.P.C. enquiry (applicant residing in Lucknow, complaint filed in Hardoi), notice was ordered and further proceedings stayed till the next date. No merits were decided.

DISPOSITION Interlocutory order (notice issued; further proceedings stayed till next date)

SCJ-079 Maniram v. State of U.P.

off-topic

All HC 2014

ISSUE

Criminal appeal against conviction under IPC ss.498-A/304-B and Dowry Prohibition Act ss.3/4 — no Supply Code nexus

RATIO

The Court set aside the s.304-B conviction for want of proximate-in-time cruelty evidence ('soon before her death'), citing *Satvir Singh v. State of Punjab*, *Hira Lal v. State (NCT of Delhi)*, and *Mustafa Shahadal Shaikh v. State of Maharashtra*, while maintaining the convictions under s.498-A IPC and ss.3/4 of the Dowry Prohibition Act, modifying sentences for two of the three appellants.

DISPOSITION Appeals partly allowed; conviction under s.304-B IPC set aside, convictions under s.498-A IPC and ss.3/4 Dowry Prohibition Act maintained with modified sentences for two of three appellants

SCJ-080 Manno Singh v. State of U.P. & Others

off-topic

All HC 2014

ISSUE

Family pension dispute between two wives of a deceased municipal employee — no Supply Code content; cites electricity-board pension cases only as general persuasive analogues

RATIO

The second marriage, contracted after the Hindu Marriage Act, 1955 came into force, was null and void; the second wife does not fall within the definition of 'family' under Regulation 2(f), and a nomination in her favour cannot defeat the legally wedded first wife's entitlement to family pension under Regulation 7.

DISPOSITION Writ petition allowed; family pension directed to be paid to the first (legally wedded) wife

SCJ-118 Shiv Murti Yadav v. State of U.P. & 6 Others

off-topic

All HC 2014

ISSUE

Criminal revision against dismissal of a s.156(3) Cr.P.C. application over a forged-consent tree-felling dispute between land co-sharers — no Supply Code nexus

RATIO

The revisional court's jurisdiction is narrower than appellate jurisdiction, warranting interference only for gross error, non-compliance with law, unsupported findings, or perverse exercise of discretion; finding none of these, and noting the proper remedy for police inaction on an FIR is a complaint before the Magistrate (not a writ or revision), the revision was dismissed.

DISPOSITION Revision dismissed

SCJ-140 Usha Devi (Smt.) v. State of U.P. & 2 Others

off-topic

All HC 2014

ISSUE

A report submitted by an officer not validly appointed as 'Enquiry Officer' under Rule 2(c) of the 1997 Rules (and not a District-Level Officer) cannot constitute a valid preliminary enquiry report for ceasing a Gram Pradhan's financial and administrative powers under the proviso to s.95(1)(g)

RATIO

The District Magistrate's order was quashed. Applying the Full Bench ruling in Vivekanand Yadav v. State of U.P., a valid preliminary enquiry report for purposes of ceasing a Pradhan's powers under the proviso to s.95(1)(g) must be submitted either by the District Magistrate himself or by a person appointed and qualifying as 'Enquiry Officer' under Rule 2(c) of the 1997 Rules (ordinarily a District-Level Officer). Here, the officer (Assistant Director, Savings) who submitted the report relied upon by the District Magistrate was never validly appointed as Enquiry Officer (the only such appointment, of the District Savings Officer, never resulted in a submitted report) and did not, in any event, qualify as a District-Level Officer under Rule 2(c); his report was accordingly not a valid basis for the impugned order.

ON THE FACTS The petitioner, an elected Gram Pradhan, was restrained from exercising financial/administrative powers on the basis of a report by the Assistant Director (Savings), Jaunpur, alleging misappropriation of Rs. 7,97,744 in panchayat construction funds; the District Magistrate's actual enquiry-officer appointment (District Savings Officer) never submitted the relied-upon report.

DISPOSITION Writ petition allowed; District Magistrate's order ceasing the petitioner's financial/administrative powers as Gram Pradhan quashed

SCJ-109 Rakesh Kaushik v. State of U.P. & Another

off-topic

All HC 2016

ISSUE

s.482 Cr.P.C. application to quash a charge-sheet under s.434 IPC arising from an encroachment-demolition/extortion dispute — no Supply Code nexus

RATIO

Notice issued to respondents with time for counter/rejoinder affidavits; interim protection granted restraining coercive action in the pending criminal case, without affecting separate encroachment-removal proceedings or permitting reconstruction of the demolished portion.

DISPOSITION Notice issued; interim protection from coercive action granted pending disposal

SCJ-088 Mukesh Kumar v. State of U.P.

off-topic

All HC 2017

ISSUE

Bail application in a dowry-death case under IPC ss.304-B/498-A and Dowry Prohibition Act ss.3/4 — no Supply Code nexus

RATIO

Bail granted with standard conditions (undertaking not to seek adjournments, presence at trial, compliance with proclamation/charge-framing/s.313 statement stages), given a co-accused's earlier bail and only general dowry-demand allegations against the applicant.

DISPOSITION Bail granted with standard conditions

SCJ-116 Shabih Haider v. State of U.P. thru. Prin. Secy., Housing & Urban Planning &

All HC 2017

Ors. off-topic

ISSUE

Suspension of a Development Authority engineer for alleged financial irregularity in an electric-line-shifting project quashed for want of application of mind; Clause 4.6(e) of the Supply Code (supervision charges due before work commencement) was invoked only to show the petitioner's processing of such charges was procedurally correct, not to establish any independent Supply Code holding

RATIO

The suspension order was quashed as passed without application of mind to Rule 4's requirement that suspension be resorted to only where allegations, if established, would warrant a major penalty; the record showed the petitioner had no substantive role in project conception, tender approval, or contract award, and had merely forwarded files in the ordinary course. On the specific supervision-charges allegation, the respondents conceded that Clause 4.6(e) of the Electricity Supply Code, 2005 requires such charges to be deposited with the licensee before commencement of work — meaning the charge that the petitioner had improperly processed centage payment 'prior to commencement of work' was, on the correct reading of Clause 4.6(e), based on a mistaken premise.

DISPOSITION Writ petition allowed; suspension order quashed, reinstatement with full back wages directed

SCJ-135 The State of Karnataka v. State of Tamil Nadu & Ors. (with connected appeals of State of Kerala and State of Tamil Nadu)

off-topic

SC 2018

AIRONLINE 2018 SC 626

ISSUE

Cauvery river water allocation among Karnataka, Tamil Nadu, Kerala and Puducherry, modifying the Cauvery Water Disputes Tribunal's final award

RATIO

The Supreme Court modified the Cauvery Water Disputes Tribunal's award, revising the inter-State water-sharing formula (including recognition of Bangalore's drinking-water requirements and groundwater considerations), while broadly upholding the Tribunal's equitable-apportionment framework. No electricity-law question was presented or decided.

ON THE FACTS Cross-appeals by Karnataka, Tamil Nadu and Kerala against the Cauvery Water Disputes Tribunal's final award (2007) apportioning Cauvery river water among the basin States.

DISPOSITION Appeals disposed of, modifying the Cauvery Water Disputes Tribunal's water allocation among the riparian States

SCJ-142 Vijay Kumar Sachan v. State of U.P. And Another

off-topic

All HC 2018

AIRONLINE 2018 ALL 3033

ISSUE

A s.482 Cr.P.C. application to quash a disproportionate-assets charge sheet is dismissed where the defence (agricultural land income, family gifts explaining the excess assets) raises disputed questions of fact not resolvable at the quashing stage

RATIO

Application dismissed. Applying *R.P. Kapur v. State of Punjab*, *State of Haryana v. Bhajan Lal*, *State of Bihar v. P.P. Sharma*, and *Zandu Pharmaceutical Works Ltd. v. Mohd. Sharaful Haq*, the Court held that at the s.482 stage only a prima facie case need be examined, and the applicant's explanations (agricultural income from family land, gifts from a retired father) for the alleged disproportionate assets (Rs. 31,66,841) were disputed questions of fact requiring evidence, not resolvable on a quashing application; the Court left it open to the applicant to raise his health condition (kidney ailment requiring dialysis) before the trial court in any future bail application.

ON THE FACTS The applicant, a retired Junior Engineer, Distribution, of the electricity distribution department, faced a Prevention of Corruption Act charge sheet alleging he possessed assets disproportionate to his known sources of income by Rs. 31,66,841.

DISPOSITION s.482 Cr.P.C. application dismissed; charge sheet not quashed

SCJ-017 Dhirendra Kumar Chaudhary v. State of U.P. & 5 Others

off-topic

All HC 2024

2024:AHC:100639

ISSUE

Burden on the Establishment to prove charges in a major-penalty inquiry

RATIO

In a departmental inquiry carrying a major penalty, the Establishment must prove the charges by leading documentary and oral evidence through a Presenting Officer, with witnesses offered for cross-examination, before an inquiry tribunal that distances itself from the Establishment; relying on mere complaints and considering material (further inquiry/I.T.-cell reports) behind the employee's back vitiates the proceedings for breach of natural justice. Dismissal quashed; reinstatement, with liberty to hold a fresh inquiry from the charge-sheet stage.

DISPOSITION Writ petition allowed (dismissal quashed; reinstatement; fresh inquiry permitted)

SCJ-044 Kishore Biyani v. State of U.P. & Anr.

off-topic

All HC 2024

2024:AHC:43655

ISSUE

Criminal breach of trust — commercial sale is not 'entrustment'; mandatory Section 202(1) enquiry

RATIO

A mere commercial sale transaction (unpaid supply of goods) does not amount to 'entrustment' of property under Section 405 IPC; absent entrustment and dishonest misappropriation, no offence under Section 406 is made out. Where the accused resides outside the trial court's jurisdiction, Section 202(1) Cr.P.C. mandates an enquiry before summoning, and its omission vitiates the summoning order.

ON THE FACTS No electricity/Supply Code facts; a food-products supplier's criminal complaint against the former Executive Chairman of 'Big Bazaar' (Future Retail Ltd.) over unpaid invoices, filed after the company entered NCLT insolvency/moratorium.

DISPOSITION Application allowed; summoning order, non-bailable warrant and complaint proceedings quashed

SCJ-131 Sunil Kumar v. State of U.P. And Another

off-topic

All HC 2024

2024:AHC:80248

ISSUE

Anticipatory bail granted to an electricity department official prosecuted for fraud/forgery in connection with a disputed tubewell-connection transfer and disconnection, applying the settled special-circumstances test for direct High Court applications under s.438

RATIO

Anticipatory bail allowed. The applicant, an Assistant/Executive Engineer who had ordered disconnection of a tubewell connection at the request of the transferee-consumer (Smt. Shashi Kanta, whose transfer application under Clause 4.44 of the Supply Code was supported by a registered sale deed, mutation records, and regular bill payments), was found to have no personal antecedents, held a public-servant post without sanction to prosecute under s.197 Cr.P.C., and the case fell within the recognised special circumstances (Vinod Kumar, Ankit Bharti) justifying direct High Court recourse; following *Sushila Aggarwal v. State (NCT of Delhi)*, anticipatory bail was granted till conclusion of trial subject to standard conditions.

ON THE FACTS The complainant/informant (a practising advocate) alleged that his father's tubewell electricity connection was fraudulently transferred to Smt. Shashi Kanta and disconnected in collusion with departmental officials, including the applicant; the applicant's defence, supported by revenue records and Clause 4.44 documentation, was that the transfer followed a valid registered sale of the underlying land and tubewell.

DISPOSITION Anticipatory bail application allowed, subject to standard conditions

SCJ-134 The State of Haryana & Ors. v. M/s Faridabad Gurgaon Minerals & Anr. (with M/s Ganpati Enterprises Slate Mines)

off-topic

SC 2026

2026 INSC 690

ISSUE

A statutory contract's silence on rate-revision does not foreclose the government's independent statutory power to enhance royalty/dead rent; such power is an implied condition of every lease traceable to the enabling statute, and judicial review of the quantum of enhancement is confined to Wednesbury unreasonableness

RATIO

The appeals were allowed. Though the mining lease deed itself (unlike the preceding Auction Notice and Letter of Acceptance) did not expressly incorporate Rules 10 and 21 of the 1964 Rules, those Rules formed an implied condition of the lease because the lease is a statutory grant, not a purely private contract, and mere contractual silence cannot denude the State of a power expressly conferred by s.15(3) MMDR Act and the Rules. Distinguishing *Indian Aluminium Co. v. Kerala SEB* (which applies only where a contract expressly and validly fetters a statutory power), the Court held that a lease deed merely fixing a rate without expressly barring future enhancement does not fetter the State's statutory revision power; following *J.K. Synthetics*, statutory rate-revision provisions override contrary lease terms. The 50% royalty enhancement after a 5.5-year gap (exceeding the 3-year minimum interval) was not arbitrary — judicial review of the quantum is confined to Wednesbury unreasonableness, not a merits reassessment. On the Rules of Business (Article 166(3)) challenge, the Court held that approval by the Chief Minister personally (distinguishing *MRF Ltd. v. Manohar Parrikar*, where an individual minister acted without Chief Ministerial knowledge) satisfied the constitutional requirement of collective responsibility, and deemed Finance Department consent could be inferred absent evidence of the Finance Minister's disagreement.

ON THE FACTS Respondents held minor-mineral (road metal, masonry stone) mining leases in Haryana granted by public auction in 2002; the executed lease deeds did not reference the 1964 Rules, though the preceding Auction Notice and Letter of Acceptance did; a 2005 notification enhanced royalty by 50% and dead rent to the permissible ceiling; respondents' writ petitions succeeded before the Punjab & Haryana High Court on grounds of contractual silence, arbitrariness, and Rules-of-Business non-compliance.

DISPOSITION Appeals allowed; High Court judgment set aside; State entitled to enhanced royalty/dead rent, with interest on arrears capped at 12% per annum